



PROSPERING THROUGH ADVERSITY

PROSPERING THROUGH ADVERSITY

In our brief history of existence, we have continued to excel as a reliable insurance provider reinforced by our unrelenting commitment to customer service excellence and creation of innovative products. These elements were further strengthened by our well-known brand name and the continued support of our parent Company. This is the foundation of our success and we continue to pursue our journey on the same path with resilience at a time of unprecedented adversity, effectively creating value for all the stakeholders.

Contents



MANAGEMENT INFORMATION

03	Vision, Mission and Values of the Company
04	Highlights of the year
06	Key Milestones
08	Branch Network
09	Rewards and Recognitions
10	Chairman's Message
14	Board of Directors
18	Corporate Management



MANAGEMENT DISCUSSION AND ANALYSIS

22	Operating Environment
31	Financial Review



GOVERNANCE

34	Corporate Governance
37	Risk Management
41	Audit Committee Report
43	Remuneration Committee Report
44	Related Party Transactions Review Committee Report



FINANCIAL STATEMENTS

46	Annual Report of the Board of Directors on the Affairs of the Company
49	Directors' Responsibility for Financial Reporting
50	Actuary's Report
51	Independent Auditors' Report
54	Income Statement
55	Statement of Comprehensive Income
56	Statement of Financial Position
57	Statement of Cash Flows
58	Statement of Changes in Equity
59	Notes to the Financial Statements



SUPPLEMENTARY INFORMATION

102	Shareholder Information
104	Glossary of insurance terms
	Corporate Information - Inner Back Cover

Vision



TO BE THE MOST TRUSTED AND INNOVATIVE SOLUTIONS PROVIDER FOR LIFE INSURANCE NEEDS.

Mission



PROVIDE UNPARALLELED SERVICES TO CLIENTS THROUGH TEAM SPIRIT NOURISHED BY PASSION AND DEVELOPING INNOVATIVE LIFE INSURANCE SOLUTIONS, TECHNICAL EXPERTISE, VALUE ADDITIONS AND UNIQUE SERVICE CAPABILITY.

Values of the Company



TO SERVE CUSTOMERS WITH CARE, COMPASSION AND RESPECT.

TO DO THE RIGHT THING FOR THE RIGHT REASON.

ALWAYS THINK TO LEAD IN NEW WAYS AND INTRODUCE RESULT ORIENTED SOLUTIONS TO CUSTOMERS.

ALWAYS NURTURE AND VALUE TEAM SPIRIT ALONG WITH SATISFACTION.

ENSURE MAINTENANCE OF HIGH ETHICAL STANDARD IN ALL PROFESSIONAL ASPECTS AND PRACTICES OF THE COMPANY.

Highlights of the Year

As at 31st December	2020 Rs. Million	2019 Rs. Million	Growth %
GWP	1,836	1,633	12
Life Fund	1,905	1,563	22
Profit Before Tax	279	316	-11.7
Total Assets	4,175	3,648	14
Investment Portfolio	2,682	2,377	13
EPS (Rs.)	3.03	3.43	-11.7

GWP

1,836 Mn
2020

Profit Before Tax

279 Mn
2020

Investment Portfolio

2,682 Mn
2020

Life Fund

1,905 Mn
2020

Total Assets

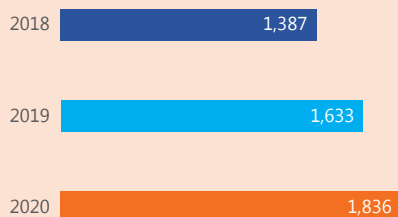
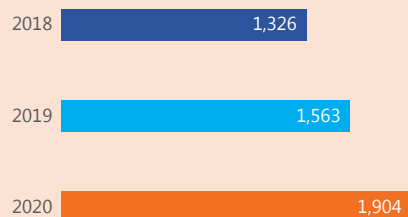
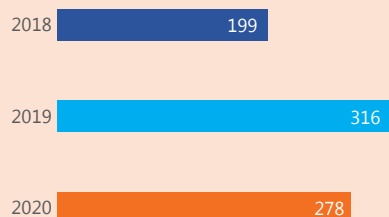
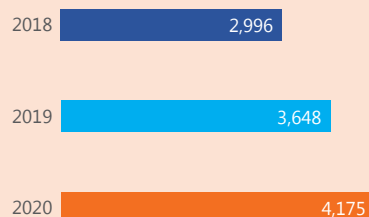
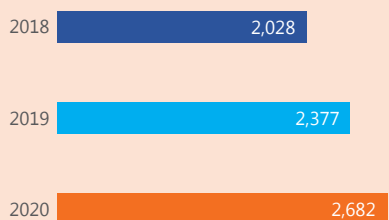
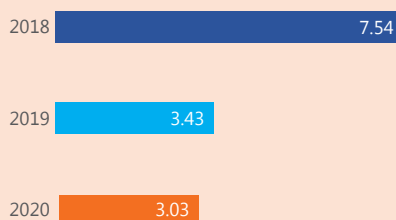
4,175 Mn
2020

EPS

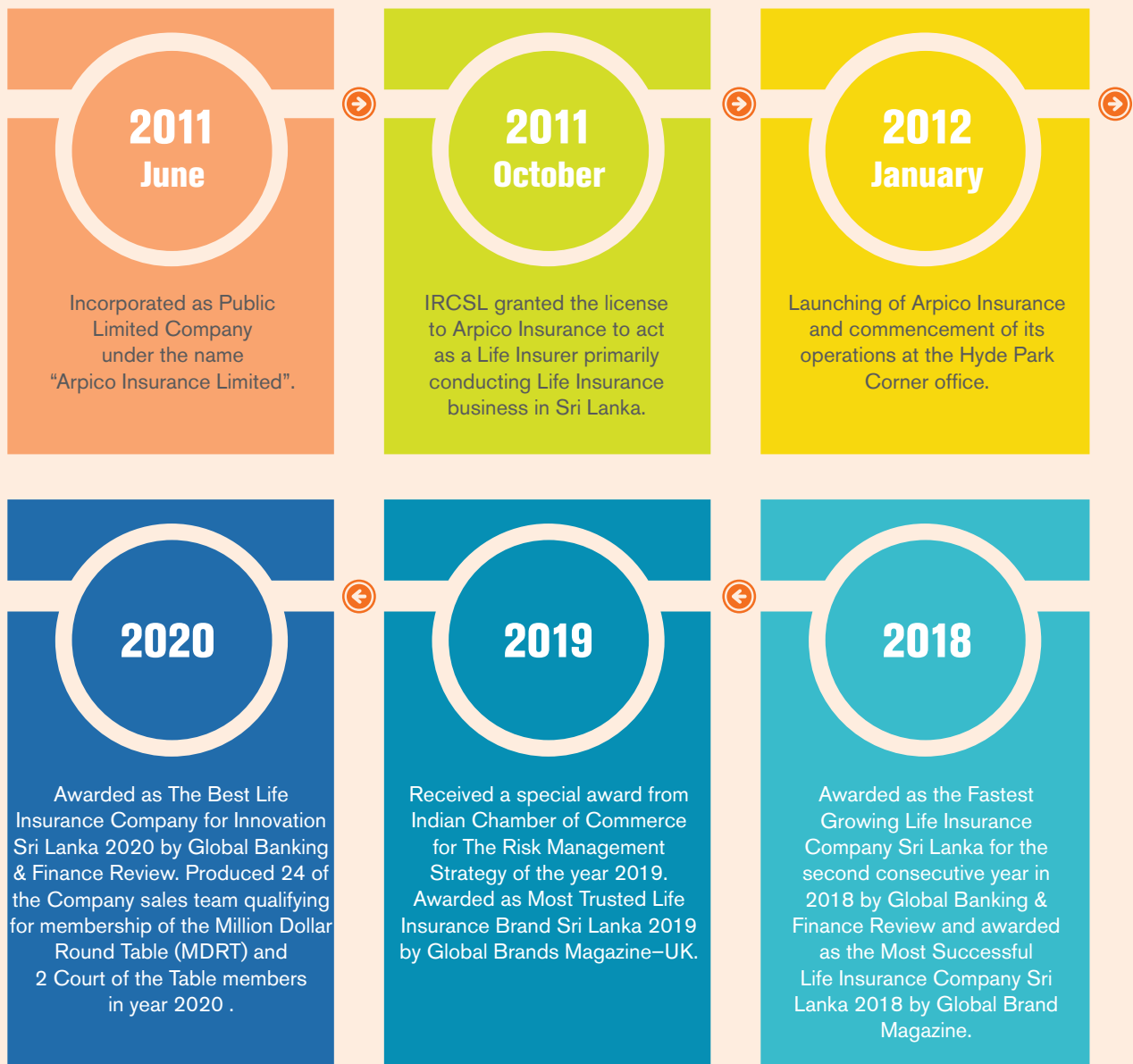
Rs. 3.03
2020

Car Ratio

415%
2020

GWP (Rs. Mn)**Life Fund** (Rs. Mn)**Profit Before Tax** (Rs. Mn)**Total Assets** (Rs. Mn)**Investment Portfolio** (Rs. Mn)**EPS** (Rs.)

Key Milestones



2012

Reached Rs. 100 Million GWP in the first year of commercial operations.

2013
July

Head office shifted to new premises at Vauxhall Lane to facilitate growth.

2014

First Life Insurance Company to record a profit in its third year of operation. Initial Public offering of Arpico Insurance shares to public.

2017

Awarded as the Fastest Growing Life Insurance Company Sri Lanka 2017 by the Global Banking & Finance Review Awards.

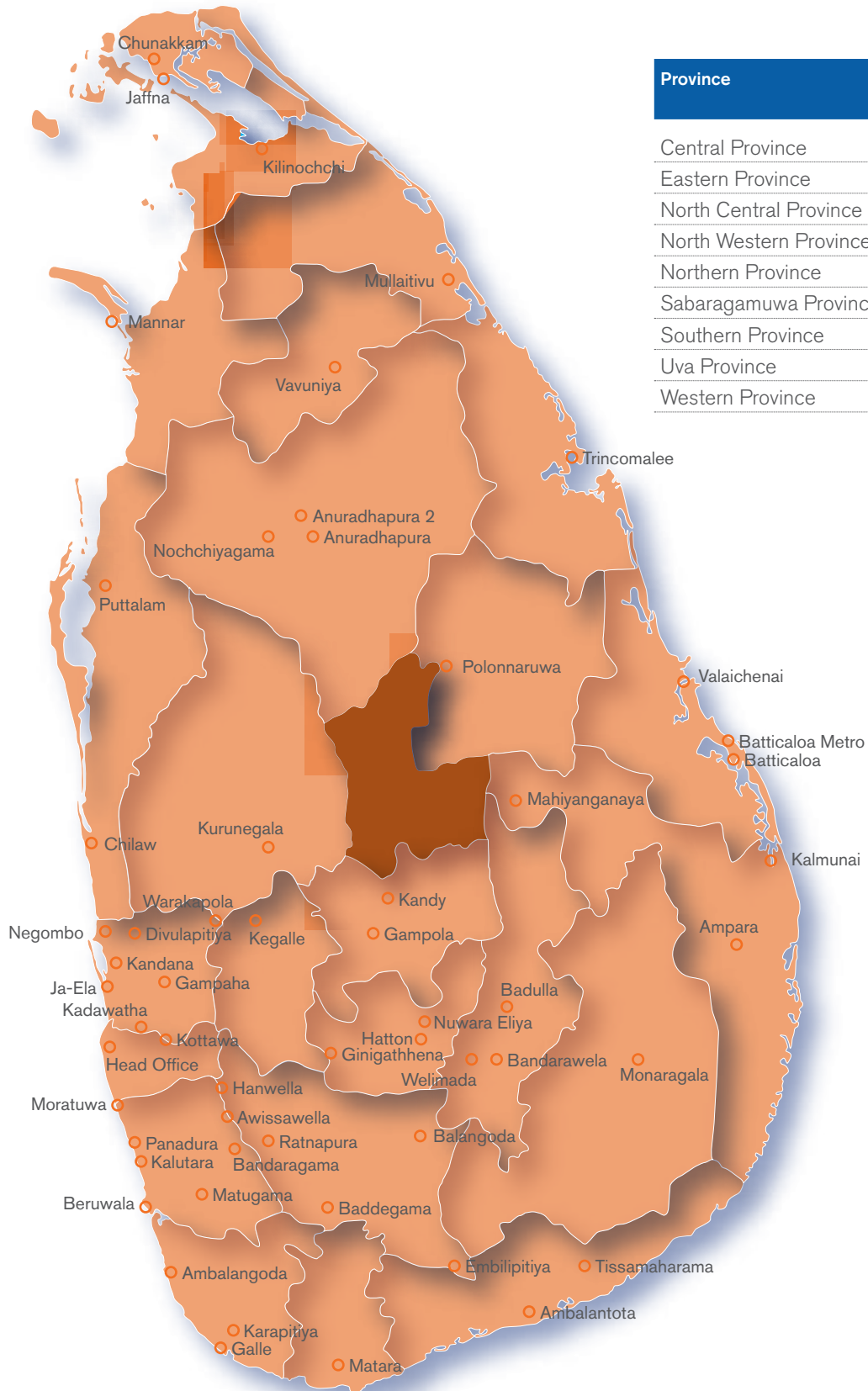
2016

Achieved a profit of Rs. 107 Million for the financial year.

2015

Started trading on CSE (Diri Savi Board), increasing the geographical presence to 24 branches.

Branch Network



Province	No. of Branches
Central Province	6
Eastern Province	7
North Central Province	3
North Western Province	3
Northern Province	6
Sabaragamuwa Province	5
Southern Province	7
Uva Province	4
Western Province	16

Rewards and Recognitions



Fastest Growing Life Insurance
Company Sri Lanka 2017

Most Successful Life Insurance
Company Sri Lanka 2018

Risk Management Strategy
of the year 2019

Fastest Growing Life Insurance
Company Sri Lanka 2018

Most Trusted Life Insurance Brand
Sri Lanka 2019

The Best Life Insurance Company
for Innovation Sri Lanka 2020



Chairman's Message





We managed to continue our growth strategy despite the adverse impact of the macroeconomic uncertainties in the wake of the COVID-19 pandemic, supported by our innovative products and the digital transformation to enhance customer-centricity.



With another year of many uncertainties coming to an end, I am pleased to present to you the Annual Report of Arpico Insurance PLC for the financial year 2020. This financial year was one of the challenging years in recent times with the islandwide lockdown and restriction of movement following the COVID-19 outbreak. However, amidst these macroeconomic uncertainties, we managed to sustain our business retaining a creditable growth of 15%. Our innovative products, customer service excellence, digital transformation in the wake of the COVID-19 outbreak, fortified by the strength of our parent Company, Richard Pieris & Company PLC, provided us with the resilience to move forwards successfully creating continued value for all our stakeholders.

MACROECONOMIC BACKDROP AND INDUSTRY OVERVIEW

With the unprecedented challenges emanating from the pandemic both in the local and the global front, the Sri Lankan economy contracted of 3.9% in 2020 compared to the 2.3% growth rate recorded in 2019. This contraction was mainly owing to the setbacks in the industrial activities and the agricultural activities that recorded a subdued performance during the first quarter of 2020. However, the services activities, which represent the largest share of the economy contributed positively to alleviate the overall negative performance of the economy with considerable moderate growth of 3.1% supported by the expansion in financial services, wholesale and retail trade, and other personal services.

Real estate activities, including ownership of dwellings, grew at a higher rate of 4.2% during the first quarter of 2020 compared to 2.2% growth in the corresponding period of 2019.

This was mainly attributable to the higher growth of 9.0% recorded in financial service activities and auxiliary financial services during the first quarter of 2020 compared to 4.4% growth recorded in the corresponding period of the previous year. Insurance, reinsurance, and pension funding activities grew marginally by 0.2% during first quarter compared to 7.4% higher growth recorded in the corresponding period of 2019.

This economic instability and the island-wide lockdown imposed from mid-March to mid-May to curb the spread of the pandemic had an adverse impact on the Company operations. One of the key hurdles was the restriction of the collection mechanism due to lockdowns and quarantine curfews forcing us to introduce digital payment methods to assist the customer base. However, we were able to witness a growth in the insurance sector with improved demand for insurance products including a substantial demand for health insurance policies. As a result, a new product, namely, 'Covid Care' was introduced in order to serve customers during the pandemic.

Chairman's Message

COMPANY PERFORMANCE

We managed to continue our growth strategy despite the adverse impact of the macroeconomic uncertainties in the wake of the COVID-19 pandemic, supported by our innovative products and the digital transformation to enhance customer-centricity. One of our key focus was the trouble-free transition to an online platform while encouraging our customer base to use the same. Further, our well-known brand name and the continued support of our parent Company remained a key strength that facilitated our achievements during the year.

As a relatively new player that has been in the industry for nearly nine years, we managed to record commendable growth during the financial year producing 24 MDRT members and 2 COT members. Besides, our GWP also grew by 12.4%. We were awarded the 'Best Life Insurance Company for innovation 2020' by Global Banking and Finance Review.

OUR EMPLOYEES

Our people are the backbone of Company's progression and it is their dedication and industry knowledge that drive our success. We comprehend that the Insurance sector requires a set of individuals who possess a unique set of skills and competencies, thus consistently mindful of recruiting the right skills for the right requirement rewarding them with industry average remuneration including growth opportunities. We also encourage a learning culture apart from giving them periodical exposure to training and development opportunities. Also, to enhance their drive to succeed, we carry out performance-based evaluation and reward our employees accordingly for their achievements and efficiency.

OUR CUSTOMER

Customers remain at the core of our business and hence, we constantly endeavour to understand the customer need thereby developing products that suit their requirement. In enhancing our customer-centric approach, we carry out periodical market research to understand the customer pulse and in line develop innovative products and service offerings. Moreover, our sales staff and field staff are encouraged to build strong relationships with customers to gauge a clear understanding of their evolving needs.

CORPORATE GOVERNANCE

We are backed by a robust corporate governance framework that guides the Board of Directors towards achieving a common goal. This has been instrumental for our continued growth that enabled us to create enhanced value for all stakeholders. Towards this end, the Company has incorporated the core values of transparency and integrity within the corporate governance systems and processes at all levels of the Company.

THE WAY FORWARD

Going forward, we intend to further strengthen our senior management through increasing the senior management cadre to bring innovative thinking into the upper management. In our objective of placing the Company amongst the first four competitors in the industry, we intend to pursue our growth strategy through expansion of geographical presence, focused recruitment drive to hire the skilled employees and enhancing their capacities through training and skill development, system automation and revamping the product portfolio to increase the customer-centricity.

ACKNOWLEDGEMENT

My sincere appreciation for the invaluable support and leadership of our Group Chairman Dr. Sena Yaddehige, without whom we could not have achieved this success. I am deeply indebted to his constant guidance and council in our achievement. I am also thankful for the tireless effort and the wisdom of our Board of Directors in steering the Company towards greater heights.

I would also like to thank our employees for their continued commitment and dedication during a time of uncertainty and our valued stakeholders for their continued trust in us that gives us the strength to pursue growth and prosperity.



Viville Perera
Chairman

Board of Directors



MR. VIVILLE PERERA
Chairman



MR. S SIRIKANANATHAN
Independent Non-Executive Director



MR. SHIRON GOONERATNE
Non-Executive Director



MRS. LASINEE SERASINHE
Independent Non-Executive Director

Board of Directors

MR. VIVILLE PERERA

Chairman

Mr. Viville Perera is a Science graduate from the University of Kelaniya with Second Class Honours and a Fellow Member of The Chartered Institute of Management Accountants and an Associate Member of the Chartered Institute of Marketing, UK. Mr. Perera has over 35 years of experience in the Senior Managerial capacity at leading business organizations such as Associated Newspapers of Ceylon Limited, Middleway Ltd (Ceylinco Group), Amico Group of Companies and Alliance Finance Co. PLC. He has served at the Sri Lanka Institute of Packaging as Treasurer from 1992 to 1997 and as Vice President from 1999 to 2002. Mr. Perera has been representing the Company on the Executive Committee of the Industrial Association of Sri Lanka, an affiliated trade association under the aegis of the Ceylon Chamber of Commerce from 2011 to 2020 and vice chairman in 2020. He is also on the Board of Directors of several Companies of Richard Pieris Group.

MR. S SIRIKANANATHAN

Independent Non-Executive Director

Mr. Sirikananathan is a retired partner of KPMG, an international firm of chartered accountants and is presently a sole practitioner under the firm name Sarasiri & Company. He also served on the Boards of Associated News Papers of Ceylon Ltd. (ANCL) as Director/ Financial Consultant and Bartleet Finance PLC, as Independent Non-Executive Director, Audit Committee Chairman and Remuneration Committee Member.

Mr. Sirikananathan possesses over 40 years of audit experience with KPMG and has engaged in audits of star class Hotels, Conglomerates, Development Organisations, Multinational Banks, Finance Companies, Insurance Companies and several listed Companies.

Mr. Sirikananathan is a Fellow Member of The Institute of Chartered Accountants of Sri Lanka (FCA) and a Fellow Member of the Institute of Certified Management Accountants of Sri Lanka (FCMA). He holds a Bachelor of Science Honours Degree in Physical Science from the University of Peradeniya. He has served on the Accounting Standards and Auditing Standards Committee of The Institute of Chartered Accountants of Sri Lanka for eleven (11) and seven (7) years respectively.

MR. SHIRON GOONERATNE

Non-Executive Director

Mr. Shiron Gooneratne is a Fellow Member of the Institute of Chartered Accountants of Sri Lanka and holds an MBA from University of Leicester, United Kingdom.

Mr. Gooneratne brings in a wealth of experience, both from Sri Lanka and overseas. Having trained at Ernst and Young, he joined GlaxoSmithKline Consumer Health Care as a Financial Accountant and rose to the position of Finance Director, where he completed 11 years, of which 7 years as the Finance Director. Thereafter, he held the positions of Chief Financial Officer at Sri Lanka Telecom PLC, Chief Financial Officer at Dilmah Ceylon Tea Company PLC and currently he functions as an Executive Director of Richard Pieris and Company PLC.

MRS. LASINEE SERASINHE

Independent Non-Executive Director

Mrs. Serasinhe is a Fellow Member of The Chartered Institute of Management Accountants (UK), Fellow Member of the Chartered Global Management Accountants and a Diploma holder in Computer Programming. Mrs. Serasinhe has garnered over 20 years of regulatory experience serving the Securities and Exchange Commission of Sri Lanka and the Insurance Regulatory Commission of Sri Lanka (IRCSL - former Insurance Board of Sri Lanka). She took up duties as the Director General of IRCSL during a time when IRCSL had set up its office independently, and worked at the IRCSL until her retirement.

Whilst being the Director General of IRCSL, she served as a Board Member of the National Insurance Trust Fund in the capacity of an Ex-Officio Member. Subsequently, she served the Ministry of Finance in the capacity of an advisor for a short period of time. Prior to taking up the post of Director General, IRCSL she served the Securities and Exchange Commission as a Director. Mrs. Serasinhe has several years of experience in the field of Finance in the private sector prior to her entry into the regulatory arena. She also functioned as a consultant to the private sector and was attached to SSP Corporate (Pvt) Ltd.

Corporate Management



1. Mr. M A Doolwala
General Manager – Finance and Operations/
Principal Officer

2. Mr. W N C P Nishan
General Manager – Sales

3. Mr. H E T Sampath
General Manager – Sales

4. Mr. T S Kitchilan
General Manager – Corporate Services



5. Mr. Sawan Rodrigo
Assistant General Manager - Bancassurance

6. Mrs. L A C Priyanthi
Manager – Actuarial

7. Ms. Chathumadu Abeyakoon
Manager – Finance

8. Mrs. Sriyonie Mendis
Deputy General Manager – Life Operations

9. Nelushan Gunewardena
Head of Marketing

Corporate Management

1. Mr. M A Doolwala

Mr. Doolwala counts over 19 years of experience in finance with 15 years committed to the Insurance Industry. He is an Associate Member of the Chartered Institute of Management Accountants, UK and holds an MBA from Cardiff Metropolitan University UK. He also holds a Diploma in Computer Studies from the National Centre for Computing, UK and has completed the Licentiate Exams from Insurance Institute of India.

2. Mr. W N C P Nishan

Mr. Nishan counts over 27 years of experience in the industry. He has completed (AMTC) – LIMRA, LUTC Diploma in Insurance – LIMRA, Management Skills Course – IMS and Diploma in Marketing from Singapore Institute of Marketing.

3. Mr. H E T Sampath

Mr. Sampath counts over 28 years of experience in the industry. He has completed Agency Management Training Course (AMTC) – LIMRA, Life Underwriter Training Council (LUTC) Diploma in Insurance – LIMRA and Management Skills Course – Institute of Management Studies (IMS).

4. T S Kitchilan

Mr. Toni Kitchilan is a fellow member of the Institute of Management Specialists, UK and holds an MSc in Information Management from Sri Lanka Institute of Information Technology.

In addition he holds a Diploma in Business Management from Worldview Institute and a National Diploma in Human Resources Management from the Institute of Personnel Management.

He brings in a wealth of experience in both administrative and managerial functions in various industries such as manufacturing, supply chain, financial services and real estate. He has over 35 years of experience in total which includes over 19 years experience in the Insurance industry.

He also counts over 14 years in Senior Management holding various positions and advancement to the current position of General Manager.

5. Sawan Rodrigo

Sawan counts nearly 22 years of experience in Banking, Bancassurance, Sales Administration and Marketing Development, both locally and internationally.

Sawan is a Certified Professional Marketer (Asia) and holds a Master of Science Degree in Strategic Marketing. Further, he also holds a Certificate of Credit Appraisal from the Institute of Bankers of Sri Lanka and has undergone training locally and overseas on various fields such as People Management, Strategic Marketing and Business Management.

6. Mrs. L A C Priyanthi

Mrs. Priyanthi counts over 20 years of experience in the Insurance Industry. She holds a BSc. Degree with First Class Honors in Mathematics and Statistics from University of Colombo and holds a M.Sc. in Actuarial Science also from the University of Colombo.

7. Ms. Chathumadu Abeyakoon

Ms. Abeyakoon counts over 9 years of experience in finance. She is an Associate Member of Chartered Institute of Management Accountants. She started her career from Ernst & Young and moved to different industries like automotive and finance. Currently she is reading for her MBA.

8. Mrs. Sriyonie Mendis

Mrs. Mendis is a Chartered Insurer and Associate Member of the Chartered Insurance Institute of UK and holds an MBA from the University of Colombo Sri Lanka.

She joined the Insurance sector after her BSc in Physical Science from University of Colombo. Having 19 years of Industry experience on Life Insurance and Re-Insurance in couple of Life Insurance companies and currently she is working in the capacity of Specified Officer of the Company and Deputy General Manager - Life Operations.

9. Nelushan Gunewardena

A resourceful and pragmatic management professional with over 16 years of extensive hands-on experience and expertise in Marketing management, Brand management, Communications, Public Relations, Revenue Generation, Operations, etc. at several multinational and local organizations engaged in highly dynamic industries such as Retail, Automotive, Real Estate, Apparels, Advertising and Insurance. Have received numerous awards and accolades for management as well as academic excellence and possesses a Post Graduate Diploma in Marketing From Sri Lanka Institute of Marketing, Diploma in Automotive Systems Engineering from C&G, UK.



Management Discussion and Analysis

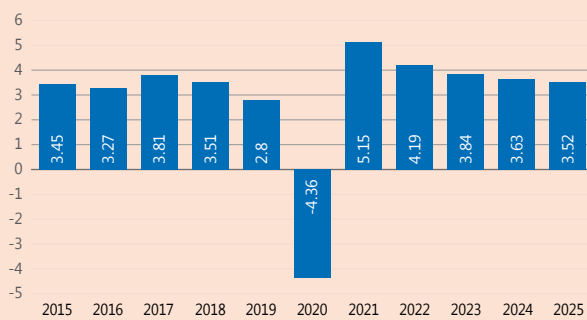
22 OPERATING ENVIRONMENT
31 FINANCIAL REVIEW

Operating Environment

GLOBAL ECONOMY

The global economy during the financial year was largely affected by the negative consequences of the COVID-19 pandemic and its related lockdowns across the world. Although the world economy began to recover after the first wave of lockdowns that ended in the first quarter of the year, the economy once again witnessed deceleration with the second wave of COVID-19 outbreak in the last half of the year. With the increasing spread of COVID-19 pandemic, many countries were forced to slowdown the reopening of the countries for economic activity while continuing partial lockdowns to protect susceptible populations. Although the origin of COVID-19, China, seems to recover faster than expected from the outbreak, the global economy continues to face a setback struggling to achieve the economic growth that was maintained before the pandemic.

Growth of the global gross domestic product (GDP) from 2015 to 2025
(% compared to the previous year)



According to the World Economic Outlook, the economic growth during the year 2020 remained contracted at 4.4%, a less severe contraction than that was predicted.

As a result, the economy witnessed better than expected GDP outturn in the second quarter of the year. Notably, in advanced economies, economic activity began to improve in the aftermath of lockdown in the months of May and June witnessing stronger revival in the third quarter. Therefore, the global economic growth is projected at 5.2% in the year 2021, a lower rate compared to what was projected for the year 2020. With the economic contraction in 2020 and recovery in 2021. This is also an indication of the wide negative output gaps and increased unemployment rates during the financial year and in 2021 across both advanced and emerging market economies.

Nevertheless, in the medium term, the global economy is forecasted to gradually slowdown to about 3.5% indicating the limited progress towards expected growth for both advanced and emerging market and developing economies for the period 2020 - 25 prior to the COVID-19 pandemic. This setback will have negative influence on the average living standards across the world and will hinder the progress achieved since the 1990's in reducing global poverty growing inequality.

The medium-term growth outlooks remain downcast with a significant forecasted increase in the stock of sovereign debt. There is also expectation of a smaller tax base over the medium term than previously predicted, compounding difficulties in servicing debt obligations which is indicative from the downward revisions to potential output.

Based on the baseline projection, the social distancing is expected to continue into 2021 with subsequently fading over time as vaccine coverage expands and therapies improve. Local transmission is presumed to be brought to low levels by the end of 2022.

SRI LANKAN ECONOMY

The Sri Lankan economy recorded a growth rate of 2.3% in 2019, though however the economy contracted by 3.9% in 2020. This contraction, which occurred after 19 years, was mainly owing to the weak performance observed in the construction, textile, mining and tea industries, which was further impacted by the negative effects of COVID-19 outbreak since the first quarter of the year. Moreover, the closure of airports to tourists between April and September brought tourism activity to a complete standstill severely affecting the tourism sector. Subsequently, the growth remained weak in the second quarter of the year, further exacerbated by the curfew restrictions that hampered economic activity and the weak global demand.

In the backdrop, the Central Bank of Sri Lanka reduced policy rates by 250 basis points and the reserve ratio by 300 basis points over the first seven months of 2020. The Central Bank also introduced a refinancing facility and a credit guarantee scheme to encourage commercial banks to increase lending. Despite these measures, private credit growth remained subdued in the first half of 2020. Likewise, the asset quality and earnings of the financial businesses deteriorated, reflecting the impact of decelerating loan recoveries, and shrinking margins.

The economic outlook is overshadowed by the impact of the COVID-19 crisis further intensifying the existing challenging macroeconomic situation in the country, including pushing many small and medium enterprises from liquidity to insolvency while increasing the poverty rates amongst the population due to income losses. Restrained economic growth have also put additional strain on public finances.

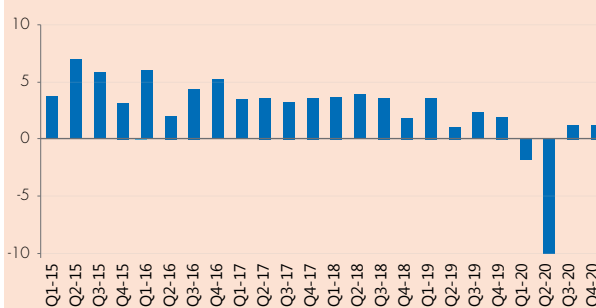
Considering the instability in the macro economic environment, the country's economy was forecasted to contract in 2020, with all key drivers of demand being affected, including exports, private consumption, and investment. However, the current account deficit was

expected to remain low (at 2.2% of GDP in 2020) owing to the low oil prices and strict import restrictions, which should largely offset the reduction in receipts from garment exports, tourism, and remittances. Nevertheless, refinancing requirements will be high, with annual foreign exchange debt service requirements estimated at 7-8% of GDP over 2020-2022. The fiscal deficit is projected to expand further to over 11% of GDP in 2020, driving an increase in debt levels.

Sri Lanka is also highly exposed to global financial conditions, as the repayment profile of its debt requires the country to frequently access financial markets. A high deficit and rising debt levels could further deteriorate debt dynamics while negatively impacting the market sentiment. This will require Sri Lanka to strike a balance between supporting the economy amid COVID-19 and ensuring fiscal sustainability.

Despite the setbacks, the economic growth is expected to rebound in 2021, maintaining an upward trajectory over the medium term, supported by pro-growth policies of the Government. Policies to boost domestic production are also expected to ease the pressure on the external sector of the economy on a sustained basis. Nevertheless, the success of containing COVID-19 locally and globally remains critical in deciding the pace and the magnitude of domestic economic recovery and revival in the period ahead.

Quarterly GDP Growth (%)

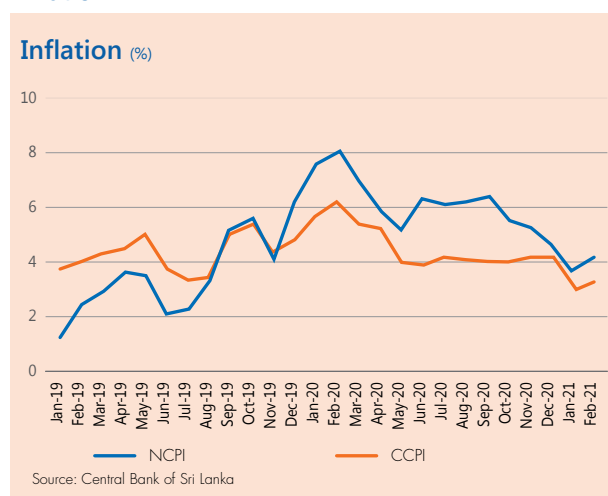


Source: Department of Census and Statistics

Operating Environment

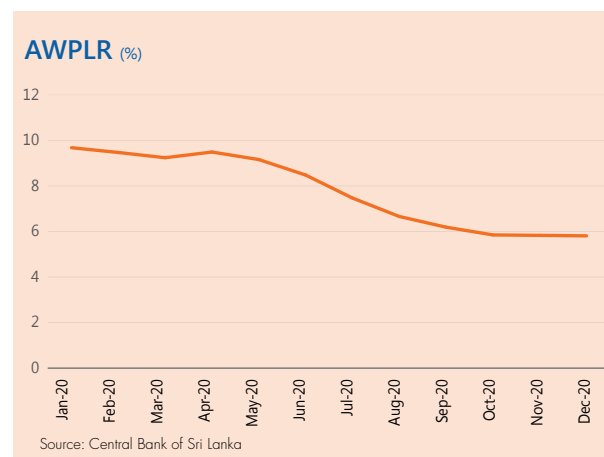
Economic growth dropped by 1.6% and 16.3% during the first and second quarters of 2020 and rebounded by growing at 1.5% during the third quarter of 2020. However, with the growing development in most of the sectors during the fourth quarter, the economy recorded an annual contraction of around 3.9% for the year 2020. Weak performance of several business sectors resulted primarily with the backdrop of the COVID-19 health crisis, which led to lockdown periods and closure of the airports severely affecting economic and trade activities in addition to limiting tourist arrivals. As a counter strategy, Government reduced the policy rates by about 250bps to support the GDP growth by increasing economic activities. Accordingly, we witnessed a gradual increase in private sector credit growth towards the latter part of the year.

Inflation



“Headline inflation, based on the Colombo Consumer Price Index (CCPI), remained mostly within the targeted range of 4-6 per cent during 2020. CCPI based core inflation remained low reflecting subdued aggregate demand pressures in the economy. Meanwhile, headline and core inflation, based on the National Consumer Price Index (NCPI), also remained at subdued levels particularly towards end 2020. With the pandemic induced weak global and domestic economic conditions, inflation is expected to remain low in the near term. However, with the expected improvement in domestic aggregate demand conditions supported by significant policy stimuli and the anticipated improvement in external conditions, inflation could briefly accelerate over the medium term. Nevertheless, the envisaged improvements to domestic supply conditions, supported largely by pro-growth policies and reforms introduced by the Government, are likely to negate demand driven price pressures in the period ahead.

Interest rates

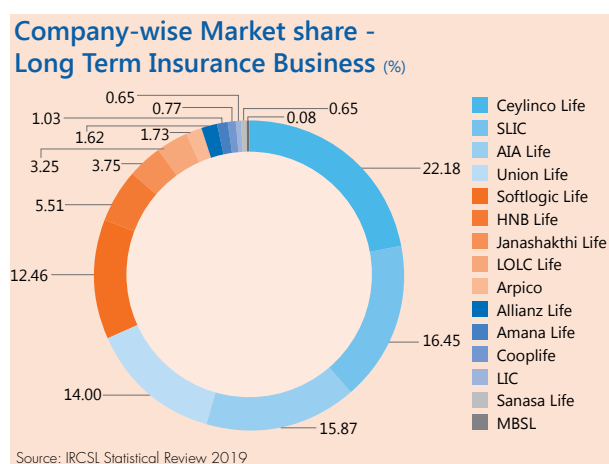


The Central Bank relaxed its monetary policy stance to unprecedented levels in 2020 with a view to reviving the economy affected by the pandemic. In response, both market deposit and lending rates declined notably in 2020. Most market interest rates have declined to single digit levels, while some have reached their historic lows. Although deposit rates are not expected to decline further, the high level of excess liquidity in the domestic money market leaves sufficient space for market lending rates to adjust downward, thereby providing low cost funds to the economy.

INSURANCE SECTOR PERFORMANCE

The insurance industry witnessed a growth contraction as of 30th September of 2020, recording a total premium of LKR 145.3 Billion, a growth of 3.7% in contrast to the corresponding period of 2019. These figures show a slight upturn of the total premium of life insurers for the nine months ended in 30th September totaling to LKR 72.2 Billion, compared to LKR 63.9 Billion in the corresponding period of 2019.

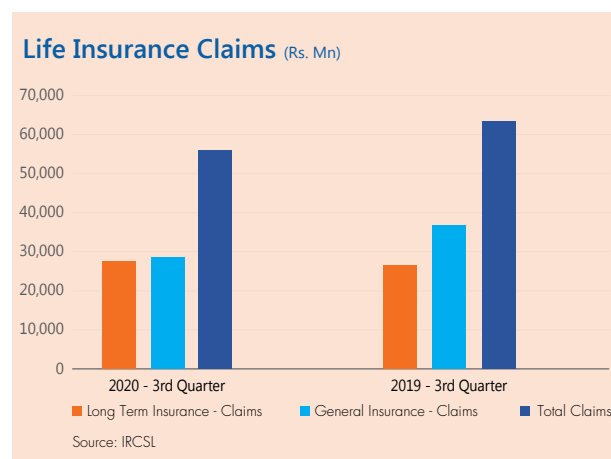
The spread of COVID-19 had a significant impact on this declining trend of written premiums leaving many policyholders unable to pay out their monthly premiums following lockdown restrictions and economic uncertainties.



Arpico Insurance secured the 9th place in the long term insurance business in terms of market share. While the Company succeeded in maintaining growing GWP, the prevalent socioeconomic setbacks had an impact on the Company's performance. Nevertheless, Arpico Insurance continued strategic campaigns such as increasing awareness about benefits of long term insurance products as well as the introduction of innovative products such as COVID care cover to meet customer needs.

Claims

On the whole, claims incurred by the insurance sector as of 30th September of 2020 was LKR 55.9 Billion, demonstrating a significant reduction (11.7%) in comparison to the claims incurred in the corresponding period of 2019. These figures show a slight upturn of the total claims of life insurers for the nine months ended in 30th September totaling to LKR 27.5 Billion, compared to LKR 26.5 Billion in the corresponding period of 2019.

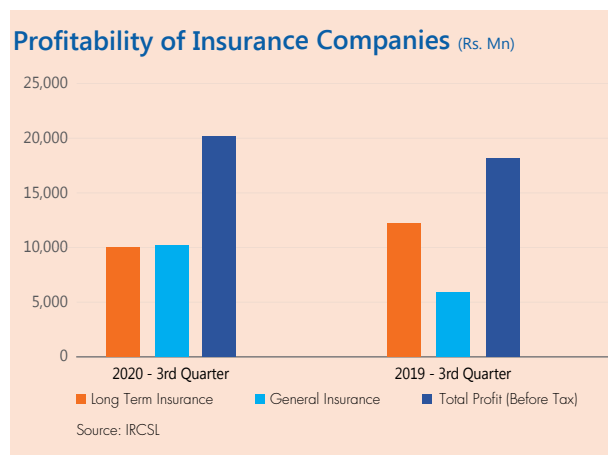


Operating Environment

Profit Before Tax

The overall insurance sector reported a significant growth of 11.3% in profit before tax amounting of LKR 20.1 Billion reported in the nine months ended in 30th September 2020.

The life insurance sector profit declined by 18.3%. These figures show a slight downturn of the profit before tax amounting for the nine months ended in 30th September totaling to LKR 9.9 Billion, compared to corresponding period of 2019.



Performance of distribution channels

Channel	2019 GWP %	2018 GWP %	2017 GWP %
Agents	85.72	86.94	87.4
Brokers	1.3	1.01	0.63
Exclusive sales force except sales agents	1.26	1.13	3.69
Direct	1.92	1.8	1.69
Bancassurance	8.18	7.14	5.92
Other	0.21	0.24	0.65

Channel distribution plays a vital role in the long term insurance business. Agents accounts for 85.7% of GWP.

Total assets

When comparing the asset spread between the two comparative periods of 2019 and 2020 for both segments, it does not display a significant change. As of 30th September 2020, the total assets of life insurance companies were at LKR 556.1 Billion, showing a growth rate of 15.8% in the first nine months of the year compared to corresponding period of 2019. Life insurers showed an improved growth rate of their balance sheet confirming the stability in unsteady backdrop.

As of 30th September 2020, life insurers have the highest proportion of their investment in government debt securities that amounted to LKR 224.1 Billion due to its associated low risk and regulatory requirements.



Challenges

The impact of COVID-19 on every sphere of life is indisputable. It certainly brought an immediate cash and liquidity crisis to many business sectors leading to a significant reduction in their income streams and insurers in particular experienced a number of assets, liability and investment pressures.

As for asset or inflow side, new businesses are trending downward in most products and markets, with both retail and commercial customers considering cutting back on spend. Many brokers are also struggling to operate in these uncertain times, bringing in few business opportunities. Insurers have given payment holidays in some markets, leading to significantly impactful liquidity complications.

On the liability or outflow side, payouts are certainly on the rise in a significant way. Thus, we are yet to understand the situation and the impact of it.

In the wake of COVID-19, we also anticipate seeing both increasing claims and increasing litigation over payout disputes which could be long, drawn out and costly. Even when an insurer wins a dispute, the loss adjustment expenses could be significant.

Furthermore, insurers continue to have significant fixed outlays in terms of staff compensation and payroll costs. To date, the sector has not made any large-scale redundancies, and some have publicly stated their intention to avoid layoffs in the present context.

On the investment side, the ultra-low interest rate environment at present is expected to reduce investment returns, which may further aggravate by the ongoing volatility in the financial markets. However, there are potentially dramatic increases in derivative collateral requirements which could decrease cash flow. Insurers may also experience dividend income reduction for some of the assets in their portfolios.

The combined effects of these pressures could be significant and are likely to grow over time. Although the insurance industry is well-capitalized and well-diversified, it should not be taken for granted.

While in most businesses there are early warning indicators about possible liquidity difficulties which are usually debt covenant related, the early warnings in the industry will be harder to see, which makes it necessary to introduce the right cash management and forecasting tools.

Operating Environment

OUR PRODUCT MIX

Our product portfolio is built on the core concept of 'Insurance for the Living' and hence, we keep customer centricity at the heart of our design strategy thereby creating products that meet the customer requirement. We have consistently focused on offering a range of insurance products that a person can relish during his lifetime. We also went a step further extending the benefits of our Life Insurance products to immediate family members of policyholders.

ARPICO ENDOWMENT PLAN

We have designed the Arpico Endowment Plan to fulfill some of the critical needs of our policyholders including education requirements, emergency capital requirements and retirement plans. The sum assured increases by 2.5% annually on simple basis to accommodate inflation.

ARPICO RELIEF PLAN

This insurance plan allows customer the freedom to plan their premium payment thereby enjoying the benefits of their policy while paying at the latter stage of the policy term. Under this scheme, the customer can select any benefit listed under endowment plan.

ARPICO TERM INSURANCE PLAN

This insurance plan provides insurance payments in case of sudden death during the term of policy with additional benefits that can be added depending on the policyholder's requirement.

EDUCATION PLAN – SCHOOL FEES PLAN

This insurance plan is developed to reduce the burden on parents regarding children's education in the event of an unexpected situation. The monthly amount, which can be decided at the time of obtaining the policy will be paid to the policyholder's beneficiary.

ARPICO INVESTMENT PLAN

This insurance plan facilitates policyholders to benefit from attractive returns as a Living Benefit, while the rate of return is calculated annually to accommodate economic conditions. The policyholders can also profit from additional benefits offered.

ARPICO SUPER INVESTMENT PLAN

This insurance plan is designed to protect the policyholder while enjoying the attractive returns as a Living Benefit. The rate of return is calculated annually to accommodate economic conditions. In the event of death of the policyholder, both the basic sum assured, and the fund balance will be payable. Policyholders can also profit from additional benefits offered.

ARPICO LOAN PROTECTION PLAN

This insurance plan ensures loan balance payments to relevant financial institution in the event of the policyholder's untimely death or disability. The policy ensures that the policyholder's assets such as house, building etc, are free from mortgage as a Living Benefit to his/her Dependents.

ARPICO GROUP ASSURANCE PLAN

This insurance plan provides insurance benefits to a group of people with a common point of association such as employees of a single employer.

ARPICO HOSPITALISATION RIDER BENEFIT

This plan contains two unique benefit options. The Arpico Hospitalisation per day plan pays an amount equal to the stated per day amount, multiplied by the number of completed hospitalised days, if hospitalised within Sri Lanka. If the policyholder must undergo intensive care treatment, the Company will pay double the benefit amount. The Arpico Reimbursement plan covers the policyholder and his/her family for surgical and hospitalisation expenses up to Rs. 1,000,000 per annum.

ARPICO RETIREMENT PLAN

This insurance plan provides a monthly payment to the customer for the pre-specified period. In the event of unexpected death of the policyholder during the premium paying period, an amount equivalent to life cover will be paid instantly. In addition, the nominee will get the monthly payment at the retirement age of the policyholder based on the accumulation fund. In the event of Total Permanent Disability due to Accident or Sickness, the Company will continue to pay the premium on behalf of the policyholder and policyholder will receive the monthly payment as desired.

ARPICO DIABCARE PLAN

The Arpico Diabcare Plan is designed as a unique world class insurance solution exclusively for diabetic patients in SL. It provides the financial protection and support to combat this deadly disease and help the customer get his life back on track.

The uniqueness of this policy is that the sum assured will be paid if the insurer is diagnosed with one of the illnesses such as Cancer, Stroke, Blindness, End state of renal failure and Amputation of limb or in the event of the demise of the insurer whichever occur first.

OUR PEOPLE

Our employees continually drive our success and thus, we understand the importance of having a skilled and experienced employee cadre for the sustainable growth of the Company. Hence, we encourage a learning culture within the organisation while offering our employees opportunities for additional skill development, timely rewards and appreciation and industry par remuneration. For this purpose, we have designed our recruitment and people development processes to attract and retain the best in the industry.

The Company's recruitment policy focuses on diversity of skills and experience while considering gender equality. Our team comprises of a balanced mix of senior, experienced individuals as well as fresh talent. We have cultivated a performance-based culture where employees are rewarded based on their talent and performance. Further, we also maintain a confidential and effective channel of information and communication to allow employees to present their grievances to the management. During the year under review, there have been no reported incidents of discrimination in form.

Operating Environment

STAKEHOLDER ENGAGEMENT

The below table illustrate our stakeholder engagement approach.

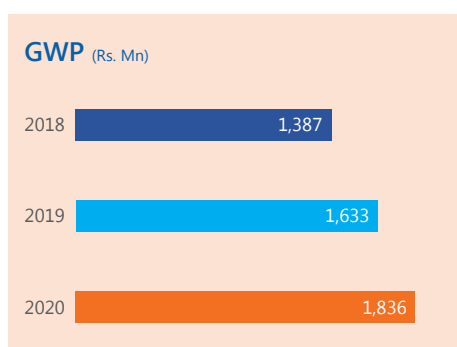
Stakeholder	Mode of Engagement	Key topic of Discussion	Meeting Expectations
Customers (Individual and corporate policy holders)	• Corporate website • Social media platforms • Complaint management • Media releases • Open interaction with sales managers and staff	• Response to insurance claims • Customer inquiries regarding service offerings	• Expanding distribution points and branch network • Speedy claim settlements • Reviewing and revising product pricing accordingly • Strengthening sales force for service excellence
Shareholders	• Annual report • Interim financial reports • Annual general meeting • Press releases • Corporate website	• Company performance and business expansion • Return on investments	• Sustainable growth • Maintaining corporate governance practices • Effective performance management
Employees	• Corporate communication tools • Staff meetings • Skip level interviews • Management meetings	• Timely remuneration • Opportunities for career advancement • Collaborative work culture • Work life balance	• Salary increments and promotions based on merit • Creating opportunities for career growth • Creating a conducive work environment
Suppliers and Business Partners	• Formal meeting • Management discussions • Open communication channels	• Forming mutually beneficial, long term partnerships • Respecting contractual obligations	• Maintain strict pricing policies • Implement risk management strategies
Government Institutions and Regulatory Authorities	• On-site surveillance • Filing returns • Directive and circulars	• Regulatory changes • Discussions on effective industry policies and regulations	• Observing regulatory requirements • Sound policy implementation

Financial Review

As the financial year under review was one of the most challenging ones in recent history, the Company's prudent risk management and focus on customer-centric business approach paved the way for commendable growth and business success during the year. However, even through the economic impact of the COVID-19 pandemic affected most organisations, our Company gained a substantial growth. In accordance with the rules published by IRCSL in 2015, Arpico Insurance maintained a Capital Adequacy Ratio (CAR) above 120% to be considered solvent. Arpico Insurance's CAR was at 302% as at 31st December 2020.

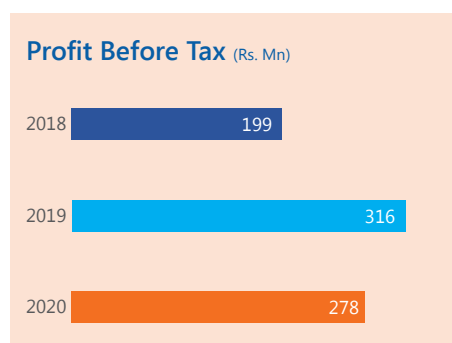
GROSS WRITTEN PREMIUM

Arpico Insurance posted a Gross Written Premium (GWP) of Rs. 1,836 Million during 2020. The year-on-year GWP growth rate was 12.4% in comparison to the previous financial year. Renewal Premium stood at Rs. 872 Million during the year under review whilst First Year Premiums for the year posted Rs. 964 Million.



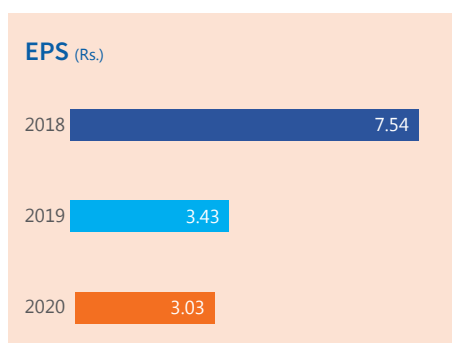
PROFITABILITY

The Company recorded a Profit of Rs. 278 Million, indicating a year-on-year contraction of 11.7% in comparison to the previous year.



EARNINGS PER SHARE

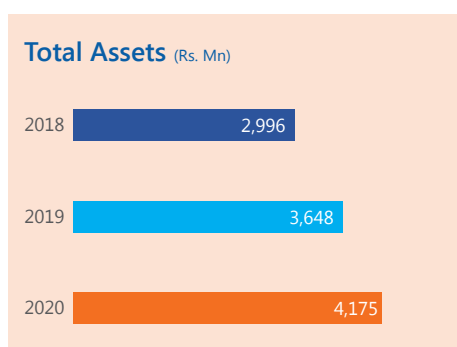
Arpico Insurance's EPS reached Rs. 3.03 in 2020.



Financial Review

ASSET BASE

The Company's total assets grew to Rs. 4,175 Million during the year under review indicating a healthy growth of 14.4% Year on Year from Rs. 3,648 Million recorded in 2019. The Company's investment portfolio grew to Rs. 2,682 Million in 2020, posting a Year-on-Year growth of 12.8%.

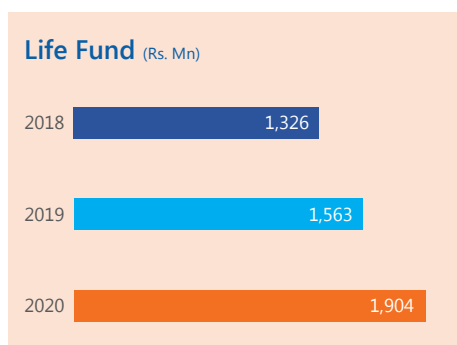


FUTURE OUTLOOK

The uncertainties prevailing in the macroeconomic environment and external risks pose formidable challenges to the Insurance industry in the imminent future. However, Arpico Insurance will continue its growth efforts through offering timely and customer centric products as well as engaging in prudent risk management and optimal investment strategies.

LIFE FUND

The Company's Life Fund grew by 21.8% to Rs. 1,904 Million in 2020. This steady growth reflects the Company's ability to fulfil obligations to policy holders and foretells sustainable outcomes for the future of the Company through retaining customer confidence as well as that of shareholders.





Governance

- 34 CORPORATE GOVERNANCE
 - 37 RISK MANAGEMENT
 - 41 AUDIT COMMITTEE
 - 43 REMUNERATION COMMITTEE REPORT
 - 44 RELATED PARTY TRANSACTIONS REVIEW
COMMITTEE REPORT
-

Corporate Governance

Our robust Corporate Governance practices form the foundation on which we build our long term success and growth. At Arpico Insurance PLC, we place considerable emphasis on formulating rules, structures and processes that ensure transparency and integrity, which in turn enable us to effectively deliver to the interest of our stakeholders while maintaining sustainability of our operations. The Board of Directors recurrently work towards setting the values of the Company by refining its system and process to ensure good Corporate Governance while being conscious of its accountability to the stakeholders and the public.

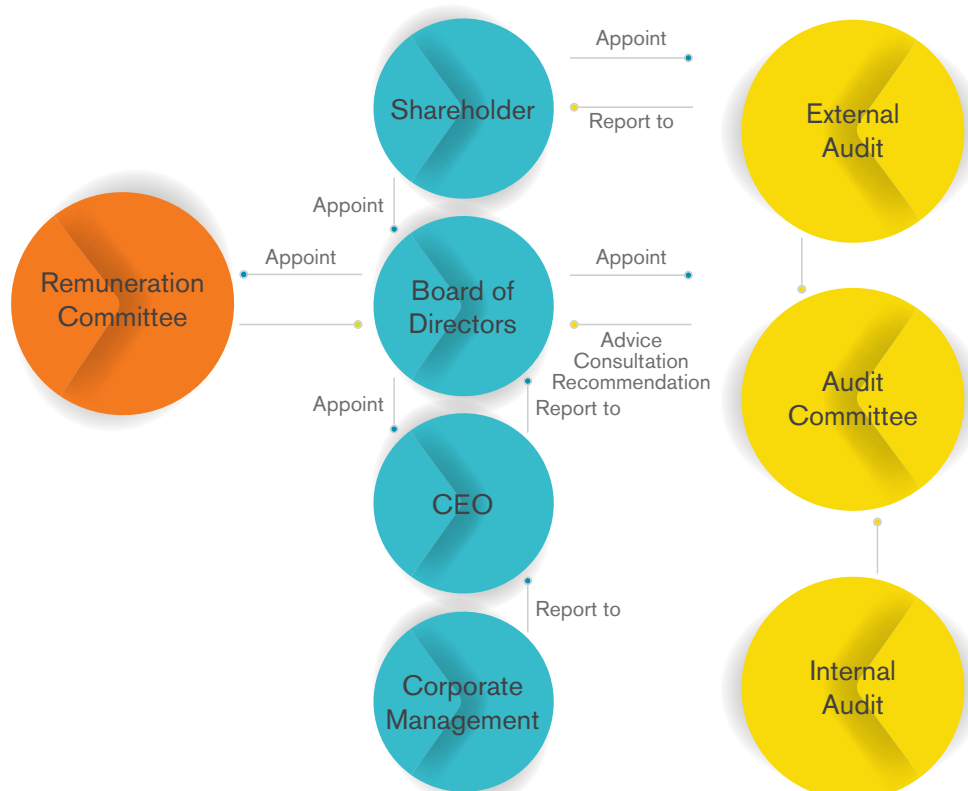
The Company abide by the guidelines stipulated in the Code of Best Practice on Corporate Governance issued jointly by the Institute of Chartered Accountants of Sri Lanka, the Securities and Exchange Commission of Sri Lanka and Listing Rules issued by the Colombo Stock Exchange. As we move ahead, widening our horizon, we remain conscience of the need for continuous re-evaluation and revision of our Corporate Governance practices in par with the local and global standards.

Our Corporate Governance model ensures that the necessary policies, procedures, and good practices are in place in ensuring the proper functioning of the operations and act as a bridge that links the relations between various stakeholders, particularly between the shareholders, Board of Directors, and the management.

BOARD OF DIRECTORS

The Board of Directors are the highest decision-making body of the Company and thus leads the planning of strategic direction and decides the risk appetite. To ensure robust Corporate Governance and Company progression, the Board directs the undisrupted running of the internal controls, working in collaboration with the management. The Board also supervises the performance of the Senior Management and Executive Officers in ensuring that the business process is in line with the Company strategy.

CORPORATE GOVERNANCE STRUCTURE



ROLE AND RESPONSIBILITIES OF THE BOARD

The Board has verified the independence of the two Non-Executive Directors, and they have no direct or indirect material relationship with the Company and have duly submitted the annual declaration as per the Colombo Stock Exchange Listing Rules.

APPOINTMENT OF DIRECTORS

In appointing Directors to the Board, Arpico Insurance PLC acquires prior consent from the Insurance Regulatory Commission of Sri Lanka, upon passing Ordinary Resolution for the authorisation of the appointments, in accordance with the 29 of the Articles of Association of the Company.

BOARD MEETINGS

There were 4 board meetings held during the year under review to evaluate Company strategy and review performance, review policy frameworks and discuss risk. Besides, 12 subcommittee meetings were held during the year under review. The meetings provided an effective forum to execute responsibilities of the Board.

BOARD SUBCOMMITTEES

Audit Committee

The Audit Committee's main function is to oversee the financial reporting and disclosure of the organisation. In a broader context, the committee investigates organisational risk and analyses the reports of management and auditors to ensure that assurance is robust.

The Audit Committee investigates the following.

- Internal controls and risk management systems
- The internal audit process including appointment and resourcing
- Financial statements including governance statements
- The external audit process
- Compliance reports
- Regulatory inspection reports
- Key performance data
- Whistleblowing
- Communications with shareholders regarding its activities

Investment Committee

The Investment Committee overlooks acquisition and financing strategies of the Company including compliance with the investment guidelines to ensure wise investments and future progress.

Remuneration Committee

The Remuneration Committee overlooks the maintenance of appropriate rewards policy to attract and motivate employees encouraging their enhanced performance towards long-term growth of the Company. The Committee plans and implements the Company's general remuneration policy as well as remuneration of key management personnel. The Remuneration Committee also determines specific remuneration package for each Executive Director.

Corporate Governance

Related Party Transactions Committee

The Related Party Transactions Committee review reports on transactions between the Company and affiliates to ensure strict adherence to organisational regulations.

Committee	Responsibilities	Members
Audit Committee	Oversee the Company's adherence and application of accounting policies, the financial reporting process and the execution of the internal control principles of the Company.	Mr. S Sirikananathan Mrs. Lasinee Serasinhe
Investment Committee	Ensure the smooth functioning and efficacy of investment activities of the Company.	Mr. Viville Perera Mr. Shiron Gooneratne
Remuneration Committee	Implement an appropriate reward policy to motivate executives to effectively carry out their duties and work towards organisational success.	The Remuneration Committee of Richard Pieris and Company PLC acts as the Remuneration Committee for Arpico Insurance PLC.
Related Party Transactions Committee	Review reports on transactions between the Company and affiliates and ensure adherence to regulations of the Company.	The Related Party Transactions Committee of Richard Pieris and Company PLC acts as the Related Party Committee for Arpico Insurance PLC.

INTERNAL CONTROLS

The internal control system of the Company ensures appropriate maintenances and protection of the Company's assets, through focusing on financial, operational and risk management. Arpico Insurance's internal control system investigates the reliability of information regarding Company assets. The Internal Audit Division continually evaluates the internal control system across the organisation reporting to the Chairman of the Audit Committee. Upon completion of the review, the division reports its findings to the Board.

COMPLIANCE

Arpico Insurance PLC is governed by mandatory rules and regulations as stipulated by the Companies Act No. 07 of 2007, Listing Rules of the CSE and the Regulation of Insurance Industry (RII) Act No. 43 of 2000 and subsequent amendments and rules, regulations, directives, and circulars issued by the Insurance Regulatory Commission of Sri Lanka (IRCSL). The Company adheres to the guidelines issued by the Sri Lanka Accounting Standards (LKAS and SLFRS) and other statutory regulations in preparation of the financial statements of the Company. In accordance with the Listing Rules of

the Colombo Stock Exchange, the Company publishes quarterly financial statements to give shareholders access to significant developments that took place during the reported period. Moreover, following IRCSL guidelines, the Company prepares and submits monthly and quarterly returns. The Board of Directors, to the best of their knowledge and belief, are satisfied that all statutory payments have been made to date.

SHAREHOLDING STRUCTURE

Shareholder	%
Kegalle Plantation PLC	40
Richard Pieris Distributors Limited	27
Richard Pieris and Company PLC	23
Public	10

GOING CONCERN

The Director Board used the 'Going Concern' basis in preparation of the financial statements, upon conducting a comprehensive analysis of the financial position and cash flow status of the Company. Therefore, the Board is confident that the Company can function without the threat of liquidation for the foreseeable future.

Risk Management

The Insurance industry revolves around risk acceptance. Hence, prudent risk management policies that evolve with changing dynamics play a central role in our short, medium and long term success and effectiveness. The current macro-economic environment poses multiple, interlinked challenges, which require consistent evaluation, innovative strategies and revisiting of risk mitigating approaches. As such, risk management strategy of Arpico Insurance revolves around the core approaches of timely risk identification, in depth evaluation and adaptation to market realities and mitigation of future risks.

Board of Directors and Senior Management of the Company play a proactive role in shaping and implementing the risk management framework of Arpico Insurance.

We have carefully laid out precautionary measures to effectively navigate external risks beyond our control. Meanwhile, the Company consistently aligns our growth and expansion strategies with an evolving risk management framework.

Moreover, Arpico Insurance PLC promotes a risk sensitive and prudent culture at all levels of the Company. We have created a transparent culture that is conducive to all employees to comprehend potential risk and act in a timely and effective manner to mitigate such risks. All employees receive opportunities to engage in risk identification training and acquire knowledge about the industry and external environment. The Board of Directors oversees the risk culture in the organisation to steer the risk management process in the right direction.

RISK MANAGEMENT PROCESS

Our risk management process makes allowances to the constant flux of the external environment and rising external uncertainties. We strive consistently to manage risk impact within acceptable levels. The risk management process comprise of interrelated steps that work in unanimity to ensure a sound risk framework. The Board of Directors remains responsible for the robustness and effectiveness of the risk management process.



RISK MANAGEMENT OBJECTIVES

We are well aware of the fact that well-defined and clear risk management objectives play a pivotal role in facilitating the implementation of risk strategies. As such, we have identified and laid out a set of clear objectives, which we constantly revisit during our risk management process.



Risk Management

RISKS

The insurance industry has to contend with various industry-specific and generic risks. With the objective of better comprehending risks to manage each risk effectively, we have categorised risks.



Economic risk

- Price competition in the saturated insurance industry
- Macro-economic conditions that affect the disposable income of customers to negatively impact their interest in insurance products
- Volatile insurance rates, which can have a negative impact on the Life Insurance business due to the increase in the liability of insurance fund

Social risk

- Competition for talent in the insurance industry (employee turnover)
- The aging population in Sri Lanka
- Socio-political tensions and prevailing uncertainty

Technological risks

- Cyber security threat to the data base of the Company
- Challenges in digital transformation

Legal risks

- Inconsistent regulatory changes
- The new Inland Revenue act
- Complexities of the compliance requirements

Environmental risks

- The impact of climate change
- The propensity of the country towards large scale natural disasters

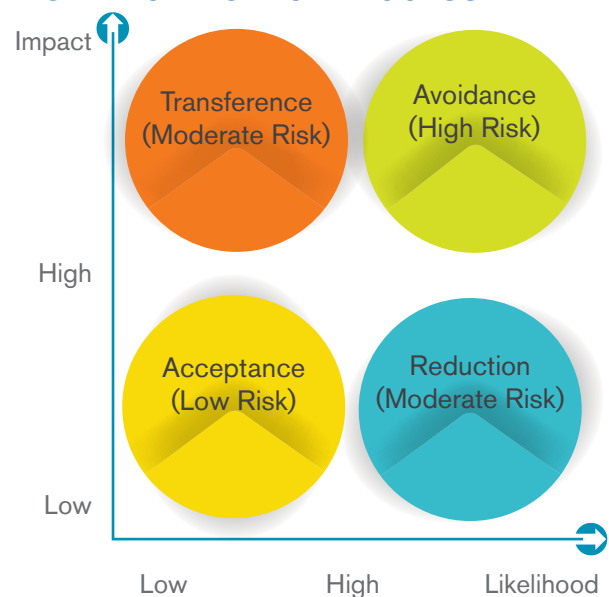
Arpico Insurance further breaks down the above categories to broader categories in order to prioritise risks and effectively address each risk accordingly. These broader risk categories go hand in hand with our risk prioritisation process.

RISK CATEGORIES AND PRIORITISATION

Broader Risk Categories

- Credit risk
- Liquidity risk
- Market risk
- Operational risk
- Compliance risk
- Underwriting risk
- Reinsurance risk

RISK PRIORITISATION PROCESS



Risk Category	Risk Description	Risk Rating	Risk Mitigation
Underwriting Risk	The premium received not sufficient enough to cover the claims, the insurer is confronted with the probability of loss	High	Ensuring a sufficient level of segregation between duties of sales and underwriting functions while centralizing function at head office. Maintaining a robust manual of financial to offer guidance to underwriting staff. Frequent audits and verification to ensure the smooth function of the process. Timely consultation and feedback from Consultant Actuary and Reinsurer to adequately price products. The medical reports are only generated from the registered and well-respected laboratories monitor by the management to ensure quality service. Carrying underwriting as per the set guideline given by the reinsurer.
Reinsurance Risk	Reinsurance risk refers to the inability of the ceding company to obtain insurance from a reinsurer at the right time and at an appropriate cost	Moderate	The Company only works with reinsurers with 'A' or above ratings and monitors their ratings consistently. Conducting frequent reviews of outstanding reinsurance receivables. Maintain close relationship with all reinsurers.
Credit Risk	The risk of financial losses in case of the counter party failing to meet contractual payment obligations.	Moderate	Periodical reviews into the creditworthiness and financial stability of all entities. The Company only places corporate debt investment exposure with counter parties that retain a credit rating of or above BBB+, given by well-known rating companies. Imposing strict credit limitations on all such entities, upon reviewing their stability. Maintaining a structured and standardized credit approval process, based on the size and nature of the organisation. Employing only senior and experienced staff to carry our credit approval.

Risk Management

Risk Category	Risk Description	Risk Rating	Risk Mitigation
Market Risk	Risk of changes in the interest rates, which might affect the Company's investment portfolio.	High	The Company uses prudent tools to manage investment risk by diversifying investments. In addition, a considerable portion of the Company's investments are held in Government Securities to minimise credit default risk. The Company has established and maintains a clear investment policy with guidance from the Board of Directors.
Compliance Risk	Risk arising from non-compliance with existing regulations or complications arising from unexpected regulatory changes.	Moderate	Strict adherence to relevant rules and regulations. Periodical reviews on major regulatory developments and employing a mechanism to anticipate potential impact on the Company. Consistent participation in industry forums such as events organised by the Insurance Association of Sri Lanka. The Company's business process invariably goes through timely analyses and updates of policies and procedures.

RISK MANAGEMENT OUTLOOK FOR 2020

The year 2020 is set to pose a unique set of challenges. The insurance industry will have to re-evaluate its risk management strategies, change the core approach and prepare to manage risk using innovative tools. At Arpico Insurance, we remain committed to identifying risk, remaining market sensitive and upgrading our risk management approach with focus on long-term growth.

Audit Committee Report

The Audit Committee Charter dictates the purpose, authority, composition, meetings and responsibilities of the Committee. The Board of Directors is responsible for the approval and effective implementation of the audit committee charter and appoints the audit committee.

PURPOSE

The purpose of the Audit Committee is to

- Assist the Board of Directors in fulfilling its overall responsibilities for the Financial Reporting Process
- Review the system of internal control and risk management procedures
- Monitor the effectiveness of internal audit function
- Review the Company's process for monitoring compliance with laws and regulations
- Assess the independence and performance of the Company's external auditors
- Make recommendations to the Board on the appointment of external auditors, their remuneration and terms of appointment

COMPOSITION

The members of the Audit Committee of Arpico Insurance PLC comprised the following directors of the Company as at 31 December 2020:

Mr. S Sirikananathan	– Chairman and Independent Non-Executive Director
Mrs. L Serasinhe	– Independent Non-Executive Director

This Annual Report presents the profiles of the members of the Audit Committee on pages 16 to 17. The Company secretary acted as the secretary to the Audit Committee.

MEETINGS

The Audit Committee held a total of 04 meetings during the year under review. Audit Committee meetings were conducted in attendance (upon invitation) of the GM - Finance and Operation, the Finance Manager and the Group Internal Auditors. The Audit Committee extended invitations to members of the Management and external auditors whenever their presence was deemed necessary. Board members received updates of the Audit Committee activities via meeting minutes tabled at Board meetings held subsequently to each Audit Committee meeting.

INTERNAL AUDIT AND RISK MANAGEMENT

The Audit Committee is responsible for the effective functioning of the internal audit programme to ensure the efficiency of the critical operational aspects. The Audit Committee evaluated the internal audit programme for effectiveness, reviewed the internal audit findings, the management responses, the suggested corrective actions if any and monitored the implementation of remedial measures.

INTERNAL CONTROLS

The Audit Committee reviewed the Company's internal control system and its approach to managing the business and financial risks in its endeavor to identify potential inefficiencies for recommending countering measures to reduce such risks. The Audit Committee review ensured that the necessary tools are in place to secure Company assets. The Audit Committee reviewed the financial reporting system to determine the effectiveness and accuracy of the preparation and presentation of the financial statements. The Committee monitored the monthly comprehensive Financial Review Reports to ensure that all critical performance criteria were prepared and reviewed by the Management.

Audit Committee Report

FINANCIAL STATEMENTS AND RELATED DISCLOSURES

In line with its responsibility of overlooking the Company's financial reporting, the Audit Committee reviewed the following areas to the extent it deemed necessary and appropriate, in discussion with the external auditors and the Management:

- I. Significant financial issues and judgments made in connection with the preparation of the Company's Financial Statements.
- II. Consistency of the accounting policies and methods adopted and their compliance with the Sri Lanka Financial Reporting Standards (SLFRS/LKAS).
- III. Requirements of the Companies Act No. 07 of 2007 and the Regulation of Insurance Industry Act No. 43 of 2000 and amendments thereto.

The Audit Committee has reviewed all Interim Financial Statements and the Annual Financial Statements for the year ended 31 December 2020 before their issuance.

COMPLIANCE WITH LAWS AND REGULATIONS

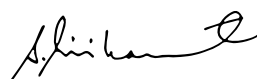
The Audit Committee reviewed all the compliance checklists signed off by the Management of the Company to ensure compliance with all applicable compliance submissions relating to Department of Inland Revenue, Insurance Regulatory Commission of Sri Lanka and Labour regulations.

EXTERNAL AUDITORS

The Audit Committee met the External Auditors to analyse the Audited Financial Statements and looked into all relevant and consequential matters. The Committee was satisfied that non-audit services facilitated by External Auditors did not intervene with their independence and objectivity. The Committee determined that the Company assigned such services in a manner calculated to prevent any conflict of interest. The Audit Committee has recommended to the Board of Directors, the reappointment of Messrs. Ernst and Young as Auditors for the financial year ended 31 December 2020 subject to the approval of the shareholders at the next Annual General Meeting.

CONCLUSION

The Audit Committee is satisfied that the internal controls and procedures in place for assessing and managing the risks provide reasonable assurance regarding the reliability of financial reporting of the Company; the safeguarding of the Company's assets and the following of all relevant laws, rules, regulations, code of ethics and standards of conduct.



S Sirikananathan
Chairman
Audit Committee
Colombo, Sri Lanka
27 April 2021

Remuneration Committee Report

The Remuneration Committee of the Richard Pieris and Company PLC acted as the Remuneration Committee of Arpico Insurance PLC.

The Remuneration Committee, appointed by and responsible to the Board of Directors, consists of two independent Non-Executive Directors, Dr. Jayatissa De Costa P.C., Mr. Joseph Felix Fernandopulle, Mr. Prasanna Fernando. The Committee is chaired by Dr. Jayatissa De Costa P.C. The committee met on several occasions during the financial year.

The Remuneration policy of the Company is formulated to attract and retain high caliber personnel and motivate them to develop and implement the business strategy in order to optimise long term shareholder value.

The Remuneration Committee has reviewed and recommended the following to the Board of Directors:

1. Policy on remuneration of the Executive Staff.

The Committee took into account competition, market information and business performance in deciding the overall remuneration policy.



Dr. Jayatissa De Costa P.C.

Chairman

27 April 2021

Related Party Transactions Review Committee Report

The Related Party Transactions Review Committee of the Richard Peiris and Company PLC acts as the The Related Party Transactions Review Committee of Arpico Insurance PLC.

The Related Party Transaction Review Committee, appointed by and responsible to the Board of Directors, consists of three Independent Non-Executive Directors, which includes its Chairman Dr. Jayatissa De Costa P.C., Mr. Joseph Felix Fernandopulle, Mr. Prasanna Fernando.

THE OBJECTIVES OF THE COMMITTEE

1. To exercise oversight on behalf of the Board, that all Related Party Transactions ("RPTs" Other than those exempted by the CSE listing rules on the Related Party Transactions) of Arpico Insurance PLC are carried out and disclosed in a manner consistent with CSE Listing rules.
2. To advise and update the Board of Directors on related party transactions of Arpico Insurance PLC on quarterly basis.
3. To ensure compliance with the CSE listing rules on Related Party Transactions.
4. To review policies and procedures of Related Party Transactions of Arpico Insurance PLC
5. To ensure shareholders interests are protected and that fairness and transparency are maintained.

POLICIES AND PROCEDURES ADOPTED BY THE COMMITTEE

Head of Finance is responsible for reporting the information set out under 'Appendix 9 A' of the listing rules with regard to each related party transactions proposed to be entered into by the Company with the exception of information listed in the section 9.5 of the listing rules for the committee to review and to grant approval or disapproval.

The committee reviewed all related party transactions for the year 2020. All related party transactions entered into during the year were of a recurrent, trading nature and were necessary for day to day operations of the Company. In the opinion of the committee, the terms of these transactions were not more favorable to the related parties than those generally available to the public.

The committee held 04 meetings during the period under review. The activities and the views of the committee have been communicated to the Board of Directors where appropriate.

No related party transactions exceeded the limit of 10 percent of the equity or 5% of the total assets requiring immediate disclosure to CSE and a separate disclosure has been made in the annual report as required by Section 9.3.2 (b) of listing rules, the board confirms that the Company has complied with all requirements as per Section 9 of the Listing Rules.

The directors have disclosed the transactions with related parties in terms of Sri Lanka Accounting Standard (LKAS 24). All details of such related party transactions entered into during the year are given in Note 32 to the Financial Statements on page 98 to 99 of this Annual Report.



Dr. Jayatissa De Costa P.C.
Chairman
27 April 2021



Financial Statements

46	ANNUAL REPORT OF THE BOARD OF DIRECTORS ON THE AFFAIRS OF THE COMPANY
49	DIRECTOR'S RESPONSIBILITY FOR FINANCIAL REPORTING
50	ACTUARY'S REPORT
51	INDEPENDENT AUDITOR'S REPORT
54	INCOME STATEMENT
55	STATEMENT OF COMPREHENSIVE INCOME
56	STATEMENT OF FINANCIAL POSITION
57	STATEMENT OF CASH FLOWS
58	CHANGES IN EQUITY
59	NOTES TO THE FINANCIAL STATEMENTS

Annual Report of the Board of Directors on the Affairs of the Company

GENERAL

It is with pleasure that the Board of Directors of Arpico Insurance PLC present their Annual Report on the affairs of the Company, Audited Financial Statements and the Auditor's Report for the year ended 31st December 2020. This report was approved by the Board of Directors on 27 April 2021.

Arpico Insurance PLC is a licensed Life Insurance Company registered under the Regulation of Insurance Industry Act No. 43 of 2000. The Company was incorporated on 22nd June 2011 as a limited liability Company under the Companies Act No. 17 of 1982 and re-registered on 21st May 2015 as per the requirements of the Companies Act No. 07 of 2007 and bears the Company Registration Number, PB 4739 PQ

The ordinary shares of the Company are listed on the Diri Savi Board of Colombo Stock Exchange.

PRINCIPAL ACTIVITIES

The principal activity of the Company constitutes provision of Life Insurance in Sri Lanka. No significant changes were made to the Company's principal activities during the financial year under review. The Company has not engaged in any activities, which contravene laws and relevant regulations.

VISION MISSION AND CORPORATE VALUES

The Company's Vision and Mission are provided on page 03 of this Annual Report. The Directors ensure that the business activities of the Company are carried out within the framework of objectives outlined in the Vision and Mission and are in conformity with the values of the Company reflecting a commitment to the highest ethical standards and integrity.

REVIEW OF COMPANY PERFORMANCE

Complying with the requirements of the Companies Act, the Chairman's Review, Review of Operations, Financial Review and Other statements in this Annual Report briefly describe the performance of the Company during the financial year under review. These reports form an integral part of the Annual Report of the Board of Directors.

FUTURE DEVELOPMENT

The Chairman's Message on pages 10 to 13 offers an overview of the Company's future developments.

FINANCIAL STATEMENTS

The Audited Financial Statements that include the Income Statement and Statement of Comprehensive Income, Statement of Financial Position, Statement of Changes in Equity, Statement of Cash Flows and Notes to the Financial Statements of the Company for the financial year ended 31st December 2020 on pages 59 to 100 form an integral part of the Annual Report of the Directors.

The Financial Statements have been prepared in accordance with the Sri Lanka Accountings Standards (SLFRS) laid down by the Institute of Chartered Accountants of Sri Lanka and comply with the Companies Act No. 7 of 2007, Regulations of the Insurance Industry Act No. 43 of 2000 and other rules and regulations of the Insurance Regulatory Commission of Sri Lanka and the listing rules of Colombo Stock Exchange.

AUDITORS' REPORT

The Auditors' Report can be found on page 51 to 53 of this Annual Report.

AUDITORS

The current auditors Messrs. Ernst & Young will be considered reappointed as auditors, at the Annual General Meeting of the Company in terms of Section 158 of the Companies Act No. 07 of 2007. A resolution authorising the Directors to determine their remuneration will be proposed at the Annual General Meeting. Their audit fee for the year is disclosed in note 10 to the Financial Statements. As far as the Directors are aware, the auditors do not have any other relationship with the Company other than those disclosed in this Annual Report.

ACCOUNTING POLICIES

The Accounting Policies adopted in the preparation of the Financial Statements are given on pages 59 to 73. There were no significant changes to the accounting policies of the Company during the year.

GROSS WRITTEN PREMIUM

The table below gives growth in Gross Written Premium for the year 2020. Further details on financial performance are given on pages 54 to 55.

	2020 in '000s	2019 in '000s	Growth %
FYP	964,189	873,409	10
Renewal	810,378	698,761	16
Group premium	61,534	60,986	1
Total	1,836,101	1,633,156	12

RESULTS

The Company recorded a profit of Rs. 200 Million for the year. A synopsis of the financial performance is presented below.

	2020 Rs. '000	2019 Rs. '000
Profit Before Tax	278,595	316,106
Income Tax (Expense)/Reversal	(77,919)	(88,850)
Profit After Tax	200,676	227,256

TAXATION

The Company is liable to income tax at 28% under the prevailing tax rules of the country. The tax calculation method of Life Insurance business changed with the enactment of the New Inland Revenue Act, No. 24 of 2017, which came into effect on 1st April 2018 and the Company will have taxable profits from 1st April 2018. Details are disclosed in note 11 to the Financial Statements on pages 76 to 78.

PROPERTY, PLANT AND EQUIPMENT

The book value of Property, Plant & Equipment of the Company stood at Rs. 59 million as at the Balance Sheet date. Details are given in Note 13 to the Financial Statements.

INVESTMENTS

Investments of the Company amounted to Rs. 2,682 million. Details are given in Note 16 to the Financial Statements.

STATED CAPITAL AND RESERVES

Stated Capital and Total Equity of the Company as at 31st December 2020 stood at Rs. 675 million and Rs. 1,185 million respectively. Details for Statement of Changes in Equity are given on page 58.

HUMAN RESOURCES

The Company's Human Resource policy is driven to reach its corporate goals and objectives by inculcating in employees a strong value system and ethics. While the Company is focused on developing employee ability to optimise results, the policies and procedures in place ensure equitable treatment of all employees.

BOARD OF DIRECTORS

The Board of Directors of the Company consists of five (05) Directors with wide financial knowledge and experience. The Names of the Directors who held office are given below and their brief profiles appear on pages 16 to 17.

Name of the Director	Status
Mr. W J V P Perera	Non-Executive Director
Mr. S Gooneratne	Non-Executive Director
Mr. R N Liyanage	Non-Executive Director (R.W.E. 25.08.2020)
Mr. S Sirikananathan	Independent Non-Executive Director
Mrs. L S A Serasinhe	Independent Non-Executive Director

DIRECTORS INTEREST IN CONTRACTS WITH THE COMPANY

Directors' and other Key Management Personnel's interest in transactions of the Company are disclosed in note 32 to the Financial Statements.

The Company maintains an Interest Register in conforming to the provisions of the Companies Act No. 07 of 2007.

DIRECTORS' SHAREHOLDINGS

Shareholdings of the Directors in the Company were as follows:

Name of the Director	2020 No. of Shares	2019 No. of Shares
Mr. W J V P Perera	Nil	Nil
Mr. S Gooneratne	Nil	Nil
Mr. S Sirikananathan	Nil	Nil
Mrs. L S A Serasinhe	Nil	Nil

Annual Report of the Board of Directors on the Affairs of the Company

DIRECTORS' RESPONSIBILITY FOR FINANCIAL REPORTING

The Statement of Directors Responsibility is given on Page 49.

BOARD SUB COMMITTEES

The Board whilst assuming responsibility for the management and the smooth running of the Company has established sub-committees to ensure effective control over specific functions of the Company. The sub-committees consist of Audit Committee, Risk and Compliance Committee and an Investment Committee.

CORPORATE GOVERNANCE

The Board acknowledges their responsibility to ensure that the Company complies with good corporate governance practices as set out on pages 34 to 36.

RISK MANAGEMENT AND SYSTEM OF INTERNAL CONTROLS

The Board recognises effective risk management and internal control systems are essential parts of the management of the organisation. The Company has implemented a comprehensive risk management process which is monitored through the board Risk Management Committee and the Audit Committee. Detailed outline of the risk management process is given on page 37 of this Annual Report.

CONTINGENCIES

There were no significant contingencies identified throughout the year.

STATUTORY PAYMENTS

The Directors, to the best of their knowledge and belief, are satisfied that all statutory payments due to the government, other regulatory institutions and in relation to the employees have been made on time.

COMPLIANCE WITH LAWS AND REGULATIONS

The Company has not engaged in any activity against the prevailing laws and regulations. Compliance with the provisions of laws and regulations has been confirmed to the Board of Directors at Board Meetings.

EVENTS AFTER THE BALANCE SHEET DATE

Details of events after the balance sheet date are provided in note 35 to the Financial Statements.

GOING CONCERN

The Directors have adopted the Going Concern basis in preparing the Financial Statements. They have reviewed the Company's performance and financial standing and are satisfied that it has adequate resources to continue its operations in the foreseeable future.

ANNUAL GENERAL MEETING

The Annual General Meeting will be held at the Sri Lanka Foundation Institute, Sri Lanka Padanama Mawatha, 100, Independence Square, Colombo 07 on 31 May 2021. The notice of the Annual General Meeting is on page 106 of this publication.

For and on behalf of the Board,



Mr. Viville Perera
Director



Mr. Shiron Gooneratne
Director



Mrs. J Siriweera
Company Secretary
27 April 2021

Directors' Responsibility for Financial Reporting

The Companies Act, No. 07 of 2007 places responsibility on the Directors to prepare and present financial statements for each year comprising a balance sheet as at year end date and the statements of income, cash flows and changes in equity for the year together with the significant accounting policies and explanatory notes.

In preparing and presenting the financial statements, the Directors are responsible to ensure that:

- a) Sri Lanka Accounting Standards, as applicable, have been followed,
- b) Appropriate accounting policies have been selected and applied consistently and they disclose material departures and reasons for departures,
- c) Reasonable and prudent judgments and estimates have been made,
- d) The Companies Act No. 07 of 2007, Regulation of Insurance Industry Act No. 43 of 2000 and the Listing Rules of Colombo Stock Exchange have been complied with

And while conforming to the standards, policies, laws, rules and regulations stated herein; to discharge their responsibility to ensure disclosure of the financial position of the Company with reasonable accuracy; they are mindful of their responsibility to ensure that the Company maintains adequate accounting records for the purpose.

The Directors have a responsibility to ensure that the Company has adequate resources to continue business in the foreseeable future. They, after a comprehensive review of the Company's financial position, have adopted the going concern basis for the preparation of the financial statements.

The Directors are responsible for the proper management of the resources of the Company. They have taken steps to establish and maintain an appropriate system of internal control to obtain reasonable assurance that the Company is protected from undue risks, frauds and other irregularities.

The Directors confirm that they have provided the auditors all the information and explanations which were considered necessary for the conduct of their audit.

The Directors, to the best of their knowledge and belief, are satisfied that all the statutory payments have been settled up to date or accrued in the financial statements.

By Order of the Board,



Mrs. J Siriweera
Company Secretary
Colombo, Sri Lanka
27 April 2021

Actuary's Report



Actuarial Partners Consulting Sdn Bhd
formerly known as Mercer Zainal Consulting Sdn Bhd
Suite 17.02 Kenanga International
Jalan Sultan Ismail
50250 Kuala Lumpur, Malaysia
603 2161 0433 Fax 603 2161 3595

27 April 2021

To the Shareholders of Arpico Insurance PLC.

ACTUARIAL VALUATION OF THE LONG TERM INSURANCE BUSINESS AS AT 31 DECEMBER 2020

We have carried out an actuarial valuation of the Long Term Insurance Business as at 31 December 2020. We hereby certify that, in our opinion,

- 1) Proper records have been kept by the Company, which are appropriate for the purpose of the actuarial valuation of the liabilities of the Long Term Insurance Fund;
- 2) Adequate and proper reserves have been provided as at 31 December 2020, for all liabilities in respect of the Long Term Insurance Fund, taking into account all current and contingent liabilities as at that date;
- 3) As at 31 December 2020, the Company maintained a Capital Adequacy Ratio of 415% calculated as per the Solvency Margin (Risk Based Capital) Rules 2015 issued by the Insurance Regulatory Commission of Sri Lanka as required under the Regulation of Insurance Industry Act No. 43 of 2000. This is well above the minimum Capital Adequacy Ratio of 120% as per the same rules;
- 4) We carried out a Liability Adequacy Test ("LAT") for Long Term Insurance fund as at 31 December 2020 as required by SLFRS 4 - Insurance Contracts and the assets are sufficiently adequate as compared to liabilities under the LAT.

A handwritten signature in black ink, appearing to read "Hassan Scott Odierno".

Hassan Scott Odierno
Actuary

Independent Auditors' Report



Ernst & Young
Chartered Accountants
201 De Saram Place
P.O. Box 101
Colombo 10
Sri Lanka

Tel : +94 11 2463500
Fax Gen : +94 11 2697369
Tax : +94 11 5578180
eysl@lk.ey.com
ey.com

TO THE SHAREHOLDERS OF ARPICO INSURANCE PLC

Report on the audit of the financial statements

Opinion

We have audited the financial statements of Arpico Insurance PLC ("the Company"), which comprise the statement of financial position as at 31 December 2020, and the statement of comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies.

In our opinion, the accompanying financial statements of the Company give a true and fair view of the financial position of the Company as at 31 December 2020, and of its financial performance and cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

Basis for opinion

We conducted our audit in accordance with Sri Lanka Auditing Standards (SLAuSs). Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the financial statements section of our report. We are independent of the Company in accordance with the Code of Ethics issued

by CA Sri Lanka (Code of Ethics) and we have fulfilled our other ethical responsibilities in accordance with the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key audit matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements of the current period. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. For each matter below, our description of how our audit addressed the matter is provided in that context.

We have fulfilled the responsibilities described in the Auditor's responsibilities for the audit of the financial statements section of our report, including in relation to these matters. Accordingly, our audit included the performance of procedures designed to respond to our assessment of the risks of material misstatement of the financial statements. The results of our audit procedures, including the procedures performed to address the matters below, provide the basis for our audit opinion on the accompanying financial statements.

Partners: W R H Fernando FCA FCMA R N de Saram ACA FCMA Ms. N A De Silva FCA Ms. Y A De Silva FCA W R H De Silva ACA ACMA W K B S P Fernando FCA FCMA
Ms. K R M. Fernando FCA ACMA Ms. L K H L Fonseka FCA A P A Gunasekera FCA FCMA A Herath FCA D K Hulangamuwa FCA FCMA LLB (Lond) H M A Jayasinghe FCA FCMA
Ms. A A Ludowyke FCA FCMA Ms. G S Manatunga FCA A A J R Perera ACA ACMA Ms. P V K N Sajeewani FCA N M Sulaiman ACA ACMA B E Wijesuriya FCA FCMA
Principals: G B Goudan ACMA T P M Ruberu FCMA FCCA

A member firm of Ernst & Young Global Limited

Independent Auditor's Report

Key audit matter	How our audit addressed the key audit matter
Insurance contract liabilities The Company has insurance contract liabilities of LKR 1.9 Bn which represents 82% of Company's total liabilities. The valuation of the life insurance contract liabilities required the application of significant assumptions such as discount rate, mortality, morbidity, withdrawal, expenses and expense inflation as disclosed in Note 2.7.1 and Note 25 to the financial statements. Given the magnitude of the balance and the subjectivity of the assumptions involved in the valuation and expected effects of the ongoing COVID 19 pandemic on the recognition of the claim provisions, we considered this as a Key Audit Matter.	To assess the reasonableness of the insurance contract liabilities, our audit procedures (among others) included following; • Testing the key controls over the process of recognition, measurement and submission of data for estimating the insurance contract liabilities. • Engaging specialized resources to assess the reasonableness of the assumptions and appropriateness of the method used in the valuation of the insurance contract liabilities with reference to market data, policyholders' experience and the impact of COVID 19 on the assumptions. • Assessing the adequacy of the disclosures in Note 2.7.1 and Note 25 to the financial statements.
Deferred tax asset on brought forward tax losses As detailed in Note 11 to the financial statements, the brought forward tax losses of the Life insurance business as of 31 December 2020 amounted to Rs. 491.6 Mn with a Deferred Tax Asset of Rs. 137.6 Mn is derived from such tax losses. As disclosed in Note 2.7.4, the utilization of said tax losses are subject to the agreement of the basis of computation of the Taxable Income of the Insurance Business with the Department of Inland Revenue. Given the degree of significant assumptions and judgement involved in management decision to recognize the Deferred Tax Asset, we considered this matter to be a Key Audit Matter.	Our audit procedures included the following; • Revisiting the estimates and judgements made by the Company on the tax losses and engaging internal experts to assess the reasonableness of the basis on which the opinion is given by the independent tax consultant of the Company. • Assessing the business plans used and thus the likelihood that taxable profits would be available to utilize the tax losses in the future. • Assessing the adequacy of the disclosures given in Note 2.7.4 and Note 11 to the financial statements.
Other information included in the Company's 2020 Annual Report Other information consists of the information included in the Annual Report, other than the financial statements and our auditor's report thereon. Management is responsible for the other information. Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon. In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.	Responsibilities of management and those charged with governance Management is responsible for the preparation of financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error. In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so. Those charged with governance are responsible for overseeing the Company's financial reporting process.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SLAuSs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SLAuSs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the internal controls of the Company.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Company to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the Company audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with ethical requirements in accordance with the Code of Ethics regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

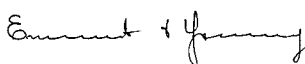
From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

As required by section 163 (2) of the Companies Act No. 07 of 2007, we have obtained all the information and explanations that were required for the audit and, as far as appears from our examination, proper accounting records have been kept by the Company.

As required by Section 47(2) of the Regulation of Insurance Industry Act, No.43 of 2000, as far as appears from our examination, the accounting records of the Company have been maintained in the manner required by the rules issued by the Insurance Regulatory Commission of Sri Lanka, so as to clearly indicate the true and fair view of the financial position of the Company.

CA Sri Lanka membership number of the engagement partner responsible for signing this independent auditor's report is 2199.



27 April 2021
Colombo

Income Statement

Year ended 31st December	Note	2020 Rs.	2019 Rs.
Gross written premium	3 (a)	1,836,100,261	1,633,155,997
Premium ceded to reinsurers	3 (b)	(91,424,657)	(88,849,485)
Net written premium		1,744,675,604	1,544,306,512
Other revenue			
Fees and commission income	4.	34,222,629	28,825,103
Investment income	5.	253,389,343	261,012,023
Net realised gains/(losses)	6.	-	21,327,018
Other operating revenue	7.	9,039,175	10,573,868
Total other revenue		296,651,147	321,738,012
Net income		2,041,326,751	1,866,044,524
Net insurance benefits and claims paid	8 (a)	(395,053,475)	(298,735,091)
Net change in insurance claims outstanding	8 (b)	(7,955,560)	(7,350,853)
Underwriting and net acquisition costs	9.	(684,711,112)	(657,650,246)
Change in contract liabilities - Life fund	25.	(296,040,673)	(221,785,330)
Other operating and administrative expenses	10.	(378,971,019)	(364,417,384)
Total benefits, claims and other expenses		(1,762,731,839)	(1,549,938,904)
Profit before tax		278,594,912	316,105,620
Income tax expense	11 (a)	(77,918,674)	(88,849,801)
Profit for the year		200,676,238	227,255,819
Earning per share - Basic	12.	3.03	3.43

The accounting policies and notes as set out in pages 59 to 100 form an integral part of these financial statements.

Statement of Comprehensive Income

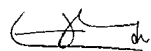
Year ended 31st December	Note	2020 Rs.	2019 Rs.
Profit for the year		200,676,238	227,255,819
Other comprehensive income			
Other comprehensive income to be reclassified to profit or loss in subsequent periods			
Net change in fair value of available-for-sale assets	25.	46,129,731	15,088,972
Fair value movement of AFS reserve transferred to life fund	25.	(46,129,731)	(15,088,972)
Other comprehensive income not to be reclassified to profit or loss in subsequent periods			
Re-measurement gain/(loss) on defined benefit plan	26.	(313,936)	872,847
Other comprehensive income for the year, net of tax		(313,936)	872,847
Total comprehensive income for the year, net of tax		200,362,302	228,128,666

The accounting policies and notes as set out in pages 59 to 100 form an integral part of these financial statements.

Statement of Financial Position

As at 31st December	Note	2020 Rs.	2019 Rs.
Assets			
Property, plant and equipment	13.	59,060,218	60,142,522
Right of use assets	14.	137,336,423	119,555,926
Intangible assets	15.	413,031	675,531
Financial assets	16.	2,682,476,454	2,376,948,902
Loans to life policyholders	17.	389,694,262	286,270,410
Reinsurance receivables	18.	7,170,413	68,351,851
Amounts due from related parties	19.	6,448,559	51,716,671
Premium receivable	20.	30,808,290	69,528,421
Other assets	21.	55,874,973	103,514,705
Deferred tax asset	11 (d).	137,659,910	215,578,584
Cash and cash equivalents	22.	668,548,192	295,514,738
Total assets		4,175,490,725	3,647,798,261
Equity and liabilities			
Shareholders' equity			
Stated capital	24.	675,564,870	675,564,870
Retained earnings		1,185,243,956	984,881,654
Total ordinary shareholders' equity		1,860,808,826	1,660,446,524
Liabilities			
Insurance contract liabilities	25.	1,904,914,105	1,562,743,701
Employee benefit obligation	26.	14,743,507	11,452,108
Reinsurance creditors	27.	85,918,647	102,961,206
Lease creditors	14.	155,319,117	128,171,022
Amounts due to related parties	28.	16,573,459	7,203,351
Other financial liabilities	29.	79,190,578	132,994,405
Other liabilities	30.	58,022,486	41,825,944
Total liabilities		2,314,681,899	1,987,351,737
Total equity and liabilities		4,175,490,725	3,647,798,261

These financial statements are prepared in compliance with the requirements of the Companies Act No. 07 of 2007.



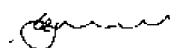
Manager - Finance
(Chathumadu Abeyakoon)

The Board of Directors is responsible for these financial statements. Signed for and on behalf of the board.



Director
(Viville Perera)

27 April 2021
Colombo



Director
(Shiron Gooneratne)

The accounting policies and notes as set out in pages 59 to 100 form an integral part of these financial statements.

Statement of Cash Flows

Year ended 31st December	Note	2020 Rs.	2019 Rs.
Cash flows from operating activities			
Profit before tax		278,594,912	316,105,620
Adjustments for :			
Depreciation of property, plant & equipment	13.	25,427,478	23,312,318
Amortisation of intangible assets	15.	262,500	198,219
Interest income	5.	(253,389,343)	(261,012,023)
Net depreciation of right of use assets	14.	61,586,962	61,291,107
Interest expense of lease creditors	14.	21,892,453	19,120,819
Provision for employee benefit	26.	3,916,326	3,431,931
Net realised losses/(gains)	6.	-	(21,327,018)
		138,291,288	141,120,973
Net change in operation assets	A	85,297,415	(156,219,150)
Net change in operation liabilities	B	296,890,668	293,058,148
Cash flows from operating activities		520,479,371	277,959,971
Tax (paid)/recovered		4,088,146	(6,628,984)
Gratuity paid	26.	(938,863)	(595,228)
Net cash generated from operating activities		523,628,654	270,735,759
Cash flows from investing activities			
Acquisition of financial investments	16 (c)	(50,996,206,798)	(37,238,179,593)
Proceeds from maturity of financial investments	16 (c)	50,762,670,680	36,875,613,606
Interest received		181,397,909	296,221,918
Acquisition of property, plant and equipment	13.	(24,345,174)	(20,409,094)
Purchase of intangible assets	15.	-	(570,000)
Advance paid to right of use assets	14.	(11,067,508)	(13,172,489)
Net cash flows used in investing activities		(87,550,892)	(100,495,652)
Cash flows from financing activities			
Payment of lease liability	14.	(63,044,308)	(45,208,623)
Net cash used in financing activities		(63,044,308)	(45,208,623)
Net increase in cash and cash equivalents		373,033,454	125,031,484
Cash and cash equivalents at the beginning of the year		295,514,738	170,483,254
Cash and cash equivalents at the end of the year	22.	668,548,192	295,514,738
Notes to the Cash Flows Statement			
A .Changes in operating assets			
(Increase)/Decrease in reinsurance receivable		61,181,438	(41,412,548)
(Increase)/Decrease in premium receivable		38,720,131	3,543,111
(Increase)/Decrease in policyholders loans		(103,423,852)	(57,653,489)
(Increase)/Decrease in other assets		88,819,698	(60,696,224)
Net change in operating assets		85,297,415	(156,219,150)
B. Changes in operating liabilities			
Increase/(Decrease) in life fund		342,170,404	236,874,301
Increase/(Decrease) in creditors		(45,279,736)	56,183,847
Net change in operating liabilities		296,890,668	293,058,148

The accounting policies and notes as set out in pages 59 to 100 form an integral part of these financial statements.

Statement of Changes in Equity

	Stated Capital Rs.	Revenue Reserve Rs.	Total Equity Rs.
As at 1 January 2019	675,564,870	756,752,988	1,432,317,858
Profit for the year	-	227,255,819	227,255,819
Other comprehensive income	-	872,847	872,847
Total comprehensive income	-	228,128,666	228,128,666
As at 31 December 2019	675,564,870	984,881,654	1,660,446,524
Profit for the year	-	200,676,238	200,676,239
Other comprehensive income	-	(313,936)	(313,936)
Total comprehensive income	-	200,362,302	200,676,239
As at 31 December 2020	675,564,870	1,185,243,956	1,860,808,827

The accounting policies and notes as set out in pages 59 to 100 form an integral part of these financial statements.

Notes to the Financial Statements

1. CORPORATE INFORMATION

1.1 Reporting entity

Arpico Insurance PLC ("Company") is a public limited liability company incorporated and domiciled in Sri Lanka. The Company is regulated under the Insurance Industry Act No.43 of 2000 and amendments there to. The registered office of the Company is located at 310, Highlevel Road, Nawinna, Maharagama and the principal place of business is located at No. 55/20, Vauxhall Lane, Colombo 02. The ordinary shares of the Company have a primary listing on the CSE.

1.2 Principal activities and nature of operations

The Company is primarily engaged in carrying out life insurance business. There were no significant changes in the nature of the principal activities of the Company during the financial year under review.

1.3 Parent enterprise

The Company's ultimate parent undertaking and controlling party is Richard Pieris & Company PLC which is incorporated in Sri Lanka.

1.4 Date of authorisation for issue

The financial statements of Arpico Insurance PLC for the period ended 31 December 2020 were authorised for issue by the board of directors on 27 April 2021.

2. BASIS OF PREPARATION AND SIGNIFICANT ACCOUNTING POLICIES, ACCOUNTING JUDGMENTS, ESTIMATES AND ASSUMPTIONS

2.1.1 Statement of compliance

The financial statements of the Company have been prepared in accordance with Sri Lanka Accounting Standards as issued by the Institute of Chartered Accountants of Sri Lanka. The preparation and presentation of these financial statements are also complying with the requirements of Section 151 (2) of the Companies Act, No. 07 of 2007 and the regulation of insurance industry Act, No. 43 of 2000 and amendments there to Sri Lanka Accounting and Auditing Standards Act No. 15 of 1995, rules and regulations of the insurance regulatory commission of Sri Lanka and listing rules of the Colombo Stock Exchange (CSE).

2.1.2 Changes in accounting policies

The accounting policies adapted by the Company is consistent with those used in the previous year. The company financial statements include the following components.

- The Statement of Financial Position providing information on the financial position of the Company as at the year-end;
- The Income Statement and Statement of Comprehensive Income providing information on the financial performance of the Company for the year under review;
- The Statement of Changes in Equity depicting all changes in shareholders';
- The Statement of Cash Flows providing information to the users, on the ability of the Company to generate cash and cash equivalents and the needs of entities to utilise those cash flows; and
- Notes to the Financial Statements comprising Accounting Policies and other explanatory information.

2.2 Basis of measurement

The Company Financial Statements have been prepared on the historical cost basis except for the following material items in the Statement of Financial Position:

Item and basis of measurement	Note No.
Available-for-sale financial assets are measured at fair value	16
Insurance contract liabilities	25
Employee benefits obligation	26

The Company presents its statement of financial position broadly in order of liquidity. An analysis regarding recovery of settlement within twelve months after the reporting date (current) and more than twelve months after the reporting date (non-current) is presented in the respective notes. No adjustments have been made for inflationary factors affecting the Company Financial Statements.

Notes to the Financial Statements

2.3 Going concern

In determining the basis of preparing the financial statements for the year ended 31 December 2020, based on all available information the management has considered the consequences of COVID-19, other events and conditions such as current market uncertainty and market volatility, and it has determined that they do not create a material uncertainty that casts substantial doubt upon the entity's ability to continue as a going concern. The directors have a reasonable expectation that the Company have adequate resources together with sufficient renewing income from customers, to continue in operational existence for the foreseeable future. The Company does not foresee a need for liquidation or cessation of trading, taking into account all available information about future. Accordingly, they continue to adopt the going concern basis in preparing the Financial Statements.

2.4 Functional and presentation currency

The Financial Statements are presented in Sri Lankan Rupees (LKR), which is the Company's functional currency.

2.5 Comparative Information

Comparative information including quantitative, narrative and descriptive information as relevant is disclosed in respect of previous period in the financial statements. The presentation and classification of the financial statement of the previous year are amended, where relevant for better presentation and to be comparable with those of the current year.

2.6 Offsetting

Assets and liabilities or income and expenses, are not offset unless required or permitted by Sri Lanka Accounting Standards.

2.7 Use of estimates and judgements

The preparation of financial statements in conformity with Sri Lanka Accounting Standards requires management to make judgements, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Actual results may differ from these estimates.

Estimates and underlying assumptions are based on historical experience and various other factors that are believed to be reasonable under the circumstances, the results of which form the basis of making the judgements about the carrying amount of assets and liabilities that are not readily apparent from other sources.

Estimates and underlying assumptions are reviewed on an on-going basis. Revisions to accounting estimates are recognised in the period in which the estimates are revised and in any future periods affected.

Information about significant areas of estimation uncertainty and critical judgements in applying accounting policies that have the most significant effect on the amounts recognised in the financial statements is included in the following notes:

2.7.1 Insurance contract liabilities

The liability of the insurance contracts are valued using the Gross Premium Valuation (GPV) methodology. GPV liability is a prospective valuation method which is derived by discounting the projected future cash flows of each individual policy. These policy cash flows reflects the best estimate assumptions of the current portfolio and increased with a margin for risk an adverse deviation. All contracts are subject to a Liability Adequacy Test (LAT), which reflect management's best current estimate of future cash flows.

The main assumptions used relate to discount rate, mortality, morbidity, withdrawal, expenses and expense inflation as further detailed in Note 25. For those contracts that insure risk related to longevity, prudent allowance is made for expected future mortality improvements, as well as wide ranging changes to the life style, which could result in significant changes to the expected future mortality exposure.

Estimates are also made for future investment income arising from the assets backing life insurance contracts. These estimates are based on current market returns, as well as expectations about future economic and financial developments.

Assumptions on future expense are based on current expense levels, adjusted for expected expense inflation, if appropriate. Lapse and surrender rates are based on the Company's historical experience of lapses and surrenders. Discount rates are based on current industry risk rates, adjusted for the Company's own risk exposure.

2.7.2 Valuation of employee benefit obligation – Gratuity

The cost of defined benefit plans which is gratuity is determined using actuarial valuations. The actuarial valuation involves making assumptions about discount rates, expected rates of return on assets, future salary increases and mortality rates. Due to the complexity of the valuation, the underlying assumptions and its long term nature, a defined benefit obligation is highly sensitive to changes in these assumptions. All assumptions are reviewed at each reporting date. Details of the key assumptions used by the actuary in the estimates are contained in Note 26.

2.7.3 Deferred tax asset

The Company use judgement in recognising a deferred tax asset in its financial statements. Deferred tax asset are recognized in respect of tax losses to the extent that it is probable that future taxable profits will be available to the Company which can be utilised against such tax losses. Judgement is required to determine the amount of deferred tax asset that can be recognised, based upon the likely timing and level of future taxable profits, together with future tax planning strategies. Details of deferred tax asset recognised and tax losses are disclosed in Note 11.

2.7.4 Notional tax credit

As per the transitional provision for new inland revenue act, brought forward notional tax credits has to be set off against income tax liability within three consecutive years of assessment from the year of assessment 2018/19.

The Company assessed the recoverability of notional tax credits in its Statement of Financial position as at 31st December 2020 by assessing if it can be utilised against future income tax liabilities. The Company carried out an assessment of its taxable profits in future according to the new Inland Revenue Act, No. 24 of 2017. As per which, the Company will not have income tax liability to set off unutilised notional tax credits for next three years due to taxable income is fully set off against brought forward tax losses. Considering this the Company has made a provision for the respective notional tax credits in the current financial year.

2.8 Summary of Significant Accounting Policies

2.8.1 Insurance contracts

Insurance contracts are those contracts when the Company (the insurer) has accepted significant insurance risk from another party (the policyholders) by agreeing to compensate the policyholders if a specified uncertain future event (the insured event) adversely affects the policyholders. As a general guideline, the Company determines whether it has significant insurance risk, by comparing benefits paid with benefits payable if the insured event did not occur. Insurance contracts can also transfer financial risk.

Notes to the Financial Statements

Investment contracts are those contracts that transfer significant financial risk and no significant insurance risk. Financial risk is the risk of a possible future change in one or more of a specified interest rate, financial instrument price, commodity price, foreign exchange rate, index of price or rates, credit rating or credit index or other variable, provided in the case of a non-financial variable that the variable is not specific to a party to the contract.

Once a contract has been classified as an insurance contract, it remains an insurance contract for the remainder of its lifetime, even if the insurance risk reduces significantly during this period, unless all rights and obligations are extinguished or expire. Investment contracts can, however, be reclassified as insurance contracts after inception if insurance risk becomes significant.

All the products sold by the Company are insurance contracts and therefore classified as Insurance contracts under the SLFRS 4 – Insurance Contracts. Thus, the Company does not have any investment contracts within its product portfolio as at the reporting date.

Actuarial valuation of life insurance fund

The directors agree to the long-term insurance provision for the Company at the year-end on the recommendations of the Independent Consultant Actuary following his annual investigation of the life insurance business. The actuarial valuation takes into account all liabilities and is based on assumptions recommended by the Independent Consultant Actuary.

2.8.2 Property, plant and equipment

2.8.2.1 Basis of recognition

Property, plant and equipment are tangible items that are held for servicing, or for administrative purposes, and are expected to be used during more than one year.

Property, plant and equipment are recognised if it is probable that future economic benefits associated with the asset will flow to the Company and cost of the asset can be measured reliably.

2.8.2.2 Measurement

An item of property, plant and equipment that qualifies for recognition as an asset is initially measured at its cost. Cost includes expenditure that is directly attributable to the acquisition of the asset and cost incurred subsequently to add to or replace a part of it. The cost of self-constructed assets includes the cost of materials and direct labor, any other costs directly attributable to bringing the asset to a working condition for its intended use and the costs of dismantling and removing the items and restoring at the site on which they are located.

The Company applies the cost model and records at cost of purchase together with any incidental expenses thereon less accumulated depreciation and any accumulated impairment losses. The Company does not own any property.

2.8.2.3 Subsequent costs

The cost of replacing a part of an item of plant and equipment is recognised in the carrying amount of the item if it is probable that the future economic benefits embodied within the part will flow to the Company and its cost can be measured reliably. The cost of day to day servicing of property, plant and equipment is charged to the Statement of Income.

2.8.2.4 Repairs and maintenance

Repairs and maintenance are charged to the Statement of Comprehensive Income during the financial period in which they are incurred. The cost of major renovations is included in the carrying amount of the assets when it is probable that future economic benefits in excess of the most recently assessed standard of performance of the existing assets will flow to the Company and the renovation replaces an identifiable part of the asset. Major renovations are depreciated during the remaining useful life of the related asset.

2.8.2.5 Depreciation

The Company provides depreciation from the date the assets are available for use up to the date of disposal, at the following rates on a straight-line basis over the periods appropriate to the estimated useful lives of the different types of assets.

The estimated useful lives for the current and comparative years are as follows:

Furniture and fittings	5 years
Office equipment	5 years
Computer hardware	4 years
Motor vehicle	5 years

2.8.2.6 De-recognition

The carrying amount of an item of property, plant and equipment is derecognised on disposal or when no future economic benefits are expected from it. The gain or loss arising from the de-recognition of an item of property, plant and equipment is included in the Statement of Income when the item is derecognised.

2.8.3 Right-of-use assets

2.8.3.1 Basis of recognition

At inception of a contract, the Company assesses whether a contract is, or contains, a lease. A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration. To assess whether a contract conveys the right to control the use of an identified asset, the Company assesses whether

- The contract involves the use of an identified asset. This may be specified explicitly or implicitly, and should be physically distinct or represent substantially all of the capacity of a physically distinct asset. If the supplier has a substantive substitution right, then the asset is not identified
- The Company has the right to obtain substantially all of the economic benefits from use of the asset throughout the period of use; and
- The Company has the right to direct the use of the asset. The company has this right when it has the decision-making rights that are most relevant to changing how and for what purpose the asset is used. In rare cases where the decision about how and for what purpose the asset is used is predetermined, the Company has the right to direct the use of the asset if either
- The Company has the right to operate the asset; or the Company designed the asset in a way that predetermines how and for what purpose it will be used.

This policy is applied to contracts entered into, or changed, on or after 1st January 2019.

2.8.3.2 Initial measurement

At the commencement date the Company measure the right-of-use asset at cost. Cost include the amount of the lease liability (present value of future lease payments discounted using the interest rate implicit in the lease or, if that rate cannot be readily determined Company's incremental borrowing rate), any lease payment made at or before the commencement date less any lease incentives received, initial direct cost incurred and estimate of cost to be incurred by the Company in dismantling and removing the underlying asset or restoring the site on which it is located.

2.8.3.3 Subsequent measurement

The recognised right of use asset is subsequently depreciated using the straight-line method from the commencement date to the earlier of the end of the useful life of the right of use asset or the end of the lease term. Right of use assets are subject to impairment.

2.8.3.4 Short-term leases and leases of low-value assets

The Company applies the short-term lease recognition exemption to leases that have a lease term of 12 months or less from the commencement date. Lease payments on short-term leases and leases of low-value assets are recognised as expense on a straight-line basis over the lease term.

2.8.4 Intangible assets

Intangible assets consist primarily of acquired computer software. Intangible assets acquired separately are measured on initial recognition at cost. Following initial recognition, intangible assets are carried at cost less any accumulated amortisation and any accumulated impairment losses.

2.8.4.1 Useful economic life and amortisation

The estimated useful life of software is four years. The amortisation is calculated on a straight line basis over the estimated useful life of the software and recognised on Statement of Income.

Notes to the Financial Statements

2.8.4.2 Subsequent expenditure

Expenditures that only increases the future economic benefits in the specific asset are capitalised as subsequent expenditure.

2.8.4.3 De-recognition

The carrying amount of an intangible asset is derecognised on disposal or when no future economic benefits are expected from it. The gain or loss arising from the de-recognition of an item of intangible asset is included in the statement of income when the asset is derecognised.

2.8.5 Impairment of non-financial assets

The carrying amounts of the Company's non-financial assets, are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, then the asset's recoverable amount is estimated. An impairment loss is recognised if the carrying amount of an asset exceeds its estimated recoverable amount.

The recoverable amount of an asset is the greater of its value in use and its fair value less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. For the purpose of impairment testing, assets that cannot be tested individually are grouped together into the smallest group of assets that generates cash inflows from continuing use that are largely independent of the cash inflows of other assets. Impairment losses are recognised in Statement of Income.

2.8.6 Financial assets

2.8.6.1 Initial recognition and measurement

Financial assets are measured initially at fair value plus, for an item not at fair value through profit or loss, transaction costs that are directly attributable to its acquisition or issue.

At inception a financial asset is classified into one of the following categories:

1. Fair value through profit or loss (FVTPL)
2. Loans and receivables (L&R)
3. Held to maturity investments (HTM)
4. Available-for-sale (AFS) financial assets, as appropriate

The Company determines the classification of its financial assets at initial recognition. The classification depends on the purpose for which the investments were acquired or originated (i.e. Intention) and based on the Company's ability.

The Company's existing types of financial assets and their classifications are shown in the table below.

Financial Asset	Category
Treasury bonds	Available for sale
Repos	Loans and receivables
Corporate bonds	Loans and receivables
Fixed deposits	Loans and receivables
Policy loans	Loans and receivables

2.8.6.2 Subsequent measurement

(a) Loans and receivables (L&R)

Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market. The Company also decided to classify unquoted corporate debts under this category since there is no active market for these instruments.

These investments are initially recognised at cost, being the fair value of the consideration paid for the acquisition of the investment. All transaction costs directly attributable to the acquisition are also included in the cost of the investment. After initial measurement, loans and receivables are measured at amortised cost, using the EIR, less allowance for impairment.

(b) Available-for-sale financial assets (AFS)

Available-for-sale financial investments include Government Securities, those that are neither classified as held for trading nor designated at fair value through profit or loss.

After initial measurement, available-for-sale financial assets are subsequently measured at fair value, with unrealised gains or losses recognised in Other Comprehensive Income (OCI) in the available-for-sale reserve. The Company has applied the shadow accounting principles and recognised the fair value movement in life fund under the movement in AFS reserve. Interest earned whilst holding available-for-sale investments is reported as interest income using the EIR.

If the asset is determined to be impaired, the cumulative loss is recognised in the Income Statement in the Other Revenue and removed from the available-for-sale reserve. The Company evaluates its available-for-sale financial assets to determine whether the ability and intention to sell them in the near term would still be appropriate. In the case where the Company is unable to trade these financial assets due to inactive markets and management's intention significantly changes to do so in the foreseeable future, the Company may elect to reclassify these financial assets in rare circumstances. Reclassification to loans and receivables is permitted when the financial asset meets the definition of loans and receivables and management has the intention and ability to hold these assets for the foreseeable future or until maturity. The reclassification to held-to-maturity is permitted only when the entity has the ability and intention to hold the financial asset until maturity.

For a financial asset that is reclassified out of the available for-sale category, any previous gain or loss on that asset that has been recognised in equity is amortised to profit or loss over the remaining life of the investment using the EIR. Any difference between the new amortised cost and the expected cash flows is also amortised over the remaining life of the asset using the EIR. If the asset is subsequently determined to be impaired, then the amount recorded in equity is reclassified to the income statement.

2.8.6.3 De-recognition

The Company derecognises a financial asset when

- The rights to receive cash flows from the asset have expired or
- The Company has transferred its rights to receive cash flows from the asset or has assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass-through' arrangement; and either
 - (a) The Company has transferred substantially all the risks and rewards of the asset, or
 - (b) The Company has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

On de-recognition of a financial asset, the difference between the carrying amount of the asset (or the carrying amount allocated to the portion of the asset transferred), and the sum of;

- (a) the consideration received (including any new asset obtained less any new liability assumed) and
- (b) any cumulative gain or loss that had been recognised in other comprehensive income is recognised in profit or loss.

2.8.6.4 Fair value measurement

Fair value is the amount for which an asset could be exchanged, or a liability settled, between knowledgeable, willing parties in an arm's length transaction on the measurement date.

When available, the Company measures the fair value of an instrument using quoted prices in an active market for that instrument. A market is regarded as active if quoted prices are readily and regularly available and represent actual and regularly occurring market transactions on an arm's length basis.

If a market for a financial instrument is not active, then the Company establishes fair value using a valuation technique. Valuation techniques include using recent arm's length transactions between knowledgeable, willing parties (if available), reference to the current fair value of other instruments that are substantially the same, discounted cash flow analyses.

Notes to the Financial Statements

If the fair value cannot be measured reliably, these financial instruments are measured at cost, being the fair value of the consideration paid for the acquisition of the investment or the amount received on issuing the financial liability. All transaction costs directly attributable to the acquisition are also included in the cost of the investment.

The best evidence of the fair value of a financial instrument at initial recognition is the transaction price, i.e. The fair value of the consideration given or received, unless the fair value of that instrument is evidenced by comparison with other observable current market transactions in the same instrument, i.e. Without modification or repackaging, or based on a valuation technique whose variables include only data from observable markets. When transaction price provides the best evidence of fair value at initial recognition, the financial instrument is initially measured at the transaction price and any difference between this price and the value initially obtained from a valuation model is subsequently recognised in profit or loss on an appropriate basis over the life of the instrument but not later than when the valuation is supported wholly by observable market data or the transaction is closed out.

2.8.6.5 Impairment of financial assets

The Company assesses at each reporting date whether a financial asset or group of financial assets is impaired. The Company first assesses whether objective evidence of impairment exists individually for financial assets that are individually significant, and individually or collectively for financial assets that are not individually significant. If it is determined that no objective evidence of impairment exists for an individually assessed financial asset, whether significant or not, the asset is included in a group of financial assets with similar credit risk characteristics and that group of financial assets is collectively assessed for impairment. Assets that are individually assessed for impairment and for which an impairment loss is, or continues to be, recognised are not included in a collective assessment of impairment.

(a) Assets carried at amortised cost

If there is objective evidence that an impairment loss on assets carried at amortised cost has been incurred, the amount of the impairment loss is measured as the difference between the asset's carrying amount and the present value of estimated future cash flows (excluding future expected credit losses that have not been incurred) discounted at the financial asset's original effective interest rate. The carrying amount of the asset is reduced and the loss is recorded in the Income Statement.

If, in a subsequent period, the amount of the impairment loss decreases and that decrease can be related objectively to an event occurring after the impairment was recognised, the previously recognised impairment loss is reversed. Any subsequent reversal of an impairment loss is recognised in the Income Statement, to the extent that the carrying value of the asset does not exceed its amortised cost at the reversal date.

(b) Available for sale financial assets

For available-for-sale financial investments, the Company assesses at each reporting date whether there is objective evidence that an investment or a group of investments is impaired.

In the case of debt instruments classified as available-for-sale, impairment is assessed based on the same criteria as financial assets carried at amortised cost. However, the amount recorded for impairment is the cumulative loss measured as the difference between the amortised cost and the current fair value, less any impairment loss on that investment previously recognised in the income statement.

Future interest income continues to be accrued based on the reduced carrying amount of the asset and is accrued using the rate of interest used to discount the future cash flows for the purpose of measuring the impairment loss. The interest income is recorded as part of 'Investment Income'. If, in a subsequent year, the fair value of a debt instrument increases and the increase can be objectively related to an event occurring after the impairment loss was recognised in the income statement, the impairment loss is reversed through the income statement.

2.8.7 Reinsurance contracts

The Company cedes insurance risk in the normal course of business to recognised reinsurers through formal reinsurance arrangements.

Reinsurance assets represent balances due from reinsurance companies. Amounts recoverable from reinsurers are estimated in a manner consistent with the outstanding claims provision or settled claims associated with the reinsurer's policies and are in accordance with the related reinsurance contract.

Reinsurance is recorded gross in the Statement of Financial Position unless a right to offset exists. Reinsurance assets are reviewed for impairment at each reporting date, or more frequently, when an indication of impairment arises during the reporting year. Impairment occurs when there is objective evidence as a result of an event that occurred after initial recognition of the reinsurance asset that the Company may not receive all outstanding amounts due under the terms of the contract and the event has a reliably measurable impact on the amounts that the Company will receive from the reinsurer. The impairment loss, if any is recorded in the income statement.

Ceded reinsurance arrangements do not relieve the Company from its obligations to policyholders. Reinsurance liabilities represent balances due to reinsurance companies. Amounts payable are estimated in a manner consistent with the related reinsurance contract. Reinsurance assets or liabilities are derecognised when the contractual rights are extinguished or expire or when the contract is transferred to another party.

2.8.8 Premium receivable

Insurance receivables are recognised when due and measured on initial recognition at the fair value of the consideration received or receivable. Subsequent to initial recognition, insurance receivables are measured at amortised cost, using the effective interest rate method. The carrying value of insurance receivables is reviewed for impairment whenever events or circumstances indicate that the carrying amount may not be recoverable, with the impairment loss recorded in the income statement.

Life insurance premiums (only the premiums due in the 60-day grace period) are recognised at each reporting date and will be reversed if the premiums are not settled during the subsequent month, and thus the policies will be lapsed as per the Company policy.

2.8.9 Cash and cash equivalents

Cash and cash equivalents comprise cash in hand, deposits held at call with banks and other short-term highly liquid financial instruments.

2.8.10 Insurance contract liabilities

2.8.10.1 Life insurance contract liabilities

Life insurance liabilities are recognized when contracts are entered into and premiums are charged. These liabilities are measured by using the gross premium valuation with cashflows discounted using the best estimate investment returns. All other assumptions are at best estimate with risk margins as per RBC basis.

2.8.10.2 Liability adequacy test for financial reporting

As required by the SLFRS 4 - Insurance Contracts, the Company performed a Liability Adequacy Test (LAT) in respect of Life Insurance contract liabilities with the assistance of an external qualified actuary. In performing the adequacy test, current best estimates of future contractual cash flows, including related cash flows such as claims handling and policy administration expenses, policyholder options and guarantees, as well as investment income from assets backing such liabilities, are used. If that assessment that the carrying amount of the liabilities (less related assets) is insufficient in light of the estimated future cash flows, the deficiency is recognised in the Statement of Income by creating an additional provision in the Statement of Financial Position.

Notes to the Financial Statements

2.8.11 Financial liabilities

2.8.11.1 Initial recognition and measurement

Financial liabilities within the scope of LKAS 39 are classified as financial liabilities at fair value through profit or loss or loans and borrowings as appropriate. The company determines the classification of its financial liabilities at initial recognition.

All financial liabilities are recognised initially at fair value and, in the case of loans and borrowings, carried at amortised cost. This includes directly attributable transaction costs.

2.8.11.2 Subsequent measurement

The measurement of financial liabilities depends on their classification as follows.

(a) Financial liabilities at fair value through profit or loss

Financial liabilities at fair value through profit or loss include financial liabilities held for trading and financial liabilities designated upon initial recognition as at fair value through profit or loss.

Financial liabilities are classified as held for trading if they are acquired for the purpose of selling in the near term. Gains or losses on liabilities held for trading are recognised in the statement of income. The Company has not designated any financial liabilities upon initial recognition as fair value through profit or loss.

(b) Other financial liabilities

Loans and borrowings are carried at amortised cost after initial recognition.

2.8.11.3 De-recognition

A financial liability is derecognised when the obligation under the liability is discharged or cancelled or expires.

2.8.12 Employee benefits

(a) Defined benefit plan – gratuity

Gratuity is a defined benefit plan. The Company is liable to pay gratuity in terms of the Payment of Gratuity Act No. 12 of 1983, according to which a liability to pay gratuity arises only on completion of 5 years of continued service. In order to meet this liability, a provision is carried forward in the statement of financial position as per Sri Lanka Accounting Standard LKAS 19 Employee Benefits. The actual valuation involves making assumptions about discount rate, salary increment rate

and balance service period of employees and projected unit credit method has been applied for the valuation. Due to the long term nature of plans such estimates are subject to significant uncertainty.

The re-measurement of the net defined benefit liability, which comprises actuarial gains and losses are recognised immediately in other comprehensive income. Interest cost and current service cost are recognised in profit or loss.

(b) Defined contribution plans – employees' provident fund and employees' trust fund

Employees are eligible for employees' provident fund contribution and employees' trust fund contributions in line with the respective statutes and regulations. The Company contributes a defined percentage of gross emoluments of employees to an approved provident fund and to the employees' trust fund respectively.

2.8.13 Insurance payables

Insurance payables are recognised when due and measured on initial recognition at the fair value of the consideration received less directly attributable transaction costs. Subsequent to initial recognition, they are measured at amortised cost using the effective interest rate method.

Insurance payables are derecognised when the obligation under the liability is settled, cancelled or expired.

2.8.14 Lease creditors

2.8.14.1 Initial recognition and measurement

At the commencement lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted using the interest rate implicit in the lease or, if that rate cannot be readily determined using the Company's incremental borrowing rate.

2.8.14.2 Subsequent measurement

After the commencement date, the amount of lease liabilities is increased to reflect the accretion of interest and reduced for the lease payments made. In addition, the carrying amount of lease liabilities is premeasured if there is a modification, a change in the lease term, a change in the in-substance fixed lease payments or a change in the assessment to purchase the underlying asset.

2.8.15 Provisions

Provisions are recognised when the Company has a present obligation (legal or constructive) as a result of a past event, and it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. Where the Company expects some or all of a provision to be reimbursed, the reimbursement is recognised as a separate asset, but only when the reimbursement is virtually certain. The expense relating to any provision is presented in the income statement net of any reimbursement. If the effect of the time value of money is material, provisions are discounted using a current pre-tax rate that reflects, where appropriate, the risks specific to the liability. Where discounting is used, the increase in the provision due to the passage of time is recognised as a finance cost.

2.8.16 Equity movements

2.8.16.1 Stated capital

The Company has issued ordinary shares that are classified as equity instruments. Incremental external costs that are directly attributable to the issue of these shares are recognised in equity, net of tax.

2.8.16.2 Dividends on ordinary share capital

Dividends on ordinary shares are recognised as a liability and deducted from equity when they are approved by the Company's shareholders. Interim dividends are deducted from equity when they are paid.

Dividends for the year that are approved after the reporting date are dealt with as an event after the reporting date.

2.8.17 Revenue recognition

(a) Gross premium

Gross recurring premiums on life are recognised as revenue when payable by the policyholder. For single premium business revenue is recognised on the date on which the policy is effective.

(b) Reinsurance premium

Gross reinsurance premiums on insurance contracts are recognised as an expense on the earlier of the date when premiums are payable or when the policy becomes effective. Reinsurance premiums are decided based on rates agreed with reinsurers.

(c) Fees and commission income

Insurance and investment contract policyholders are charged for policy administration services and other contract fees. These fees are recognised as revenue upon receipt or becoming due.

(d) Investment income

Interest incomes for all interest-bearing financial are recognised within 'investment income' in the income statement using the effective interest rate method. When a receivable is impaired, the Company reduces the carrying amount to its recoverable amount, being the estimated future cash flow discounted at the original effective interest rate of the instrument, and continues unwinding the discount as interest income.

(e) Other income

Other income is recognised on an accrual basis.

2.8.18 Benefits, claims & expenses recognition

(a) Gross benefits and claims

Gross benefits and claims for life insurance contracts include the cost of all claims arising during the year, including internal and external claims handling costs that are directly related to the processing and settlement of claims. Death claims are recorded on the basis of notifications received.

Changes in the valuation of insurance contract liabilities are recognised in the income statement.

(b) Reinsurance claim recoveries

Reinsurance claims are recognised when the related gross insurance claim is recognised according to the terms of the relevant contract.

(c) Expenses recognition

Expenses are recognised in the statement of income on the basis of a direct association between the cost incurred and the earning of specific items of income. All expenditure incurred in the running of the business and in maintaining the property, plant and equipment in a state of efficiency has been charged to the Statement of Income.

Notes to the Financial Statements

(d) Income tax

Income tax expense comprises current and deferred tax. Current and deferred taxes are recognised in profit or loss except to the extent that it relates to items recognised in the Other Comprehensive Income or directly in equity, when it is recognised in the OCI equity respectively.

Current income tax assets and liabilities for the current and prior periods are measured at the amount expected to be recovered from or paid to the taxation authorities. Provision for taxation is based on the profit for the year adjusted for Taxation purposes in accordance with the provisions of the Inland Revenue Act, No. 24 of 2017.

Current income tax assets and liabilities also include adjustments for tax expected to be payable or recoverable in respect of previous periods.

Management periodically evaluates positions taken in the tax returns with respect to situations in which applicable tax regulations are subject to interpretation and establishes provisions, where appropriate.

2.8.19 Cash flows statement

The Cash Flows Statement has been prepared using the indirect method of preparing cash flows in accordance with the Sri Lanka Accounting Standard (LKAS) 7 Cash Flow Statements.

Cash and cash equivalents comprise short term, highly liquid investments that are readily convertible to known amounts of cash and are subject to an insignificant risk of changes in value. The cash and cash equivalents include cash in-hand, balances with banks and short term deposits with banks.

2.8.20 Standards issued but not yet effective

Certain new accounting standards and amendments/improvements to existing standards have been published, that are not mandatory for 31 December 2020 reporting periods. None of these have been early adopted by the Company.

SLFRS 9 – Financial instruments

SLFRS 9 replaces the existing guidance in LKAS 39 Financial Instruments: Recognition and Measurement. SLFRS 9 includes revised guidance on the classification and measurement of financial instruments, a new expected credit loss model for calculating impairment on financial assets, and new general hedge accounting requirements. It also carries forward the guidance on recognition and de-recognition of financial instruments from LKAS 39.

SLFRS 9 is effective for annual reporting periods beginning on or after 1st January 2018, with early adoption permitted.

Temporary exemption from SLFRS 9

An Insurer may apply the temporary exemptions from SLFRS 9 if, and only if:

- (a) It has not previously applied any version of SLFRS 9, other than only the requirements for the presentation of gains and losses on financial liabilities designated as at Fair Value through profit or loss and;
- (b) Its activities are predominantly connected with insurance, at its annual reporting date that immediately precedes 1st April 2016, or at a subsequent annual reporting date.

As the Company's activities are predominantly connected with insurance and it has not previously applied any version of SLFRS 9 as indicated above, the Company will be eligible for the temporary exemption from applying SLFRS 9.

Financial assets

SLFRS 9 contains three principal classification categories for financial assets measured at

- Amortised cost
- Fair value through other comprehensive income (FVTOCI)
- Fair value through profit or loss

The standard eliminates the existing LKAS 39 categories of held to maturity, loans and receivables and available for sale.

Financial liabilities

Under LKAS 39 all fair value changes of liabilities designated as at FVTPL are recognised in profit or Loss, whereas under SLFRS 9 the amount of change in the fair value that is attributed to changes in the credit risk of the liability is presented in Other Comprehensive Income and the remaining amount of change in the fair value is presented in profit or Loss.

2.8.20.1 SLFRS 17 – Insurance contracts

SLFRS 17 will replace SLFRS 4 on accounting for insurance contracts and will be effective from 1 January 2021.

Objective

SLFRS 17 Insurance contracts establishes the principles for the recognition, measurement, presentation and disclosure of insurance contracts within the scope of the standard. The objective of SLFRS 17 is to ensure that an entity provides relevant information that faithfully represents those contracts. This information gives a basis for users of Financial Statements to assess the effect that insurance contracts have on the entity's financial position, financial performance and cash flows.

Recognition

An entity shall recognise a group of insurance contracts it issues from the earliest of the following:

- (a) the beginning of the coverage period;
- (b) the date when the first payment from a policyholder becomes due; and
- (c) when the group becomes onerous if facts and circumstances indicate that there is such a group.

Measurement

SLFRS - 17 specify three measurement approaches;

1. Building block approach (BBA)

On initial recognition, an entity shall measure a group of contracts at the total of:

- (a) the amount of fulfilment cash flows ("FCF"), which comprise; estimates of future cash flows, an adjustment to reflect the time value of money ("TVM") and the financial risks associated with the future cash flows and risk adjustment for non-financial risk.

(b) the contractual service margin ("CSM")

The CSM represents the unearned profit of the group of insurance contracts that the entity will recognise as it provides services in the future. This is measured on initial recognition of a group of insurance contracts at an amount that, unless the group of contracts is onerous, results in no income or expenses arising from:

- the initial recognition of an amount for the FCF
- the derecognition at that date of any asset or liability recognised for acquisition cash flows; and;
- any cash flows arising from the contracts in the group at that date.

2. Premium allocation approach (PAA)

An entity may simplify the measurement of the liability for remaining coverage of a group of insurance contracts using the Premium Allocation Approach (PAA) on the condition that, at the inception of the group:

- (a) the entity reasonably expects that this will be a reasonable approximation of the General Model, or
- (b) the coverage period of each contract in the group is one year or less.

Where, at the inception of the group, an entity expects significant variances in the FCF during the period before a claim is incurred, such contracts are not eligible to apply the PAA.

Using the PAA, the liability for remaining coverage shall be initially recognised as the premiums, if any, received at initial recognition, minus any insurance acquisition cash flows. Subsequently the carrying amount of the liability is the carrying amount at the start of the reporting period plus the premiums received in the period, minus insurance acquisition cash flows, plus amortisation of acquisition cash flows, minus the amount recognised as insurance revenue for coverage provided in that period, and minus any investment component paid or transferred to the liability for incurred claims.

Notes to the Financial Statements

3. Variable fee approach (VFA)

Insurance contracts with direct participation features apply a modified version of the general model called the variable fee approach. One of the concerns that respondents had with the application of the general model to insurance contracts with participation features was that it could result in the reporting of artificial volatility in profit or loss. This volatility could arise from a mismatch between the accounting treatment of investment gains and losses on underlying items attributable to policyholders, and the accounting treatment of the liability to those policyholders. The requirement in the general model to report the impacts of all changes in financial assumptions in comprehensive income (rather than by adjusting the CSM) was also considered to create artificial profit volatility in cases where the returns from underlying items would be paid to policyholders. The variable fee approach therefore addresses these concerns by adjusting the general model.

Discount rates

The discount rates applied to the estimate of cash flows shall:

- (a) reflect the time value of money (TVM), the characteristics of the cash flows and the liquidity characteristics of the insurance contracts;
- (b) be consistent with observable market prices of those financial instruments whose cash flow characteristics are consistent with those of the insurance contracts; and
- (c) exclude the effect of factors that influence such observable market prices but do not affect the future cash flows of the insurance contracts.

Risk adjustment for non-financial risk

The estimate of the present value of the future cash flows is adjusted to reflect the compensation that the entity requires for bearing the uncertainty about the amount and timing of future cash flows that arises from non-financial risk.

Subsequent measurement

On subsequent measurement, the carrying amount of a group of insurance contracts at the end of each reporting period shall be the sum of:

- (a) the liability for remaining coverage comprising the FCF related to future services and the CSM of the group at that date;
- (b) the liability for incurred claims, comprising the FCF related to past service allocated to the group at that date.

Onerous contracts

An insurance contract is onerous at initial recognition if the total of the FCF, any previously recognised acquisition cash flows and any cash flows arising from the contract at that date is a net outflow. An entity shall recognise a loss in profit or loss for the net outflow, resulting in the carrying amount of the liability for the group being equal to the FCF and the CSM of the group being zero.

On subsequent measurement, if a group of insurance contracts become onerous (or more onerous), that excess shall be recognised in profit or loss. Additionally, CSM cannot increase and no revenue can be recognised, until the onerous amount previously recognised has been reversed in profit or loss as part of a service expense.

Modification and de-recognition

Modification of an insurance contract

If the terms of an insurance contract are modified, an entity shall derecognise the original contract and recognise the modified contract as a new contract if there is a substantive modification, based on meeting any of the specified criteria.

The modification is substantive if any of the following conditions are satisfied:

- (a) if, had the modified terms been included at contract's inception, this would have led to:
 - I. Exclusion from the Standard's scope;
 - II. Unbundling of different embedded derivatives;
 - III. Redefinition of the contract boundary; or
 - IV. The reallocation to a different group of contracts; or

- (b) if the original contract met the definition of a direct participating insurance contracts, but the modified contract no longer meets that definition, or vice versa; or
- (c) the entity originally applied the PAA, but the contract's modifications made it no longer eligible for it.

De-recognition

An entity shall de-recognise an insurance contract when it is extinguished, or if any of the conditions of a substantive modification of an insurance contract are met.

Effective date

SLFRS 17 is effective for annual reporting periods beginning on or after 1 January 2023. Earlier application is permitted if both SLFRS 15 'Revenue from contracts with customers' and SLFRS 9 'Financial instruments' have also been applied.

Transition

An entity shall apply the standard retrospectively unless impracticable, in which case entities have the option of using either the modified retrospective approach or the fair value approach.

Under the modified retrospective approach, an entity shall utilise reasonable and supportable information and maximise the use of information that would have been used to apply a full retrospective approach, but need only use information available without undue cost or effort. Under this approach the use of hindsight is permitted, if that is the only practical source of information for the restatement of prior periods.

Under the fair value approach, an entity determines the CSM or the loss component at the transition date as the difference between the fair value of a group of insurance contracts at that date and the FCF measured at that date. Using this approach, on transition entity has a choice need for annual groups.

At the date of initial application of the Standard, those entities already applying SLFRS 9 may retrospectively re-designate and reclassify financial assets held in respect of activities connected with contracts within the scope of the standard.

Entities can choose not to restate SLFRS 9 comparatives with any difference between the previous carrying amount of those financial assets and the carrying amount at the date of initial application recognised in the opening equity at the date of initial application. Any restatements of prior periods must reflect all the requirements of SLFRS 9.

2.8.20.2 Amendments to SLFRS 16 Covid-19 Related rent concessions

CA Sri Lanka issued Covid-19 - Related rent concessions - amendment to SLFRS 16 Leases.

The amendments provide relief to lessees from applying SLFRS 16 guidance on lease modification accounting for rent concessions arising as a direct consequence of the Covid-19 pandemic.

As a practical expedient, a lessee may elect not to assess whether a Covid-19 related rent concession from a lessor is a lease modification. A lessee that makes this election accounts for any change in lease payments resulting from the Covid-19 related rent concession the same way it would account for the change under SLFRS 16, if the change were not a lease modification.

The amendment applies to annual reporting periods beginning on or after 1 June 2020. Earlier application is permitted. This amendment had no impact on the financial statements of the Company.

Notes to the Financial Statements

3. NET WRITTEN PREMIUM

	2020	2019
	Rs.	Rs.
3. (a) Gross premium on insurance contracts		
First year premium	964,188,712	873,408,548
Renewal premium	810,377,849	698,761,095
Group premium	61,533,700	60,986,354
Total gross written premium	1,836,100,261	1,633,155,997
3. (b) Premium ceded to reinsurers on insurance contracts		
Conventional policies	91,424,657	88,849,485
Total premium ceded to reinsurers	91,424,657	88,849,485
Total net written premium	1,744,675,604	1,544,306,512

4. FEES AND COMMISSION INCOME

	2020	2019
	Rs.	Rs.
Policyholder administration fees	34,222,629	28,825,103
Total fees and commission income	34,222,629	28,825,103

5. INVESTMENT INCOME

	2020	2019
	Rs.	Rs.
Interest income		
Financial assets - Available for sale	58,742,119	58,575,161
Financial assets - Loans and receivables	194,647,224	202,436,862
Total investment income	253,389,343	261,012,023

6. NET REALISED GAINS/LOSSES

	2020	2019
	Rs.	Rs.
Net realised gain on disposal of government securities	-	21,327,018
Total net realised gains/(losses)	-	21,327,018

7. OTHER OPERATING REVENUE

	2020	2019
	Rs.	Rs.
Other operating revenue	9,039,175	10,573,868
Total other operating revenue	9,039,175	10,573,868

8. NET BENEFITS AND CLAIMS

	2020	2019
	Rs.	Rs.

8. (a) Net Insurance Benefits and Claims Paid

Gross benefits and claims paid		
Hospitalization	61,099,008	90,191,906
Death	11,126,538	19,085,336
Policy surrender	234,777,134	155,272,297
Policy maturities	118,057,890	73,411,322
	425,060,570	337,960,861
Claims ceded to reinsurers		
Hospitalization	(23,699,595)	(33,208,873)
Death	(6,307,500)	(6,016,897)
	(30,007,095)	(39,225,770)
Total net insurance benefits and claims paid	395,053,475	298,735,091

8. (b) Net Change in Insurance Claims Outstanding

Gross change in contract liabilities		
Hospitalization	27,656,102	45,448,625
	27,656,102	45,448,625
Change in contract liabilities ceded to reinsurers		
Hospitalization	(19,700,542)	(38,097,772)
Total net change in insurance claims outstanding	7,955,560	7,350,853
Total net benefits and claims	403,009,035	306,085,944

9. UNDERWRITING AND NET ACQUISITION COSTS

	2020	2019
	Rs.	Rs.
Commission expenses	182,956,920	190,327,109
Direct marketing cost	501,754,192	467,323,137
	684,711,112	657,650,246

Notes to the Financial Statements

10. OTHER OPERATING AND ADMINISTRATIVE EXPENSES

	Note	2020 Rs.	2019 Rs.
Employee benefits expenses	10 (a)	90,921,984	70,191,333
Administration & establishment expenses		139,582,133	121,094,860
Selling expenses		42,392,843	69,977,856
Depreciation on property and equipment		24,267,478	22,152,318
Depreciation for right of use assets		50,681,292	48,007,879
Finance cost on lease creditors		21,892,453	19,120,819
Amortisation of intangible assets		262,500	198,219
Audit fees and expenses		2,210,886	2,009,980
Other cost		6,759,450	11,664,120
Total other operating and administrative expenses		378,971,019	364,417,384

10. (a) Employee Benefits Expense

Wages and salaries including bonus & incentives		79,466,729	61,434,875
Contributions to employee benefit obligation plans		3,916,326	3,431,931
Employees' provident fund		6,058,069	4,256,261
Employees' trust fund		1,480,860	1,068,266
Total employee benefits expenses		90,921,984	70,191,333

11. INCOME TAX EXPENSE

The major components of income tax expense for the year ended 31st December are as follows:

	Note	2020 Rs.	2019 Rs.
11. (a) Current Year Tax Charge			
Current income tax			
Income tax on current year's profit		-	-
Over/under provision of income taxes			
Provision for tax credits (Notional tax)		-	-
Total current income tax		-	-
Deferred income tax			
Deferred tax asset	11 (d)	(77,918,674)	(88,849,801)
Deferred taxation		(77,918,674)	(88,849,801)
Total income tax expense		(77,918,674)	(88,849,801)

	2020	2019
	Rs.	Rs.
11. (b) Reconciliation of Tax Charge		
Profit before tax	278,594,912	316,105,620
At the statutory income tax rate of 28%	78,006,575	88,509,574
Utilisation of previous tax losses	(78,006,575)	(88,509,574)
Origination/(reversal) of deferred tax asset	(77,918,674)	(88,849,801)
Income tax expense	(77,918,674)	(88,849,801)

The Company is liable to pay income tax at the rate of 28% of its taxable profits in accordance with the provisions of the Inland Revenue Act No. 24 of 2017.

	Note	2020	2019
		Rs.	Rs.
11. (c) Tax Loss Analysis			
Balance as at 1st January		769,923,513	1,087,244,231
Tax losses utilised during the year		(278,280,976)	(317,320,718)
Balance as at 31st December		491,642,537	769,923,513
11. (d) Deferred Taxation			
Deferred tax asset	11 (d) (i)	137,659,910	215,578,584
Deferred tax asset		137,659,910	215,578,584

Notes to the Financial Statements

11. (d) (i)

	Statement of Financial Position				Profit or Loss	
	2020		2019		2020	2019
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
	Temporary Difference	Tax Effect Assets/ (Liability) at 28%	Temporary Difference	Tax Effect Assets/ (Liability) at 28%	Change in Deferred Tax Assets/ (Liability)	Change in Deferred Tax Assets/ (Liability)
Deferred tax asset						
Brought forward tax losses	491,642,537	137,659,910	769,923,513	215,578,584	(77,918,673)	(88,849,801)
Total	491,642,537	137,659,910	769,923,513	215,578,584	(77,918,673)	(88,849,801)

The Company is liable to pay income tax at the rate of 28% as per section 67 of Inland Revenue Act No. 24 of 2017 which was effective from 1st April 2018 and the Act allows to deduct 100% of the taxable income against the brought forward tax losses. As at 31st December 2020 the Company earned a taxable income of Rs. 279 Million and accordingly the brought forward tax losses of Rs. 279 Million utilised for the year. According to the transitional provision of the new Act brought forward tax losses can be claimed against taxable income for a period of six years with effect from 1st April 2018.

The Company made an assessment of future taxable profits and identified that total tax losses can be claimed within the prescribed period of the new Act. Accordingly a deferred tax asset has been recognised amounting to Rs. 137.6 Million during the period on carried forward tax loss of Rs. 491.6 Million.

Income tax rate of corporates has been revised to 24% from 28% as per the notice to tax payers and withholding agents on "implementation of proposed changes to the Inland Revenue Act No. 24 of 2017 dated 12 February 2020.

CA Sri Lanka guideline dated 23 April 2021 stated that financial statements having a period end after 26 March 2021 should use such proposed tax rules and rates in the bill for determination of current tax and deferred tax.

12. EARNINGS/(LOSS) PER SHARE

Basic earnings / (loss) per share amount is calculated the net profit for the year attributable to ordinary shareholders of the Company by dividing the weighted average number of ordinary shares outstanding at the reporting date.

	2020	2019
	Rs.	Rs.
Profit for the year	200,676,238	227,255,819
Weighted average number of ordinary shares (Nos)	66,230,407	66,230,407
Basic earnings per ordinary share Rs.	3.03	3.43

12.1 Weighted Average Number of Ordinary Shares

	2020	2019
Ordinary shares at the beginning of the year	66,230,407	66,230,407
Ordinary shares at the end of the year	66,230,407	66,230,407

13. PROPERTY, PLANT AND EQUIPMENT

Cost	Office Equipment	Furniture & Fittings	Computer	Motor Vehicle	Total
	Rs.	Rs.	Rs.	Rs.	Rs.
As at 1 January 2020	22,355,292	68,127,845	40,567,908	5,800,000	136,851,045
Additions	3,070,561	15,984,539	5,290,074	-	24,345,174
Disposals	-	-	-	-	-
As at 31 December 2020	25,425,853	84,112,384	45,857,982	5,800,000	161,196,219
Accumulated depreciation					
As at 1 January 2020	12,235,641	37,512,697	23,576,852	3,383,333	76,708,523
Depreciation charge for the year	4,398,451	11,965,129	7,903,898	1,160,000	25,427,478
Disposals	-	-	-	-	-
As at 31 December 2020	16,634,092	49,477,826	31,480,750	4,543,333	102,136,001
Carrying amount					
As at 31 December 2020	8,791,761	34,634,558	14,377,232	1,256,667	59,060,218
As at 1 January 2020	10,119,651	30,615,148	16,991,056	2,416,667	60,142,522

13.1 Acquisition of PPE During the Year

During the financial year, the Company acquired property, plant & equipment to the aggregate value of Rs. 24 Million (2019 - Rs. 20 Million). Cash payments amounting to Rs. 24 Million (2019 - Rs. 20 Million) were made during the year to purchase of property, plant & equipment.

13.2 PPE Pledged as Security for Liabilities

There were no items of property, plant and equipment pledged as securities for liabilities during the year. (2019 - Nil)

13.3 Temporarily Idle Property, Plant and Equipments

There were no temporarily idle property as at the year ended 31st December 2020. (2019 - Nil)

13.4 Fully Depreciated PPE in Use

PPE includes fully depreciated assets which are in the use of normal business activities. The initial cost of fully depreciated PPE which are still in use as at reporting date, is as follows:

As at 31st December	2020	2019
	Rs.	Rs.
Computer	13,447,537	9,465,266
Furniture	18,193,428	14,645,906
Office Equipment	3,460,140	2,600,427
	35,101,105	26,711,599

Notes to the Financial Statements

14. RIGHT OF USE ASSETS

	2020	2019
	Rs.	Rs.
Opening as at 1st January	119,555,926	137,413,782
Additions of right of use assets during the period	68,299,950	30,260,762
Net depreciation for the period	(61,586,962)	(61,291,107)
Advance payment for leases	11,067,509	13,172,489
Closing right of use asset balance as at 31st December	137,336,423	119,555,926
Lease depreciation	(50,681,292)	(48,007,879)
Amortisation of advance	(10,905,670)	(13,283,228)
	(61,586,962)	(61,291,107)
Lease Creditors		
Opening as at 1st January	128,171,022	123,998,064
Additions during the period	68,299,950	30,260,762
Finance cost recognised in profit and loss	21,892,453	19,120,819
Lease payments	(63,044,308)	(45,208,623)
Closing lease creditors balance as at 31st December	155,319,117	128,171,022

15. INTANGIBLE ASSETS

Computer software	2020	2019
Cost	Rs.	Rs.
Balance as at 1st January	1,020,000	450,000
Acquisition/Capitalisation during the year	-	570,000
Disposal during the year	-	-
Balance as at 31st December	1,020,000	1,020,000
Accumulated amortisation		
As at 1st January	344,469	146,250
Amortisation charge for the year	262,500	198,219
Disposals	-	-
As at 31st December	606,969	344,469
Carrying amount		
As at 31st December	413,031	675,531
As at 1st January	675,531	303,750

15.1 Acquisition of intangible assets during the year

There were no any additions made during the financial year. (2019 – 0.57 million)

15.2 Fully amortised intangible assets in use

There were no fully amortised intangible assets in use as at reporting date.

15.3 Title restriction on intangible assets

There were no restrictions that existed on the title of the intangible assets of the Company as at the reporting date.

15.4 Assessment of impairment of intangible asset

The board of directors has assessed potential impairment indicators of intangible assets as at 31st December 2020 based on the assessment, no impairment indicators were identified.

16. FINANCIAL ASSETS

The Company's financial instruments are summarised by categories as follows:

	2020	2019
	Rs.	Rs.
Loans and receivables	2,304,767,644	2,045,369,823
Available-for-sale financial assets	377,708,810	331,579,079
Total	2,682,476,454	2,376,948,902

The following table consists of the fair values of the financial investments together with their carrying values.

	Note	2020		2019	
		Carrying Value	Fair Value	Carrying Value	Fair Value
		Rs.	Rs.	Rs.	Rs.
Loans and receivables	16 (a)	2,304,767,644	2,304,767,644	2,045,369,823	2,045,369,823
Available-for-sale financial assets	16 (b)	377,708,810	377,708,810	331,579,079	331,579,079
Total financial instruments		2,682,476,454	2,682,476,454	2,376,948,902	2,376,948,902

Available-for-sale investments have been valued at fair value and loans and receivable investments are valued at amortised cost.

16. (a) Loans and receivables

As at 31st December	2020	2019
	Rs.	Rs.
Investment in corporate debt	818,008,327	841,836,533
Investment in fixed deposit	338,372,328	415,254,885
Investment in repos	1,087,364,523	828,278,405
Investment in RPF debt instrument	101,022,466	
	2,344,767,644	2,085,369,823
Provision for impairment	(40,000,000)	(40,000,000)
	2,304,767,644	2,045,369,823

Notes to the Financial Statements

16. (b) Available for sale financial assets

	2020	2019
	Rs.	Rs.
Treasury bonds	377,708,810	331,579,079
	377,708,810	331,579,079

16. (c) Carrying values of financial instruments

The movement of carrying value of above financial instruments as of reporting date is as follow;

	Loans and Receivables	Available- for-Sale	Total
	Rs.	Rs.	Rs.
At 1st January 2019	1,507,403,916	520,861,875	2,028,265,791
Purchases	37,238,179,593	-	37,238,179,593
Maturities	(36,644,803,856)	(230,809,950)	(36,875,613,606)
Disposals	-	-	-
Fair value gains recorded in other comprehensive income	-	36,415,989	36,415,989
Amortisation adjustment/Accrued Interest	(55,410,030)	5,111,165	(50,298,865)
At 1st January 2020	2,045,369,823	331,579,079	2,376,948,902
Purchases	50,996,206,798	-	50,996,206,798
Maturities	(50,762,670,680)	-	(50,762,670,680)
Disposals	-	-	-
Fair value gains recorded in other comprehensive income	-	46,129,731	46,129,731
Amortisation adjustment/Accrued Interest	25,861,703	-	25,861,703
At 31 December 2020	2,304,767,644	377,708,810	2,682,476,454

16. (d) Fair value of financial assets and liabilities not carried at fair value

The following describes the methodologies and assumptions used to determine fair values for those financial instruments which are not already recorded at fair value in the financial statements (i.e. held to maturity and loans and receivables).

Assets for which fair value approximates carrying value

For financial assets and financial liabilities that have a short-term maturity (less than three months), it is assumed that the carrying amounts approximate to their fair value. This assumption is also applied to demand deposits, and savings accounts without a specific maturity. For other variable rate instruments an adjustment is also made to reflect the change in required credit spread since the instrument was first recognised.

Fixed rate financial instruments

The fair value of fixed rate financial assets and liabilities carried at amortised cost are estimated by comparing market interest rates when they were first recognised with current market rates for similar financial instruments. The estimated fair value of fixed interest bearing deposits is based on discounted cash flows using prevailing money-market interest rates for debts with similar credit risk and maturity. For quoted debt issued the fair values are determined based on quoted market prices. For those notes issued where quoted market prices are not available, a discounted cash flow model is used based on a current interest rate yield curve appropriate for the remaining term to maturity and credit spreads.

16. (e) Determination of fair value and fair values hierarchy

The Group uses the following hierarchy for determining and disclosing the fair value of financial instruments by valuation technique:

Level 1 : quoted (unadjusted) prices in active markets for identical assets or liabilities

Level 2 : valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable

Level 3 : valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable

The following table shows an analysis of financial instruments recorded at fair value by level of the fair value hierarchy:

31st December 2020	Level 1	Level 2	Level 3	Total Fair Value
	Rs.	Rs.	Rs.	Rs.
Available-for-sale financial assets	377,708,810	-	-	377,708,810
	377,708,810	-	-	377,708,810

31st December 2019	Level 1	Level 2	Level 3	Total Fair Value
	Rs.	Rs.	Rs.	Rs.
Available-for-sale financial assets	331,579,079	-	-	331,579,079
	331,579,079	-	-	331,579,079

17. LOANS TO LIFE POLICYHOLDERS

	2020	2019
	Rs.	Rs.
Movement of policy loan		
Balance as at 1st January	247,870,551	202,319,889
Loans granted during the year	114,707,665	86,675,127
Repayments during the year	(28,251,217)	(41,124,465)
Balance as at 31st December	334,326,999	247,870,551
Interest receivable	55,367,263	38,399,859
Total loans to life policyholders	389,694,262	286,270,410

17.1 The surrender value of the policies for which policy loans have been granted as at 31st December 2020 amounted to Rs. 411.4 Million (2019 - Rs. 336.8 Million).

This mitigates the Company's credit exposure on policy loans.

The Company grants policy loans at a rate equivalent to the market rate, hence initial recognition is at fair value.

17.2 Impairment Losses on Loans to Life Policyholders

The Board of Directors has assessed potential impairment loss of loans to life policyholders as at 31st December 2020. Based on the assessment, no impairment provision is required to be made in the Financial Statements as at the reporting date in respect of loans to Life Policyholders.

Notes to the Financial Statements

18. REINSURANCE RECEIVABLES

Year ended 31st December	Note	2020 Rs.	2019 Rs.
Reinsurance receivable on outstanding claims		7,170,413	57,307,238
Reinsurance receivable on settled claims	18.1	-	11,044,613
		7,170,413	68,351,851
18.1 Reinsurance receivable from Munich Re		-	11,044,613
		-	11,044,613

18.2 The carrying amounts disclosed above is in respect of the reinsurance of investment contracts approximate fair value at the reporting date.

18.3 Impairment Losses on Reinsurance Receivables

The Board of Directors has assessed potential impairment loss of reinsurance receivables as at 31st December 2020. Based on the assessment, no impairment provision is required to be made in the Financial Statements as at the reporting date in respect of reinsurance receivables. Please refer Note No. 31.3 (b) for reinsurance rating analysis.

19. AMOUNTS DUE FROM RELATED PARTIES

Year ended 31st December	Note	2020 Rs.	2019 Rs.
Amounts due from related companies	19 (a)	6,448,559	51,716,671

19. (a)

Related Party	Relationship	2020 Rs.	2019 Rs.
Richard Pieris & Company PLC	Ultimate Parent	-	1,412,029
Richard Pieris Distributors PLC	Fellow Subsidiary	6,448,559	50,304,642
		6,448,559	51,716,671

20. PREMIUM RECEIVABLE

Year ended 31st December	2020 Rs.	2019 Rs.
Premium receivable from policyholders		
Third party	30,808,290	65,220,110
Related party	-	4,308,311
	30,808,290	69,528,421

21. OTHER ASSETS

Year ended 31st December	2020	2019
	Rs.	Rs.
Advances, deposits & prepayments	16,310,070	61,456,300
Taxation receivable	31,385,102	35,473,248
Inventories	8,179,801	6,585,157
	55,874,973	103,514,705

22. CASH AND CASH EQUIVALENTS

Year ended 31st December	2020	2019
	Rs.	Rs.
Cash in hand	568,027	510,189
Cash at bank	667,980,165	295,004,549
Short term investments	-	-
Total cash and cash equivalent balance	668,548,192	295,514,738

23. FINANCIAL INSTRUMENTS

23.1 Financial Assets and Liabilities by Categories

Financial assets and liabilities in the tables below are split into categories in accordance with LKAS 39.

Financial Assets by Categories

As at 31st December	Loans and Receivables		Available-for-Sale Financial Assets	
	2020	2019	2020	2019
	Rs.	Rs.	Rs.	Rs.
Financial investments	2,304,767,644	2,045,369,823	377,708,810	331,579,079
Loans to life policyholders	389,694,262	286,270,410	-	-
Premium receivable	30,808,290	69,528,421	-	-
Reinsurance receivable	7,170,413	68,351,851	-	-
Amounts due from related parties	6,448,559	51,716,671	-	-
Cash and cash equivalents	668,548,192	295,514,738	-	-
Total	3,407,437,360	2,816,751,914	377,708,810	331,579,079

Notes to the Financial Statements

Financial Liabilities by Categories As at 31st December	Financial Liabilities Measured at Amortised Cost	
	2020	2019
	Rs.	Rs.
Reinsurance creditors	85,918,647	102,961,206
Amounts due to related parties	16,573,459	7,203,351
Financial liabilities	79,190,578	132,994,405
Total	181,682,684	243,158,962

The management assessed that cash and short-term deposits, amount due from related parties, reinsurance receivables, premium receivables, reinsurance creditors, amount due to related parties, financial liabilities and bank overdrafts approximate their carrying amounts largely due to the short-term maturities of these instruments.

24. STATED CAPITAL

Fully Paid Ordinary Shares	2020		2019	
	Nos.	Rs.	Nos.	Rs.
At the beginning of the year	66,230,407	675,564,870	66,230,407	675,564,870
At the end of the year	66,230,407	675,564,870	66,230,407	675,564,870

25. INSURANCE CONTRACT LIABILITIES

	2020	2019
	Rs.	Rs.
Balance as at 01st January	1,562,743,701	1,325,869,400
Change in contract liabilities life fund		
Increase in life insurance fund before surplus transfer	495,077,703	452,938,334
Surplus transferred from/(to) shareholders	(199,037,030)	(231,153,004)
Increase in life insurance fund	296,040,673	221,785,330
Movement in AFS reserve transferred to life fund	46,129,731	15,088,971
Balance as at 31st December	1,904,914,105	1,562,743,701

Insurance Contract Liabilities – Life

The valuation of the Life Insurance business as at 31st December 2020 was assessed by Actuarial Partners Consulting Sdn Bhd. According to the Actuarial Valuation which is based on a distribution basis, the reserve amounted to Rs. 1,904 Million (2019 - 1,562 Million) is adequate to cover the liabilities pertaining to the Life Insurance Business.

Long duration contract liabilities included in the Life Insurance Fund, result primarily from traditional non-participating Life Insurance products. The actuarial reserves have been established based on Gross Premium Valuation (GPV) with cash flows discounted using the best estimate investment return of 7.29% p.a.

According to Solvency margin rules (Risk Based Capital) effective from 1st January 2016, Life Insurance Policy Liabilities are valued as per the Gross Premium Valuation (GPV) method. The change in the valuation method from Net Premium Valuation (NPV), which was applicable under the previous Solvency Margin Rules and GPV as per the new rules resulted in a one off release in Liabilities. The external Actuary Actuarial Partners Consulting Sdn Bhd has reworked the one off surplus which is amounting to Rs. 320 Million on the RBC Basis. The one off surplus is applicable only for the non participating businesses. The Company does not engage in participating business. As Company has adopted a distribution basis for the insurance contract liability valuation, the one off surplus will not be transferred to the shareholder fund as a restricted reserve.

As per the valuation, the Life Insurance Fund included in the financial statements exceed the required actuarial reserves by Rs. 199 Million as at 31st December 2020 before any transfers to shareholders. Accordingly based on the recommendations made by the Actuary a sum of Rs. 199 Million has been transferred to Shareholders fund from the Life Insurance Fund in 2020.

Liability Adequacy Test (LAT)

A Liability Adequacy Test ("LAT") for Life Insurance contract Liability was carried out by Actuarial Partners, as at 31st December 2020 as required by SLFRS 4 - Insurance Contracts. When performing the LAT, the Company discounted all contractual cash flows and compared this amount with the carrying value of the liability. According to the consultant actuary's report, assets are sufficiently adequate as compared to the discounted cash flow reserves and in contrast to the reserves as at 31st December 2020. No additional provision was required against the LAT as at 31st December 2020.

Key assumptions

The key assumptions used to estimate liability are as follows.

Mortality	82% of the latest industry mortality table SLA07/09 for male and female is used.
Discount rate	The discount rates are derived based on the asset mix and expected rates of return of the Company. The cash flows are discounted using the best estimate expected fund return of 7.29% p.a. This is derived based on the Company's expected return.
Inflation	4.64% p.a. based on the weighted salary increment experience from Arpico and the expected inflation of Sri Lanka for non-salary expense.
Morbidity	Morbidity and rider outgo – 100% of the reinsurance rates due to absence of experience study.

Sensitivities

The following analysis provides the sensitivity of the life insurance liability due to possible movements in key assumptions with all other assumptions held constant, and shows the impact on gross liabilities.

31st December	Change in assumption	Impact on gross liabilities
		2020 %
Expenses	+ 10%	4.13
Mortality	+ 10%	0.74
Mortality	- 10%	(0.75)
Discount Rate	+50 basis points	(2.98)
Discount Rate	-50 basis points	2.96

Impact of COVID-19 outbreak

There is no material impact on the insurance contract liabilities due to COVID-19 outbreak as at 31 December 2020 since insurance contract liabilities are determined by using the discount rate and methodology disclosed above.

Notes to the Financial Statements

26. EMPLOYEE BENEFIT OBLIGATION

	2020	2019
	Rs.	Rs.
Gratuity benefit obligation		
Balance as at 1st January	11,452,108	9,488,252
Current service cost	2,771,115	2,435,665
Interest cost on benefit obligation	1,145,211	996,266
Past service cost	-	-
Gratuity paid/payable for those who left during the period	(938,863)	(595,228)
(Gain)/Loss arising from changes in assumptions	313,936	(872,847)
Balance as at 31st December	14,743,507	11,452,108
Expense recognised in the income statement		
Interest cost	1,145,211	996,266
Current service cost	2,771,115	2,435,665
Net actuarial (gain)/loss recognised immediately	313,936	(872,847)
Past service cost	-	-
Amount recognised in the income statement	4,230,262	2,559,084

The actuarial valuation for the gratuity liability was carried out as at 31st December 2020, by Mr. Poopalanathan, of M/S Actuarial and Management Consultants (Pvt) Ltd.

26.1

Discount rate	6%	10%
Future salary increases	5%	5%
Retirement age	55 years	55 years

26.2 Sensitivity analysis on discounting rate and salary increment rate to Statement of Financial Position and Comprehensive Income.

Assumption	Rate Change %	2020		2019	
		Impact to Financial Position – Increment/ (Reduction) of Liability	Impact to Comprehensive Income – Charged/ (Reversal)	Impact to Financial Position – Increment/ (Reduction) of Liability	Impact to Comprehensive Income – Charged/ (Reversal)
Discount rate	1	(353,854)	(353,854)	(318,745)	(299,449)
Discount rate	-1	373,050	373,050	337,944	319,528
Salary increment rate	1	413,591	413,591	375,325	343,756
Salary increment rate	-1	(398,959)	(398,959)	(359,481)	(327,394)

26.3 Maturity profile of defined benefit obligation

As at 31st December	2020	2019
	Rs.	Rs.
Less than one year	4,305,279	2,606,091
Between 1-2 years	5,641,326	4,178,661
Between 3-5 years	3,611,799	3,038,469
Beyond 5 years	1,185,104	1,628,887
	14,743,508	11,452,108

27. REINSURANCE CREDITORS

As at 31st December	2020	2019
	Rs.	Rs.
Munich Re	83,440,353	100,482,912
Hannover Re	2,478,294	2,478,294
	85,918,647	102,961,206

28. AMOUNTS DUE TO RELATED PARTIES

As at 31st December	Note	2020	2019
		Rs.	Rs.
Amounts due to related companies	28 (a)	16,573,459	7,203,351

28. (a)

Related Party	Relationship	2020	2019
		Rs.	Rs.
Richard Pieris & Company PLC	Ultimate Parent	13,814,529	-
Richard Pieris Distributors Limited	Fellow Subsidiary	1,929,500	4,378,458
Arpico Interiors	Fellow Subsidiary	642,212	2,015,020
Arpitech (Pvt) Ltd	Fellow Subsidiary	187,218	369,173
RPC Logistics (Pvt) Ltd	Affiliate	-	440,700
		16,573,459	6,762,651

29. OTHER FINANCIAL LIABILITIES

As at 31st December	2020	2019
	Rs.	Rs.
Agency commission payable	35,406,370	57,243,558
Accrued expenses	24,617,929	(1,179,152)
Claims outstanding	19,166,279	76,929,999
	79,190,578	132,994,405

Notes to the Financial Statements

30. OTHER LIABILITIES

As at 31st December	2020	2019
	Rs.	Rs.
Policyholder advance payments	51,759,392	37,357,216
Other taxes payable	6,263,093	4,468,728
	58,022,485	41,825,944

31. RISK MANAGEMENT FRAME WORK

31.1 Overview

The mission of risk management at Arpico Insurance PLC is to promptly identify, measure, manage, report and monitor risks that affect the achievement of strategic, operational and financial objectives. This includes adjusting the risk profile in line with the Company's stated risk tolerance to respond to new threats and opportunities in order to optimise returns.

The Company is exposed to the following risks.

- **Insurance Risk**

- Life Insurance Contracts
- Reinsurance

- **Financial Risk**

- Credit Risk
- Liquidity Risk
- Market Risk
- Operational Risk

This note presents information about Company's exposure to each of the above risks, the Company's objectives, policies and processes for measuring/managing such risks, and the manner in which the Company manages its capital.

31.2 Risk management framework

(a) Governance framework

The primary objective of the Company's risk and financial management framework is to protect the Company's shareholders from events that could hinder the sustainable achievement of financial objectives, including failure to exploit opportunities. The Board of Directors has the overall responsibility for the establishment and oversight of the Company's risk management framework and thus, their approval is necessary for the risk management strategy and risk policies pertaining to all activities of the Company. Further, the Board also ensures that adequate resources, expertise and support are provided for the effective implementation of the risk management strategy, policies and procedures of the Company. Management recognises the paramount importance of having efficient and effective risk management systems in place.

The Company has appointed a Risk Management Committee, comprising members of the senior management from business operations and control functions, which oversees the risk management activities of the Company. The activities cover areas such as the evaluation of business processes, design and implementation of the risk strategy and risk policies, review and updating of the risk profile, delegation of authority, monitoring of risk mitigation activities, etc.

The Board of Directors approves the Company's risk management policies and meets regularly to approve any commercial, regulatory and organisational requirements of such policies. These policies define the Company's identification of risk and its interpretation, limit structure to ensure the appropriate quality and diversification of assets, align underwriting and reinsurance strategy to the corporate goals, and specify reporting requirements.

(b) Capital management objectives, policies and approach

The Company has established the following capital management objectives, policies and approaches to manage the risks that affect its capital position:

- To maintain the required level of solvency of the Company, thereby providing a degree of security to policyholders
- To allocate capital efficiently and support the development of business by ensuring that returns on capital employed meets the requirements of its shareholders and policyholders
- To retain financial flexibility by maintaining strong liquidity
- To align the profile of assets and liabilities taking account of risks inherent in the business
- To maintain financial strength to support new business growth and to satisfy the requirements of the policyholders, regulators and other stakeholders
- To maintain healthy capital ratios in order to support its business objectives and maximise shareholders' value.

The operations of the Company are subject to regulatory requirements. Such regulations not only prescribe approval and monitoring of activities, but also impose certain restrictive provisions (e.g. Solvency Margin, Approved Assets Requirements of IRCSL) to minimise the risk of default and insolvency on the part of the Company to meet unforeseen liabilities as these arise. The Company has been in compliance with all these regulatory requirements throughout the financial year to the best of our knowledge.

Approach to capital management

The Company seeks to optimise the structure and sources of capital to ensure that it consistently maximises returns to the shareholders and policyholders. The Company's approach to managing capital involves managing assets, liabilities and risks in a coordinated way, assessing shortfalls between reported and required capital levels on a regular basis and taking appropriate actions to influence the capital position of the Company in the light of changes in economic conditions and risk characteristics.

The primary source of capital used by the Company is equity shareholders' funds. The capital requirements are routinely forecasted on a periodic basis by the management and the Board. The solvency margins are calculated on a monthly basis and shared with the Board.

(c) Regulatory framework

Insurance regulator in the Country, Insurance Regulatory Commission of Sri Lanka (IRC SL) is primarily interested in protecting the rights of policyholders and monitors the Company closely to ensure that it is satisfactorily managing affairs for the benefit of policyholders. At the same time, they are also interested in ensuring that the Company maintains an appropriate solvency position to meet unforeseen liabilities arising from economic shocks, natural disasters, etc.

Thus, the operations of the Company are subject to regulatory requirements of the IRC SL as well as various other regulators such as Central Bank of Sri Lanka (CBSL), Department of Inland Revenue etc. The Company is also regulated by the Companies Act No. 07 of 2007.

31.3 Insurance risk

The principal risk the Company faces under insurance contracts is that the actual claims and benefit payments or the timing thereof, may differ from expectations. This is influenced by the frequency of claims, severity of claims, actual benefits paid and subsequent development of long-term claims. Therefore, the objective of the Company is to ensure that sufficient reserves are available to cover these liabilities.

The risk exposure is mitigated by diversification across a large portfolio of insurance contracts and geographical areas. The variability of risks is also improved by careful selection and implementation of underwriting strategy guidelines, as well as the use of reinsurance arrangements.

Notes to the Financial Statements

(a) Life insurance risk

Life insurance contracts offered by the Company include endowment plans and term assurance and non-conventional products.

Endowment assurance are conventional products where lump sum benefits are payable on death/permanent disability or maturity whichever happens earlier.

Term assurance are conventional products where lump sum benefits are payable on death or permanent disability.

The main risk that the Company is exposed to under Life Insurance Contracts are as follows:

- Mortality risk is the risk that actual policyholder death experience on life insurance policies is higher than expected.
- Morbidity risk is the risk that policyholder health-related claims are higher than expected.
- Longevity risk is the risk that annuitants live longer than expected.
- Investment return risk is the risk that actual returns lower than expected.
- Expense risk is the risk that expenses incurred in acquiring and administering policies are higher than expected.
- Policyholder behavior risk is the risk that policyholders' behavior in discontinuing and reducing contributions or withdrawing benefits prior to the maturity of the contract is worse than expected. Poor persistency rates may lead to fewer policies remaining on the books to defray future fixed expenses and therefore reduce the future positive cash flows from the business written, potentially impacting its ability to recover deferred acquisition expenses.
- Market risk is the risk that associated with the variation of investment income due to the changes in the financial markets.
- Credit risk is the risk that resulting from counterparties failing to fulfill the financial obligations.
- Concentration risk is the risk that refers to losses that may arise due to over dependence on a product, product type or geographical area

The Company's underwriting strategy is designed to ensure that risks are well diversified in terms of type of risk and level of insured benefits. This is largely achieved through the use of medical screening in order to ensure that pricing takes account of current health conditions and family medical history, regular review of actual claims experience and product pricing. Underwriting limits are in place to enforce appropriate risk selection criteria. For example, the Company has the right not to renew individual policies, it has the right to reject the payment of fraudulent claims.

The Company further enforces a policy of actively managing and promptly pursuing claims, in order to reduce its exposure to unpredictable future developments that can negatively impact the Company. For contracts for which death or disability is the insured risk, the significant factors that could increase the overall frequency of claims are epidemics, widespread changes in lifestyle and natural disasters, resulting in earlier or more claims than expected. The Company limits exposure on any single life by way of retention limits agreed with the reinsurers.

Some of the specific actions by the Company to mitigate Life Insurance Risks are shown below:

Life underwriting risk management

- Maximum input is obtained from the Consultant Actuary and Reinsurer in deciding on the terms and conditions of products in order to ensure that products are adequately priced.
- Only registered laboratories are used when obtaining medical reports and regular visits are made by the management to such laboratories to monitor the quality of service.
- Focused training is provided to Insurance Advisors on proper selling in Sinhala, Tamil and English.
- A proposal form with Customer Need Analysis is used to identify customers' requirements and sell the most appropriate policy.

Life claims risk management

- An Independent Actuary is engaged to carry out a valuation of the Life Fund twice a year.
- Claims are reserved immediately at the intimation or on the availability of information of the death or injury of an insured.
- The Claims Panel (comprising Specified Officer, Principal Officer and Manager Actuarial) is involved in taking decisions on significant / problematic claims and appeals made in respect of claims.

(b) Reinsurance risk

The Company's objectives for purchasing reinsurance are to provide market-leading capacity for customers while protecting the balance sheet and optimising the Company's capital efficiency. Reinsurance ceded is placed on a proportional basis. A proportional reinsurance arrangement includes both Quota Share and Facultative Treaty programmes which is taken out to reduce the overall exposure of the Company to certain classes of business. Premium ceded to the reinsurers is in accordance with the terms on the programmes already agreed based on the risks written by the insurance companies.

Recoveries from reinsurers on claims are based on the cession made in respect of each risk and is estimated in a manner consistent with the outstanding claims provisions made for the loss. Although we mitigate our exposures through prudent reinsurance arrangements, the obligation to meet claims emanating from policyholders rests with the Company. Default of reinsurers does not negate this obligation and in that respect the Company carries a credit risk up to the extent ceded to each reinsurer.

The Company's placement of reinsurance is arranged in a manner that is neither dependent on a single reinsurer nor substantially dependent upon any single reinsurance contract. The Company uses Munich Re as its reinsurance provider for individual policies as well as for Group policies. The Company also uses Hannover Re in certain cases.

Credit ratings of the reinsurance companies with whom the Company has arrangements.

Reinsurer	Rating	Rating Agency
Munich Re	A+	A.M. Best
Hannover Re	A+	A.M. Best

Some of the specific actions by the Company to mitigate Reinsurance Risks are shown below:

- Outstanding reinsurance receivables are reviewed on a monthly basis to ensure that all dues are collected or set off against payables on time.
- A very close and professional relationship is maintained with all reinsurers.
- No cover is issued without a confirmed reinsurance in place.
- Only a globally trusted and stable portfolio of reinsurance companies which are rated highly by Standard & Poors or AM Best is used.

Notes to the Financial Statements

31.4 Credit risk

Credit risk is the risk that one party to a financial instrument will cause a financial loss to the other party by failing to discharge an obligation. The Company's credit risk could mainly arise from financial assets such as its investment portfolios, premium receivables from policyholders, receivables from reinsurers, loans given to policyholders and cash and cash equivalents etc.

Credit exposure

The Company's exposure to credit risk as at the Balance sheet date is given in below table with the comparative figures and has been derived as per the Company risk management policy of using the carrying values in the statement of financial position.

As at 31st December	2020 Rs. '000	% of Allocation	2019 Rs. '000	% of Allocation
Financial investments				
Debt securities - Loans and receivables	2,304,768	61	2,045,370	65
Debt securities - Available for sale	377,709	10	331,579	11
Total debt securities	2,682,477	71	2,376,949	75
Life policyholders loans	389,694	10	286,270	9
Reinsurance receivable	7,170	0	68,352	2
Amounts due from related parties	6,449	0	51,717	2
Premiums receivable	30,808	1	69,528	2
Cash in hand and at bank	668,548	18	295,515	9
Total credit risk exposure	3,785,146	100	3,148,331	100

As of December 31st 2020 the largest credit risk exposure of 71% (2019 - 75%) is arising from investments in debt securities.

Credit risk – Financial investments in debt securities

The Company limits its exposure to credit risk by analysing the creditworthiness of each debt security investment. The creditworthiness of a potential debt security investment is assessed mainly through ratings assigned to the issuing institution or the ratings assigned to an issue. The debt security investments are broadly categorised into investments in government securities and investments in corporate debt securities.

As at 31st December	2020 Rs. '000	% of Allocation	2019 Rs. '000	% of Allocation
Financial investments				
Government securities and related institutions	1,465,073	57	1,159,857	49
Corporate debt securities	778,008	30	801,837	34
Deposits	338,372	13	415,255	17
Total debt securities	2,581,454	100	2,376,949	100

(i) Government Securities

As shown in table above, as at 31st December 2020, 57% (2019 - 49%) of debt securities comprise investments in government securities comprising treasury bonds, bills and repo investments. Government securities are usually referred to as risk free due to the sovereign nature of the instrument.

(ii) Corporate debt securities

As at 31st December 2020, corporate debt securities comprise 30% (2019 - 34%) of the total investments which were rated "BBB" or better.

Corporate debt security allocation 2020 Vs 2019 – credit rating wise

As at 31st December Rating	2020		2019	
	Rs. '000	% of Total	Rs. '000	% of Total
AA+ AA-	263,183	34	191,893	24
A+ A-	432,365	56	609,943	76
BBB BB-	82,460	10	-	-
Not rated *	-	-	-	-
Total	778,008	100	801,836	100

Comprises Rs. 778 Million (2019 - Rs. 802 Million) with an issuer rating above "BBB".

(iii) Concentration risk of corporate debt securities

The Company actively manages its investment mix to ensure that there is no significant concentration of credit risk.

Credit risk relating to loans to life policyholders

A loan issued by an insurance company considers the surrender value of the life policy as collateral. As at the balance sheet date, the value of policy loans granted amounted to Rs. 389 Million (2019 – Rs. 286 Million) and its related surrender value is Rs. 411.4 Million (2019 – Rs. 336.8 Million).

Credit risk relating to cash and cash equivalents

In order to mitigate concentration, settlement and operational risks related to cash and cash equivalents, the Company limits the maximum cash amount that can be deposited with a single counterparty. In addition, the Company maintains an authorised list of acceptable cash counterparties based on current ratings and economic outlook, taking into account analysis of fundamentals and market indicators. The Company held cash and cash equivalents of Rs. 669 Million as at 31st December 2020 (2019 - Rs. 296 Million). The cash and cash equivalents are held with banks and financial institutional counterparties, which are rated "BBB" or better.

31.5 Liquidity risk

Liquidity risk is the risk that the Company may not have sufficient liquid financial resources to meet its obligations when they fall due, or would have to incur excessive costs to do so. In respect of catastrophic / unexpected large claim events there is also a liquidity risk associated with the timing differences between gross cash outflows and expected reinsurance recoveries.

The following policies and procedures are in place to mitigate the exposure to liquidity risk:

- The Board Investment Committee (BIC) manages this risk by diversifying investment durations and reviewing cash flow projections regularly.
- Guidelines are set for asset allocations, portfolio limit structures and maturity profiles of assets, in order to ensure availability of sufficient funding to meet insurance and investment contract obligations.
- Reinsurance contracts contain clauses permitting the immediate draw down of funds to meet claim payments should claim events exceed a certain size.

Notes to the Financial Statements

Maturity profiles

The table below summarises the maturity profile of the non-derivative financial assets of the Company based on remaining contractual obligations.

As at 31 December 2020	Carrying Amount Rs. '000	Up to a Year Rs. '000	1-3 Years Rs. '000	3-5 Years Rs. '000	5-10 Years Rs. '000	Total Rs. '000
Financial assets						
Loans & receivables	2,304,768	1,477,046	543,983	283,737	-	2,304,768
Available for sale	377,709	-	-	54,818	322,891	377,709
Life policyholders loans	389,694	107,799	49,042	53,471	179,382	389,694
Reinsurance receivable	7,170	7,170	-	-	-	7,170
Premiums receivable	30,808	30,808	-	-	-	30,808
Cash and cash equivalents	668,548	668,548	-	-	-	668,548
Total assets	3,778,697	2,291,371	593,025	392,026	502,273	3,778,697

As at 31 December 2020	Carrying Amount Rs. '000	Up to a Year Rs. '000	1-3 Years Rs. '000	3-5 Years Rs. '000	5-10 Years Rs. '000	Total Rs. '000
Financial liabilities						
Reinsurance creditors	85,919	85,919	-	-	-	85,919
Amounts due to related parties	16,573	16,573	-	-	-	16,573
Lease creditor	155,319	45,170	99,052	5,390	5,707	155,319
Other financial liabilities	79,191	79,191	-	-	-	79,191
Total liabilities	337,002	226,853	99,052	5,390	5,707	337,002

As at 31st December 2019	Carrying Amount Rs. '000	Up to a Year Rs. '000	1-3 Years Rs. '000	3-5 Years Rs. '000	5-10 Years Rs. '000	Total Rs. '000
Financial assets						
Loans & receivables	2,045,370	1,270,485	416,130	358,755	-	2,045,370
Available for sale	331,579	-	-	52,351	279,228	331,579
Life policyholders loans	286,270	38,777	98,326	29,387	119,780	286,270
Reinsurance receivable	68,352	68,352	-	-	-	68,352
Premiums receivable	69,528	69,528	-	-	-	69,528
Cash and cash equivalents	295,515	295,515	-	-	-	295,515
Total assets	3,096,614	1,742,657	514,456	440,493	399,008	3,096,614

As at 31st December 2019	Carrying Amount Rs. '000	Up to a Year Rs. '000	1-3 Years Rs. '000	3-5 Years Rs. '000	5-10 Years Rs. '000	Total Rs. '000
Financial liabilities						
Reinsurance creditors	102,961	102,961	-	-	-	102,961
Amounts due to related parties	7,203	7,203	-	-	-	7,203
Other financial liabilities	132,995	132,995	-	-	-	132,995
Total liabilities	243,159	243,159	-	-	-	243,159

31.6 Market risk

Market risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market prices. Market risk comprises three types of risks: foreign exchange rates (currency risk), market interest rates (interest rate risk) and market prices (price risk).

- A Company market risk policy setting out the assessment and determination of what constitutes market risk for the Company. Compliance with the policy is monitored and exposures and breaches are reported to the Company investment committee. The policy is reviewed regularly for pertinence and for changes in the risk environment.
- Set asset allocation and portfolio limit structure, to ensure that assets back specific policyholder liabilities and the assets are held to deliver income and gains for policyholders which are in line with expectations of the policyholders.

(a) Currency risk

Currency risk is the risk that the fair value / present value of the future cash flows of a financial instrument will fluctuate because of changes in foreign exchange rates. The Company's principal transactions are carried out in Sri Lankan Rupees and its exposure to foreign exchange risk is very minimal.

The Company's financial assets are primarily denominated in the same currencies as its insurance. The Company has no significant concentration of currency risk.

(b) Interest rate risk

Interest rate risk is the risk that the value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates. Floating rate instruments expose the Company to cash flow interest risk, whereas fixed interest rate instruments expose the Company to fair value interest risk.

Interest on floating rate instruments is re-priced at intervals of less than one year. Interest on fixed interest rate instruments is priced at the inception of the financial instrument and is fixed until maturity.

The analysis that follows is performed for reasonably possible movements in key variables with all other variables held constant, showing the impact on profit before tax (due to changes in fair value of floating rate financial assets) and equity (That reflects adjustments to profit before tax and revaluing Available for sale financial assets).

As part of the Company's investment strategy, in order to reduce both insurance and financial risk, the Company matches its investments to the liabilities arising from insurance by reference to the type of benefits payable to contract holders to the maximum possible extent. However, due to the availability of long term investment opportunities in the country, insurance liabilities (Life Insurance) are of a longer term than corresponding assets.

(c) Equity price risk

Equity price risk is the risk that the fair value / present value of future cash flows of a financial instrument will fluctuate because of changes in market prices (other than those arising from interest rate risk or currency risk), whether those changes are caused by factors specific to the individual financial instrument or its issuer, or factors affecting all similar financial instruments traded in the market.

The Company's equity price risk exposure relates to financial assets and financial liabilities whose values will fluctuate as a result of changes in market prices. The Company's price risk policy requires it to manage such risks by setting and monitoring objectives and constraints on investments, diversification plans, limits on investments in each sector and market.

Notes to the Financial Statements

31.7 Operational risk

Operational risk is the risk of loss arising from system failure, human error, fraud or external events. When controls fail to perform, operational risks can cause damage to reputation, have legal or regulatory implications or can lead to financial losses. The Company cannot expect to eliminate all operational risks, but by initiating a rigorous control framework and by monitoring and responding to potential risks, the Company is able to manage the risks.

Controls to manage the Operational Risk includes effective segregation of duties, access controls, authorisation and reconciliation procedures, staff education and assessment processes, including the use of internal audit. Business risks such as changes in environment, technology and the industry are monitored through the Company's strategic planning and budgeting process.

32. RELATED PARTY TRANSACTIONS

The Company carries out transaction in the ordinary course of business with parties who are defined as related party is in Sri Lanka Accounting Standard, LKAS 24 "Related Party Disclosures".

The pricing applicable to such transactions is based on the assessment of risk and pricing model of the Company and is comparable with what is applied to transactions between the Company and its unrelated customers.

This note provides details of Arpico Insurance's related parties and the transactions which have taken place between the Company and its related parties.

(a) Transactions with the ultimate controlling party of the company

Richard Pieris & Company PLC is the parent/ ultimate controlling party of Arpico Insurance. The Company has transactions with its parent as follows:

(i) Insurance contracts transactions with the ultimate controlling party of the company

Nature of the Transaction	2020	2019
	Rs.	Rs.
Insurance premium received/receivable	35,138,999	42,438,074
Claims paid	(18,828,262)	(30,052,891)

(ii) Other transactions with the ultimate controlling party of the company

Nature of the Transaction	2020	2019
	Rs.	Rs.
Interest received/receivables	41,160,297	64,932,588
Expenses incurred behalf of the Company	(99,302,815)	(89,720,086)
Fund transfers	41,541,157	67,622,142

(b) Transactions with key management personnel (KMP) of the company and close family members

According to Sri Lanka Accounting Standard LKAS 24 "Related Party Disclosures", Key Management Personnel are those having authority and responsibility for planning, directing and controlling the activities of the entity.

Accordingly Arpico Insurance, considers its Board of Directors (Including Executive & Non-Executive Directors) and Board of Directors of Parent (Including Executive & Non-Executive Directors) as the KMP of the Company.

	2020	2019
	Rs.	Rs.
Short term employee benefits	600,000	1,100,000

(c) Transaction with/between subsidiary companies of parent company

Nature of the Transaction	2020	2019
Fellow Subsidiaries	Rs.	Rs.
Claims paid	(2,548,635)	(6,993,018)
Insurance premium received/receivable	27,537,288	18,548,280
Purchase of fixed assets	(9,811,002)	(7,903,605)
Rent paid	(5,066,553)	(9,044,423)
Others	-	105,990

(d) Recurrent related party transactions

The aggregate value of the recurrent Related Party Transactions that exceeds 10% of the gross written premium as per the Colombo Stock Exchange listing rule 9.3.2 (b) are as follows:

Name of the Related Party	Relationship	Nature of the Transaction	Aggregate Value of Related Party Transactions Entered into during the Financial Year (LKR)	Aggregate Value of Related Party Transactions as a% of Net Revenue/Income	Terms and Conditions of the Related Party Transactions
Richard Pieris & Company PLC	Parent company	Expenses incurred on behalf of the Company	(99,302,815)	5%	Ordinary business transactions

(e) Non-recurrent related party transactions

There were no non recurrent related party transactions which in aggregate value exceeds 10% of the equity or 5% of the total assets which ever is lower of the Company as per 31st December 2020 Audited Financial Statements which required additional disclosures in the 2020 Annual Report under Colombo stock exchange listing rule 9.3.2.

Notes to the Financial Statements

33. COMMITMENT AND CONTINGENCIES

There were no capital commitments and contingent liabilities as at the reporting date.

34. COVID-19 IMPACT

The Company experienced various impact due to COVID-19 and the results for the year reflect the effect. Following assessments were made in preparing the financial statements for the year ended 31 December 2020.

The Company assesses at reporting date whether there is an indication that an asset may be impaired. No impairment on property, plant and equipment as at the reporting date due to the COVID-19 pandemic.

The Company does not foresee any impairment of right of use assets due to the COVID-19 pandemic since as each branch is operating under the business continuity plans as per the Company's risk management strategy, whilst strictly adhering to and supporting government directives.

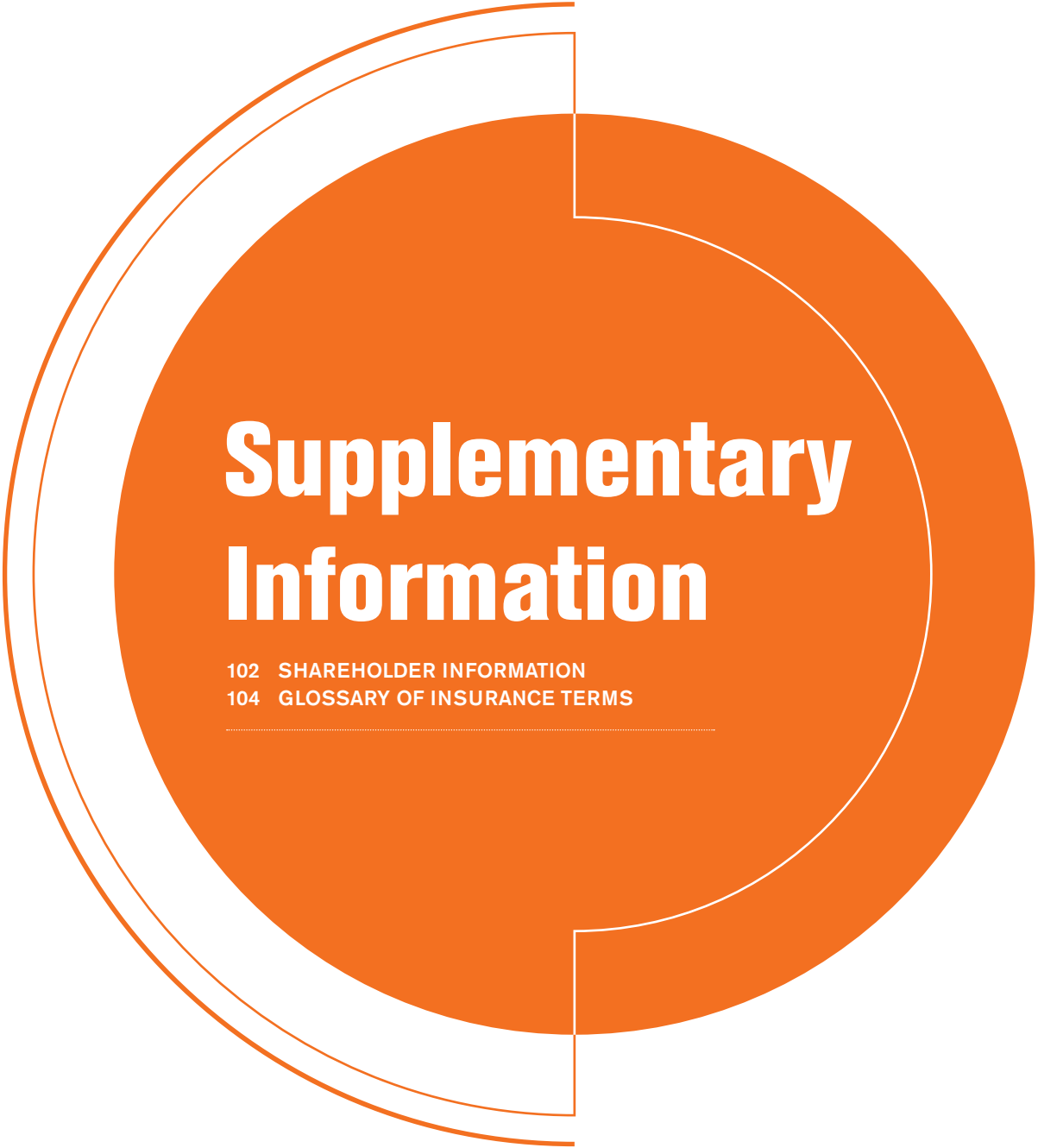
The Company has utilised maximum credit settlement period and accordingly managed working capital requirements. Therefore, there was no requirement for the arrangement of additional credit facilities from suppliers.

Recent reductions in the interest rates from 10% to 6% have resulted in high liability of employee benefit obligation at the end of the reporting period due to the reduction in the interest rates that are used in measuring the present value of the liability. The rate used to discount post-employment benefit obligation be determined with reference to the risk free interest rates.

The financial instruments reviewed to ensure that the values reflect the conditions at the balance sheet date. This involve measurement based on unobservable inputs that reflect how market participants would consider the effect of COVID-19 in their expectations of future cash flows related to the asset at the reporting date.

35. EVENTS OCCURRING AFTER THE REPORTING PERIOD

Other than the tax changes disclose in note 11 (d) (i) no circumstances have arisen since the reporting date which would require adjustment to or disclosure in the Financial Statements.



Supplementary Information

102 SHAREHOLDER INFORMATION

104 GLOSSARY OF INSURANCE TERMS

Shareholder Information

SHARE LEDGER MANAGEMENT SYSTEM

Twenty Largest Shareholders

Name of the Shareholder	2020 Shareholding	2020 % on Issued Shares	2019 Shareholding	2019 % on Issued Shares
1. Kegalle Plantations PLC	26,685,001	40.29	26,685,001	40.29
2. Richard Pieris Distributors Limited	17,790,001	26.86	17,790,001	26.86
3. Richard Pieris and Company PLC	15,125,001	22.84	15,125,001	22.84
4. Mr. J P Paul	1,820,332	2.75	1,733,233	2.62
5. Mr. C S N Silvapulle	668,399	1.01	668,399	1.01
6. Mr. S Sivashanth	550,000	0.83	479,415	0.72
7. Mrs. M P B Fernando	425,000	0.64	425,000	0.64
8. Mr. H V Senaweera	334,856	0.51	440,053	0.66
9. Myland Developments (Pvt) Ltd.	201,000	0.30	-	-
10. Mr. A P Arumugampillai	200,000	0.30	200,000	0.30
11. Mr. B A R Dissanayake	200,000	0.30	200,000	0.30
12. Peoples Leasing & Finance PLC/Mr. K J Gamage	155,326	0.23	150,000	0.23
13. Mrs. M S E V E A U Von Stumm	150,000	0.23	150,000	0.23
14. Mr. T A N Gomis	130,043	0.20	118,543	0.18
15. Mr. M L A Benedict	115,530	0.17	120,530	0.18
16. Mr. S A Obeyesekere	103,300	0.16	103,300	0.16
17. Merchant Bank of Sri Lanka & Finance PLC	100,000	0.15	150,000	0.23
18. Flybrunei Sdn Bhd	99,700	0.15	99,700	0.15
19. Mr. P B Perera	83,544	0.13	88,544	0.13
20. Peoples Leasing & Finance PLC/ Mr. K Laveendrakumar	79,459	0.12	-	-

COMPOSITION OF SHAREHOLDERS

Public Shareholdings	2020		2019	
	No. of Shares	% on Issued Shares	No. of Shares	% on Issued Shares
No. of shares	6,630,400	10.01	6,630,400	10.01
No. of shareholders	661	99.40	592	96.89

RESIDENT AND NON-RESIDENT SHAREHOLDINGS

Public Shareholdings	2020				2019			
	No. of Shareholders	%	No. of Shares Held	%	No. of Shareholders	%	No. of Shares Held	%
Resident	653	98.20	64,150,532	96.86	599	98.04	64,133,832	96.83
Non-Resident	12	1.80	2,079,875	3.14	12	1.96	2,096,575	3.17
Grand total	665	100	66,230,407	100	611	100	66,230,407	100

DISTRIBUTION OF SHAREHOLDINGS

Public Shareholdings	2020				2019			
	No. of Shareholders	%	No. of Shares Held	%	No. of Shareholders	%	No. of Shares Held	%
Less than or equal								
1 - 1,000	503	75.64	117,335	0.18	465	76.10	105,555	0.16
1,001 - 10,000	119	17.89	433,635	0.65	95	15.55	362,230	0.55
10,001 - 100,000	27	4.06	1,025,648	1.55	34	5.56	1,127,847	1.70
100,001 - 1,000,000	12	1.80	3,233,454	4.88	13	2.13	3,321,740	5.02
Over 1,000,000	4	0.60	61,420,335	92.74	4	0.65	61,313,035	92.58
Grand total	665	100	66,230,407	100	611	100	66,230,407	100

DIRECTORS SHAREHOLDINGS

There is no shareholding by the directors as at 31st December 2020.

Shareholder Information	2020	2019
Number of Shares		
No. of Shares representing the stated capital	66,230,407	66,230,407
Class of shares	Ordinary	Ordinary
Voting rights	One vote per share	One vote per share
Share performance		
Net asset value per share as at 31st December	28.3	23.6
Highest price per share for the period	24.1	22.9
Lowest price per share for the period	23.9	17
Last traded price per share as at 31st December	23.9	19.2
Float adjusted market capitalisation	158,466,656	127,303,757

Glossary of Insurance Terms

ACTUARIAL VALUATION

A determination by an actuary at a specific date of the value of a Life Insurance Company's assets and its liabilities. The purpose of a valuation is to determine if the Company hold adequate assets to fund the Company's liabilities.

AVAILABLE FOR SALE (AFS)

Securities that have been acquired neither for short-term sale nor to be held to maturity. These are shown at fair value on the statement of financial position.

CASH FLOW STATEMENT

Statement on the origin and utilisation of cash and cash equivalents during the accounting period. It shows the changes in liquid funds separated into cash flows from operating, investing and financing activities.

CLAIMS

The amount payable under a contract of insurance arising from the occurrence of an insured event such as destruction or damage of property and related death or injuries, the insuring of hospital or medical bills, death or disability of the insured and gratuity claims.

CLAIMS INCURRED

The aggregate of all claims paid during the accounting period together with attributable claims handling expenses, where appropriate, adjusted by the gross claims reserve at the beginning and end of the accounting period.

CLAIMS OUTSTANDING – LONG TERM INSURANCE

The amounts provided to cover the estimated ultimate cost of settling claims arising out of an event which have been notified by the date of Statement of Financial Position, being sums due to beneficiaries together with claims handling expenses, less amounts already paid in respect of those claims.

COMBINED RATIO

Sum of the loss ratio and expense ratio.

COMMISSION

Remuneration to an intermediary for services such as selling and servicing an insurer's products. This is one component of acquisition expenses.

CORPORATE GOVERNANCE

Serves to ensure responsible management and supervision of enterprises and is intended to foster the trust of investors, clients, employees and the general public in companies.

DEPOSIT PREMIUM

A premium paid on the inception of a contract of insurance or reinsurance, which is subject to adjustment at a later date. A deposit premium may represent the minimum amount payable.

EARNINGS PER SHARE

Ratio calculated by dividing the consolidated net income/ (loss) by the weighted average number of shares outstanding.

ENDOWMENT

Life insurance payable to the policyholder if living on the maturity date stated in the policy or to a beneficiary if the insured dies before that date.

FAIR VALUE

The price that a reasonable buyer would be willing to pay and a reasonable seller would be willing to accept for a product on the open market.

GROSS WRITTEN PREMIUM – LIFE

Premium to which the insurer is contractually entitled and received in the accounting period.

INSURANCE

Insurance is a contract whereby one party the insurer, in return for a consideration i.e. the premium, undertakes to pay the other party - the insured, a sum of money or its equivalent in kind, upon the happening of a specified event that is contrary to the interest of the insured.

INSURANCE PROVISION – LONG TERM

The fund or funds to be maintained by an insurer in respect of its Long Term Insurance business in accordance with the Regulation of Insurance Industry Act No. 43 of 2000.

LIFE SURPLUS

The excess of the assets over the liabilities as determined by the actuary (taking into account solvency requirements) and after distribution of dividends to policyholders.

LONG TERM INSURANCE

Commonly referred to as Life Insurance contracts, as opposed to annual Non-Life insurance policies.

MATURITY

The time at which payment of the sum insured under a Life insurance policy falls due at the end of its term.

NET EARNED PREMIUM

Gross written premium adjusted for the reinsurance incurred and for the increase or decrease in unearned premium.

NET WRITTEN PREMIUM

Gross written premium less reinsurance premium payable.

NET CLAIMS INCURRED

Claims incurred less reinsurance recoveries.

POLICY LOANS

A loan given to the policyholder on the security of the surrender value of a Life Insurance policy. The loan is limited to a percentage of the current surrender value of the policy and interest is charged on such loan.

PREMIUM

The consideration payable by the insured for an insurance contract.

PROFIT COMMISSION

Commission received from the reinsurer based on the net profit of the reinsurer as defined in the agreement between the insurer and the reinsurer.

REVENUE ACCOUNT

An account which shows a financial summary of the insurance related revenue transactions for the accounting period.

REINSURANCE

Transfer of all or part of the risk assumed by an insurer under one or more insurances to another insurer, called the reinsurance.

REINSURANCE COMMISSION

Commission received or receivable in respect of premium paid or payable to a reinsurer.

REINSURANCE PREMIUM

The premium payable to the reinsurer.

SOLVENCY MARGIN – LIFE

The difference between the value of assets and the value of liabilities, required to be maintained by the insurer who carries on Long Term Insurance business as defined in the Regulation of Insurance Industry Act No. 43 of 2000.

SURRENDER

Termination of an insurance policy by the insured before the expiry of its term (more common in Life insurance).

SURRENDER VALUE

The sum payable by an insurance Company upon the surrender of a Life Insurance policy before it has run its full course.

Notes

Notes

Corporate Information

THE COMPANY

Arpico Insurance PLC

LEGAL FORM OF THE COMPANY

A limited liability company incorporated in Sri Lanka on 22nd June 2011, as a public limited liability company under the Companies Act No. 07 of 2007.

COMPANY REGISTRATION NO.

P B 4739 P Q

STOCK EXCHANGE LISTING

The shares of the Company are Listed on the Colombo Stock Exchange, Diri Savi Board

PLACE OF INCORPORATION

Colombo, Sri Lanka

ACCOUNTING YEAR-END

December 31st

TAX PAYER IDENTIFICATION NUMBER (TIN)

134047399

REGISTERED OFFICE

Arpico Insurance PLC
No. 310, High Level Road, Nawinna, Maharagama.
Tel : 011 4 310 500
Fax : 011 4 310 777

CORPORATE OFFICE

Arpico Insurance PLC
55/20, Vauxhall Lane, Colombo 02.
Tel : 011 2 200 900
Fax : 011 2 330 713

BOARD OF DIRECTORS OF AINS

Mr. Viville Perera
Mr. Shiron Gooneratne
Mr. S Sirikananathan
Mrs. Lasinee Serasinhe

SECRETARIES OF THE COMPANY

Richard Pieris Group Services (Pvt) Limited
No. 310, High Level Road, Nawinna, Maharagama.
Tel : 011 4 310 500
Fax : 011 4 310 777

AUDITORS TO THE COMPANY

Ernst & Young Chartered Accountants
201, De Saram Place, Colombo 10.
Tel : 011 2 463 500
Fax : 011 2 697 369

CONSULTANT ACTUARY

Actuarial Partners Consulting Sdn Bhd.

BANKERS TO THE COMPANY

National Development Bank PLC
40, Navam Mawatha, Colombo 02.
Tel : 011 2 448 448
Fax : 011 2 341 044

Commercial Bank of Ceylon PLC
Commercial House, 21,
Sir Razik Fareed Mawatha,
Colombo 01.
Tel : 011 2 430 420
Fax : 011 2 336 706



ARPICO INSURANCE PLC

No. 55/20, Vauxhall Lane, Colombo 02.

Tel: 00 94 11 2200 900 Fax: 00 94 11 2330 713

Email: info@arpicoinsurance.com

Web: www.arpicoinsurance.com